

The Customs Act, 1962

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Union of India - Act

The Customs Act, 1962

UNION OF INDIA

India

The Customs Act, 1962

Act 52 of 1962

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The Customs Act, 1962

(52 OF 1962)

7.

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Statement of Objects and Reasons.-The Sea Customs Act which lays down the basic law relating to customs was enacted more than 80 years ago. It has been amended from time to time and some important amendments were made by the Sea Customs (Amendment) Act, 1955. General and comprehensive revision of the Act has not so far been undertaken. Several provisions of the Act have become obsolete. Difficulties have also been experienced in the implementation of certain other provisions. The trade has been pressing for certain changes and facilities. Smuggling, consequent to controlled economy, has presented new problems. To meet these requirements, it has become necessary to revise the Act.

The Land Customs Act was passed in 1924. It is not a self-contained Act and applies by reference, provisions of the Sea Customs Act to land customs with certain modifications. There is no separate law relating to air customs, and the administration of air customs is governed by certain rules made under the Indian Aircraft Act, 1911. While revising the Sea Customs Act, it is proposed to consolidate the provisions relating to sea customs, land customs and air customs into one comprehensive measure.

The Notes on Clauses explain in detail all the changes which are proposed to be introduced in the new as compared with the existing law.

Amendment Act 80 of 1985-Statement of Objects and Reasons.-The Customs Act, 1962 (52 of 1962

), provides for the levy of duties of customs. It is proposed to make certain amendments to the Act so as to remove certain practical difficulties experienced in the administration of the Act.

2. The Bill provides, among other things, for the following amendments, namely:-

(i) Section 20 of the Act provides for the re-importation of goods produced or manufactured in India free of duty if such importation takes place within three years of their export. It is proposed to amend this section to enable the Central Government to extend the said period of three years in certain cases in the public interest;

(ii) Section 28 of the Act empowers the proper officer to serve notice on the person chargeable with the duty for payment of duties not levied, short-levied or erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts by the importer or the exporter or his agent or employees within a period of five years from the relevant date as defined in the section. The Assistant Collector of Customs then determines the amount due from the concerned person. In order to ensure a more judicious exercise of this power, it is proposed to suitably amend this section to provide that this power is exercised by the Collector of Customs;

(iii) Section 48 of the Act provides for the procedure for the sale of goods if they are not cleared, warehoused or transhipped within two months after their unloading. It is proposed to reduce this period to forty-five days;

(iv) Section 61 deals with the period for which the goods may remain warehoused without payment of interest on the amount of duty payable. It is proposed to suitably amend this section to provide for a longer warehousing period without payment of interest in respect of some more categories of goods;

(v) Section 74 provides for allowing drawback on the export of goods in respect of which duty has been paid on the importation thereof. It is proposed to suitably amend this section so as to allow such drawback also on goods exported as baggage or by post;

(vi) Section 75 deals with drawback on imported materials used in the manufacture of goods which are exported. It is proposed to amend this section so as to allow such payment of drawback in the case of goods exported by post also retrospectively from the 13th day of May, 1983.

The provision for allowing drawback on goods exported by post which was in the Act originally got excluded from the 13th day of May, 1983 when an amendment was made to the relevant provisions. In view of this, the amendment is proposed to be made retrospectively from that date and a necessary validating provision has also been included ;

(vii) Section 110 of the Act deals with the seizure of goods, documents and things. It is proposed to suitably amend this section to provide for the procedure to be adopted for the disposal of certain seized goods having regard to their perishable nature or depreciation in their value with the passage of time or other relevant circumstances;

(viii) Section 125 provides for option to the owner of the goods to pay fine in lieu of confiscation thereof in addition to any duty and charges payable thereon. It is proposed to suitably amend this section so as to specifically provide that whenever any fine in lieu of confiscation of goods is imposed on any owner of the goods, such owner shall also be liable for duty and charges payable in respect of such goods. It is also proposed to clarify that in a case where the owner of the goods is not known, the person from whose possession or custody such goods are seized will be made responsible for the payment of the fine, duty and other charges;

(ix) Section 129-C provides for the procedure of the Appellate Tribunal constituted under the Act. With a view to providing facility for speedy disposal of appeals by Special Benches of the Appellate Tribunal, it is proposed to amend this section so as to enable the constitution of special Benches of not less than two members instead of three members, as at present. It is also proposed to provide that in case of difference of opinion on any point among the members of any such Bench, the point shall be decided by the President of the Appellate Tribunal;

(x) It is proposed to take over power to enable the Central Board of Excise and Customs to issue orders or instructions to officers of customs in respect of classification of goods or of the levy of duty thereon for the purpose of achieving

uniformity in respect of these matters.

3. The Bill seeks to achieve the above objects.

Amendment Act 29 of 1988-Statement of Objects and Reasons.-The Customs Act, 1962 and the Central Excises and Salt Act, 1944 provide for the levy and collection of duties of customs and excise, respectively. The Customs and Excise Revenues Appellate Tribunal is being set up for adjudication of disputes with respect to the determination of the rates of duties of customs and central excise on goods and to the valuation of goods for the purposes of assessment of such duties. It is proposed to make certain amendments in these Acts to streamline the procedures, to safeguard revenue interest, to mitigate hardships of the assessee in assessment matters, and to include the provisions relating to the powers to grant exemption from duty of excise in the Central Excises and Salt Act, itself which presently are available in the Central Excise Rules.

2. The Bill, accordingly, provides mainly for the following amendments:-

- (i) to specify Principal Collectors as a separate class of officers and empowering the Central Government to delegate to them certain powers presently exercised by the Central Board of Excise and Customs;
- (ii) to restore powers of the Board and the Collectors to revise assessment orders passed by the subordinate officers and making such orders appealable to the said Customs and Excise Revenues Appellate Tribunal;
- (iii) to empower the Central Government to grant refund of duties in cases where an assessee had paid duties as an exception to the generally prevalent practice if the Central Government issues notification under section 28-A of the Customs Act or, as the case may be, under section 11-C of the Central Excises and Salt Act and the assessee had not passed on the duty incidence to others and the claim is made within six months of issue of the said notification. Such notifications, when issued, will be laid before each House of Parliament;
- (iv) to accept micro films, facsimile copies and statement contained in a document produced by a computer as a document and as evidence for the purposes of the said Acts. This will, however, be subject to certain conditions and safeguards;
- (v) to include in the Central Excises and Salt Act, itself provisions of rule 8 of the Central Excise Rules, 1944 which authorises the Central Government to grant exemption from duties of excise on any excisable goods or payment thereof since these are important substantive provisions and should more appropriately find place in the Act itself. Notification granting exemption from duties of excise, whenever issued under the new provisions, will be laid before each House of Parliament.

3. The Bill seeks to achieve the above objectives. The Notes on clauses explain the provisions of the Bill.

Amendment Act 40 of 1991-Statement of Objects and Reasons.-The question of "unjust enrichment" in cases of goods subject to duty of excise or customs has been the subject-matter of discussion for quite sometime now. The concept of "unjust enrichment", in so far as it relates to the said duties, is that any refund of these duties made to any manufacturer or importer, who may have initially paid these duties but had passed on the same to the buyers, would be in the nature of a windfall gain to such manufacturer or importer.

2. The Public Accounts Committee made an inquiry into all aspects of the issue relating to refund of central excise duty. The Committee presented its report to the Parliament on the 11th day of March, 1991. The Committee has also recommended for the introduction of suitable legislation to amend the Central Excises and Salt Act, 1944 and the Customs Act, 1962 to deny refunds in cases of unjust enrichment.

3. The Bill aims at giving effect to the aforesaid recommendation of the Committee and proposes the following main amendments in the said Acts, namely:-

- (a) the manufacturer or importer of goods shall not be entitled to refund of the duty of excise or, as the case may be, the duty of customs if he has already passed on the incidence of such duty to the buyer;
- (b) the burden of proof that the incidence of the duty has not been passed on to the buyer shall be on the person claiming the refund;
- (c) every person, who is liable to pay duty of excise or, as the case may be, the duty of customs on any goods, shall be under an obligation to prominently indicate, at the time of clearance of the goods, in all the documents relating to assessment, etc., the amount of duty which will form part of the price at which such goods will be sold;
- (d) the refund of any of the said duties is proposed to be made only to the person who has ultimately borne the incidence of such duty;
- (e) it is proposed to establish a Consumer Welfare Fund wherein the amount of duty of excise or, as the case may be, the duty of customs, which is not refundable to the manufacturer or importer or the buyer in accordance with the

proposed provisions, shall be credited. In addition, any income from investment of the amount credited to the Fund and any other monies received by the Central Government for the purposes of the Fund will be credited to the Fund. The Fund will be utilised by the Central Government for the welfare of the consumers in accordance with the rules to be made in this behalf;

(f) it is also proposed to provide that notwithstanding anything to the contrary contained in any judgment, decree, order or direction of the Appellate Tribunal or any Court or in any other provision of the said Acts, etc. no refund shall be made except as provided in new sub-section (2) of section 11-B of the Central Excises and Salt Act, 1944 or new sub-section (2) of section 27 of the Customs Act, 1962;

(g) it is also proposed to provide that where any manufacturer or importer of goods has collected any amount in any manner from the buyer as representing the duty of excise or, as the case may be, the duty of customs, he shall pay the said amount to the credit of the Central Government and the said amount shall be utilised in adjusting the duty payable by the manufacturer or importer on finalisation of assessment. The surplus, if any, will be dealt with in accordance with the aforesaid provisions of section 11-B of the Central Excises and Salt Act, 1944 and section 27 of the Customs Act, 1962.

4. The Bill seeks to achieve the above objects.

Amendment Act 55 of 1991-Statement of Objects and Reasons. This Bill aims at amending the provisions mainly relating to warehousing of goods after import without payment of duty under the Customs Act, 1962. Under the present law the imported goods may be stored in bonded warehouses till their actual clearance for home consumption on payment of appropriate duty or their re-export without payment of duty to any foreign port.

2. Existing provisions permit warehousing for three months and charging of interest at the rate of 18 per cent, on delayed clearance which are being misused by the importers by blocking large amounts of revenues.

3. Besides, at present, there is no time-limit for payment of duty under section 47 of the Customs Act, 1962 and also for payment of interest for delayed payment of duty.

4. This Bill seeks to curtail the period of warehousing, prescribe the increased rate of interest on duty leviable on the warehoused goods, ensure prompt payment of duty and impose interest on delayed payments of duty.

5. The proposed amendments will expedite the realisation of revenue and discourage indiscriminate warehousing of imported goods and ensure prompt payment of duties.

6. The Bill seeks to achieve the above objects.

(iii) Act 25 of 1978 :- The Bill seeks to carry out certain amendments in the Customs Act, 1962 and the Central Excises and Salt Act, 1944. Essentially the amendments are intended to remove certain practical difficulties experienced in the operation of Customs and Central Excises laws, and doubts regarding the interpretation of certain important provisions therein, to provide facilities to exporters and to increase the minimum punishment of smuggling. Some of the amendments to the Customs Act and the Central Excises and Salt Act are similar in nature.

The Bill also seeks to amend the Central Boards of Revenue Act, 1963, with a view to raise the minimum strength of members of each of the two Boards (the Central Board of Direct Taxes and the Central Board of Excise and Customs) as it has become necessary in view of the phenomenal increase in the responsibilities of the two Boards.

The Notes on clauses appended to the Bill explain in detail the various provisions thereof. - Gazette of India, 1974, Pt. II, Section 2, Ext., P. 918.

Act 27 of 1988.- The Customs Act, 1962 (52 of 1962

) deals with the law relating to levy of duties of customs. Section 14 thereof provides for the valuation of goods for the purposes of assessment of duties of customs chargeable on goods by reference to their value. Article VII of the General Agreement on Trade and Tariff (GATT), to which India is a contracting party, lays down general principles on customs valuation. The provisions of the said section 14 are, therefore, based on Article VII of GATT.

2. During the Tokyo Round of Multi-lateral Trade Negotiations under the GATT (1973-1979), an Agreement on Implementation of Article VII of the GATT, also known as GATT Code of Valuation, was adopted. This Agreement lays down elaborate rules to provide for greater uniformity and certainty in the application of Art. VII of the GATT for determining the value of imported goods. As India is contracting party to this Agreement also, we are required to implement the said GATT Code of Valuation.

3. The purpose of the Bill is, therefore, to suitably amend Section 14 of the Customs Act so as to enable the Central Government to frame rules on the basis of GATT Code of Valuation for the determination of the price of imported

goods.

Act 8 of 1999.- Section 75-A of the Customs Act, 1962, which was inserted by the Finance Act, 1995, provides that where any drawback payable to a claimant under section 74 or section 75 of the Customs Act as the case may be, is not paid within a period of three months from the date of filing of claim to the date of payment of such drawback, there shall be paid to the claimant in addition to the amount of drawback interest fixed under section 27-A of the said Act from the date after the expiry of the said period of three months till the date of payment of such drawback.

2. With a view to arrest the declining trend in exports, several measures were announced by the Government in the recent past to give a special package of measures for boosting exports. One of the measures includes a commitment on the part of the Government to pay interest to exporters if Government dues by way of duty drawback is delayed beyond two months. Thus, with a view to reduce the time limit from three months to two months as given under section 75-A of the Act, it is necessary to amend that section. The reduced time-limit of two months instead of the present three months will expedite the process of payment of drawback, and, thereby emphasise the urgency of delivering export related benefits to the exporters within shortest possible time.

3. Simultaneously, it is proposed to empower the Central Government to levy interest where the claimant has been sanctioned drawback erroneously, if such drawback is not refunded by him within a period of two months, instead of the present three months.

4. The proposed amendments will expedite the process of payment of drawback and realization of revenue.

5. The Bill seeks to achieve the above objects. - Gazette of India, 21-12-1998, Pt. II - Section 2, Ext. P. 7 (No. 49).

Act 49 of 2005.- Under the direct and indirect tax enactments, an appeal lies to the High Court on a substantial question of law. Due to pendency of a large number of cases in the High Courts, huge revenue is blocked in such litigations. This is adversely affecting the national economy. Hence, urgent measures are required to be taken to speed up taxation matters pending before the High Courts. To achieve the aforesaid objective, it is proposed to establish a Tax Tribunal to be known as the National Tax Tribunal to hear cases on substantial question of law from the decisions of the Income-tax Tribunal to hear cases on substantial question of law from the decisions of the Income-tax Appellate Tribunal and the Customs, Excise and Service Tax Appellate Tribunal. This Tribunal is being set up under Article 323B of the Constitution and will act through its Benches. A person who has been a Judge of the Supreme Court or the Chief Justice of a High Court shall be the Chairperson of the National Tax Tribunal. The number of Benches to hear the cases under the direct tax laws and indirect tax laws shall be decided by the Central Government from time to time. With the establishment of the National Tax Tribunal all matters and proceedings pending in appeals and references under the direct tax laws and indirect tax laws before the High Courts shall stand transferred to it.

2. The Bill seeks to achieve the above objects. The notes on clauses explain the various provisions of the Bill.

[13th December, 1962]

An Act to consolidate and amend the law relating to Customs.

Be it enacted by Parliament in the Thirteenth Year of the Republic of India as follows:-

Brought into force on 1.2.1963. Act extended to Sikkim with effect from 1.10.1979 vide Notification No. 185/79-Cus., dated 1.10.1979.

Chapter I

Preliminary

1.

Short title, extent and commencement.

(1)

This Act may be called The Customs Act, 1962.

(2)

It extends to the whole of India, [and save as otherwise provided in this Act, it applies also to any offence or contravention thereunder committed outside India by any person]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(3)

It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

2.

Definitions.

- In this Act, unless the context otherwise requires, -

(1)

["adjudicating authority" means any authority competent to pass any order or decision under this Act, but does not include the Board, [Commissioner (Appeals)]

[Substituted by Act 44 of 1980, Section 50 and Schedule V, for sub-Section (1)(w.e.f. 11.10.1982).]

[or Appellate Tribunal;

[Substituted by Act 44 of 1980, Section 50 and Schedule V, for sub-Section (1) (w.e.f. 11.10.1982).]

(1-A) "aircraft" has the same meaning as in the Aircraft Act, 1934 (22 of 1934);

(1-B) "Appellate Tribunal" means the Customs, Excise and [Service Tax] [Appellate Tribunal constituted under section 129;]

[Substituted by Act 44 of 1980, Section 50 and Schedule V, for sub-Section (1) (w.e.f. 11.10.1982).]

(2)

["assessment" means determination of the dutiability of any goods and the amount of duty, tax, cess or any other sum so payable, if any, under this Act or under the Customs Tariff Act, 1975 (hereinafter referred to as the Customs Tariff Act) or under any other law for the time being in force, with reference to -

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(a)

the tariff classification of such goods as determined in accordance with the provisions of the Customs Tariff Act;

(b)

the value of such goods as determined in accordance with the provisions of this Act and the Customs Tariff Act;

(c)

exemption or concession of duty, tax, cess or any other sum, consequent upon any notification issued therefor under this Act or under the Customs Tariff Act or under any other law for the time being in force;

(d)

the quantity, weight, volume, measurement or other specifics where such duty, tax, cess or any other sum is leviable on the basis of the quantity, weight, volume, measurement or other specifics of such goods;

(e)

the origin of such goods determined in accordance with the provisions of the Customs Tariff Act or the rules made thereunder, if the amount of duty, tax, cess or any other sum is affected by the origin of such goods;

(f)

any other specific factor which affects the duty, tax, cess or any other sum payable on such goods, and includes provisional assessment, self-assessment, re-assessment and any assessment in which the duty assessed is nil;]

(3)

"baggage" includes unaccompanied baggage but does not include motor vehicles;

(3A)

["beneficial owner" means any person on whose behalf the goods are being imported or exported or who exercises effective control over the goods being imported or exported;]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(4)

"bill of entry" means a bill of entry referred to in section 46;

(5)

"bill of export" means a bill of export referred to in section 50;

(6)

"Board" means the [[Central Board of Indirect Taxes and Customs]

[Substituted by Act

54 of 1963

, Section 5, for Certain words (w.e.f. 1.1.1964).]

constituted under the Central Boards of Revenue Act, 1963 (

54 of 1963

)];

(7)

"coastal goods" means goods, other than imported goods, transported in a vessel from one port in India to another;
[(7-A) "Commissioner (Appeals)" means a person appointed to be a Commissioner of Customs (Appeals) under sub-section (1) of section 4;

[Substituted by Act 22 of 1995, Section 51, for Clauses (7-A) and (8) (w.e.f. 26.5.1995).]

(8)

"Commissioner of Customs", except for the purposes of Chapter XV, includes an Additional Commissioner of Customs;]

(9)

"conveyance" includes a vessel, an aircraft and a vehicle;

(10)

"customs airport" means any airport appointed under clause (a) of section 7 to be a customs airport;

(11)

"customs area" means the area of a customs station [or a warehouse]

[Inserted by Notification No. 18 of 2017, dated 4.5.2017.]

and includes any area in which imported goods or export goods are ordinarily kept before clearance by Customs Authorities;

(12)

"customs port" means any port appointed under clause (a) of section 7 to be a customs port [and includes a place appointed under clause (aa) of that section to be an inland container depot]

[Inserted by Act 11 of 1983, Section 46 (w.e.f. 13.5.1983).]

;

(13)

"customs station" means any customs port, [customs airport, international courier terminal, foreign post office]

[Substituted 'customs airport' by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

or land customs station;

(14)

"dutiable goods" means any goods which are chargeable to duty and on which duty has not been paid;

(15)

"duty" means a duty of customs leviable under this Act;

(16)

"entry", in relation to goods, means an entry made in a bill of entry, shipping bill or bill of export and includes [***]

[Omitted 'in the case of goods imported or to be exported by post, the entry referred to in section 82 or' by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

the entry made under the regulations made under section 84;

(17)

"examination", in relation to any goods, includes measurement and weighment thereof;

(18)

"export", with its grammatical variations and cognate expressions, means taking out of India to a place outside India;

(19)

"export goods" means any goods which are to be taken out of India to a place outside India;

(20)

"exporter", in relation to any goods at any time between their entry for export and the time when they are exported, includes [any owner, beneficial owner]

[Substituted 'any owner' by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

or any person holding himself out to be the exporter;

(20A)

["foreign post office" means any post office appointed under clause (e) of sub-section (1) of section 7 to be a foreign post office;]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(21)

"foreign-going vessel or aircraft" means any vessel or aircraft for the time being engaged in the carriage of goods or passengers between any port or airport in India and any port or airport outside India, whether touching any intermediate

port or airport in India or not, and includes-

(i)

any naval vessel of a foreign Government taking part in any naval exercises;

(ii)

any vessel engaged in fishing or any other operations outside the territorial waters of India;

(iii)

any vessel or aircraft proceeding to a place outside India for any purpose whatsoever;

[(21-A) "Fund" means the Consumer Welfare Fund established under section 12-C of the [Central Excises and Salt Act, 1944 (1 of 1944)]

[Inserted by Act 40 of 1991, Section 9 (w.e.f. 20.9.1991).]

:]

(22)

"goods" includes-

(a)

vessels, aircrafts and vehicles;

(b)

stores;

(c)

baggage;

(d)

currency and negotiable instruments; and

(e)

any other kind of movable property;

(23)

"import", with its grammatical variations and cognate expressions, means bringing into India from a place outside India;

(24)

"import manifest" or "import report" means the manifest or report required to be delivered under section 30;

(25)

"imported goods" means any goods brought into India from a place outside India but does not include goods which have been cleared for home consumption;

(26)

"importer", in relation to any goods at any time between their importation and the time when they are cleared for home consumption, includes [any owner, beneficial owner]

[Substituted 'any owner' by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

or any person holding himself out to be the importer;

(27)

"India" includes the territorial waters of India;

(28)

"Indian customs waters" means the [waters extending into the sea up to the limit of [Exclusive Economic Zone under section 7]

[Substituted by Act 25 of 1978, Section 2 (w.e.f. 1.7.1978).]

of the Territorial Waters, Continental Shelf, Exclusive Economic Zone and other Maritime Zones Act, 1976 (80 of 1976)]

and includes any bay, gulf, harbour, creek or tidal river;

(28A)

["international courier terminal" means any place appointed under clause (f) of sub-section (1) of section 7 to be an international courier terminal;]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(29)

"land customs station" means any place appointed under clause (b) of section 7 to be a land customs station;

(30)

"market price", in relation to any goods, means the wholesale price of the goods in the ordinary course of trade in India;

[(30-A) "National Tax Tribunal" means the National Tax Tribunal established under section 3 of the National Tax Tribunal Act, 2005;]

[Inserted by Act 49 of 2005, Section 30 and Schedule, Part VI (yet to be enforced).]

(30AA)

["notification" means notification published in the Official Gazette and the expression "notify" with its cognate meaning and grammatical variation shall be construed accordingly;]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(30B)

["passenger name record information" means the records prepared by an operator of any aircraft or vessel or vehicle or his authorised agent for each journey booked by or on behalf of any passenger;]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(31)

"person-in-charge" means,-

(a)

in relation to a vessel, the master of the vessel;

(b)

in relation to an aircraft, the commander or pilot-in-charge of the aircraft;

(c)

in relation to a railway train, the conductor, guard or other person having the chief direction of the train;

(d)

in relation to any other conveyance, the driver or other person-in-charge of the conveyance;

(32)

"prescribed" means prescribed by regulations made under this Act;

(33)

"prohibited goods" means any goods the import or export of which is subject to any prohibition under this Act or any other law for the time being in force but does not include any such goods in respect of which the conditions subject to which the goods are permitted to be imported or exported have been complied with;

(34)

"proper officer", in relation to any functions to be performed under this Act, means the officer of customs who is assigned those functions by the Board or the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

;

(35)

"regulations" means the regulations made by the Board under any provision of this Act;

(36)

"rules" means the rules made by the Central Government under any provision of this Act;

(37)

"shipping bill" means a shipping bill referred to in section 50;

(38)

"stores" means goods for use in a vessel or aircraft and includes fuel and spare parts and other articles of equipment, whether or not for immediate fitting;

(39)

"smuggling", in relation to any goods, means any act or omission which will render such goods liable to confiscation under section 111 or section 113;

(40)

"tariff value", in relation to any goods, means the tariff value fixed in respect thereof under sub-section (2) of section 14;

(41)

"value", in relation to any goods, means the value thereof determined in accordance with the provisions of [sub-section (1) or sub-section (2) of section 14]

[Substituted by Act 22 of 2007, Section 94, for " sub-Section (1) of Section 14" (w.e.f. 10.10.2007).]

;

(42)

"vehicle" means conveyance of any kind used on land and includes a railway vehicle;

(43)

"warehouse" means a public warehouse appointed under section 57 or a private warehouse licensed under section 58;

(44)

"warehoused goods" means goods deposited in a warehouse;

(45)

"warehousing station" means a place declared as a warehousing station under section 9.

Chapter II

Officers Of Customs

3.

[Classes of officers of customs.

[Substituted by Act 22 of 1995, Section 52, for Sections 3 and 4 (w.e.f. 26.5.1995).]

- There shall be the following classes of officers of customs, namely:-

(a)

Chief Commissioner of Customs;

(b)

Commissioners of Customs;

(c)

Commissioners of Customs (Appeals);

(cc)

[Joint Commissioners of Customs;]

(d)

[Deputy Commissioners of Customs;

[Substituted by Act 22 of 1995, Section 52, for Sections 3 and 4 (w.e.f. 26.5.1995).]

(e)

Assistant Commissioners of Customs or Deputy Commissioner of Customs; and

(f)

such other class of officers of customs as may be appointed for the purposes of this Act.]

4.

Appointment of officers of customs.

(1)

The [Board]

[Substituted by Act 20 of 2002, Section 117, for " Central Government" (w.e.f. 11.5.2002).]

may appoint such persons as it thinks fit to be officers of customs.

(2)

Without prejudice to the provisions of sub-section (1), the [Board may authorise a Chief Commissioner of Customs or]

[Substituted by Act 20 of 2002, Section 117, for " Central Government may authorise the Board," (w.e.f. 11.5.2002).]

a [Joint or [Deputy or Assistant Commissioner of Customs to appoint officers of customs below the rank of Assistant Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 101, for " Deputy Commissioners of Customs" (w.e.f. 11.5.1999).]

.]

5.

Powers of officers of customs.

(1)

Subject to such conditions and limitations as the Board may impose, an officer of customs may exercise the powers and discharge the duties conferred or imposed on him under this Act.

(2)

An officer of customs may exercise the powers and discharge the duties conferred or imposed under this Act on any

other officer of customs who is subordinate to him.

(3)

Notwithstanding anything contained in this section, [a [Commissioner (Appeals)]

[Substituted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11.10.1982).]

shall not exercise the powers and discharge the duties conferred or imposed on an officer of customs other than those specified in Chapter XV and section 108.

6.

Entrustment of functions of Board and customs officers on certain other officers.

- The Central Government may, by notification in the Official Gazette, entrust either conditionally or unconditionally to any officer of the Central or the State Government or a local authority any functions of the Board or any officer of customs under this Act.

Chapter III

Appointment Of Customs Ports, Airports, Warehousing Stations, Etc.

7. Appointment of customs ports, airports, etc.

- [(1)]

[Section 7 renumbered as sub-Section (1) thereof by Act 32 of 2003, Section 105 (w.e.f. 14.5.2003).]

The [Board]

[Substituted by Act 32 of 2003, Section 105, for " Central Government" (w.e.f. 14.5.2003).]

may, by notification in the Official Gazette, appoint-

(a)

the ports and airports which alone shall be customs ports or customs airports for the unloading of imported goods and the loading of export goods or any class of such goods;

(aa)

[the places which alone shall be inland container depots for the unloading of imported goods and the loading of export goods or any class of such goods;]

[Inserted by Act 11 of 1983, Section 47 (w.e.f. 13.5.1983).]

(b)

the places which alone shall be land customs stations for the clearance of goods imported or to be exported by land or inland water or any class of such goods;

(c)

the routes by which alone goods or any class of goods specified in the notification may pass by land or inland water into or out of India, or to or from any land customs station from or to any land frontier;

(d)

the ports which alone shall be coastal ports for the carrying on of trade in coastal goods or any class of such goods with all or any specified ports in India.

(e)

[the post offices which alone shall be foreign post offices for the clearance of imported goods or export goods or any class of such goods;

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(f)

the places which alone shall be international courier terminals for the clearance of imported goods or export goods or any class of such goods.]

(2)

[Every notification issued under this section and in force immediately before the commencement of the Finance Act, 2003 shall, on such commencement, be deemed to have been issued under the provisions of this section as amended by section 98 of the Finance Act, 2003 and shall continue to have the same force and effect after such commencement until it is amended, rescinded or superseded under the provisions of this section.]

[Inserted by Act 32 of 2003, Section 105 (w.e.f. 14.5.2003).]

8.

Power to approve landing places and specify limits of customs area.

- The [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

may,-

(a)

approve proper places in any customs port or customs airport or coastal port for the unloading and loading of goods or for any class of goods;

(b)

specify the limits of any customs area.

9.

Power to declare places to be warehousing stations.

- The Board may, by notification in the Official Gazette, declare places to be warehousing stations at which alone public warehouses may be appointed and private warehouses may be licensed.

10.

Appointment of boarding stations.

- The [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

may, by notification in the Official Gazette, appoint, in or near any customs port, a boarding station for the purpose of boarding of, or disembarkation from, vessels by officers of customs.

Chapter IV

Prohibitions On Importation And Exportation Of Goods

11.

Power to prohibit importation or exportation of goods.

(1)

If the Central Government is satisfied that it is necessary so to do for any of the purposes specified in sub-section (2), it may, by notification in the Official Gazette, prohibit either absolutely or subject to such conditions (to be fulfilled before or after clearance) as may be specified in the notification, the import or export of goods of any specified description.

(2)

The purposes referred to in sub-section (1) are the following: -

(3)

[Any prohibition or restriction or obligation relating to import or export of any goods or class of goods or clearance thereof provided in any other law for the time being in force, or any rule or regulation made or any order or notification issued thereunder, shall be executed under the provisions of that Act only if such prohibition or restriction or obligation is notified under the provisions of this Act, subject to such exceptions, modifications or adaptations as the Central Government deems fit.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(a)

the maintenance of the security of India;

(b)

the maintenance of public order and standards of decency or morality;

(c)

the prevention of smuggling;

(d)

the prevention of shortage of goods of any description;

(e)

the conservation of foreign exchange and the safeguarding of balance of payments;

(f)

the prevention of injury to the economy of the country by the uncontrolled import or export of gold or silver;

(g)

the prevention of surplus of any agricultural product or the product of fisheries;

(h)

the maintenance of standards for the classification, grading or marketing of goods in international trade;

(i)

the establishment of any industry;

(j)

the prevention of serious injury to domestic production of goods of any description;

(k)

the protection of human, animal or plant life or health;

(l)

the protection of national treasures of artistic, historic or archaeological value;

(m)

the conservation of exhaustible natural resources;

(n)

the protection of patents, trade marks and copyrights;

(o)

the prevention of deceptive practices;

(p)

the carrying on of foreign trade in any goods by the State, or by a Corporation owned or controlled by the State to the exclusion, complete or partial, of citizens of India;

(q)

the fulfilment of obligations under the Charter of the United Nations for the maintenance of international peace and security;

(r)

the implementation of any treaty, agreement or convention with any country;

(s)

the compliance of imported goods with any laws which are applicable to similar goods produced or manufactured in India;

(t)

the prevention of dissemination of documents containing any matter which is likely to prejudicially affect friendly relations with any foreign State or is derogatory to national prestige;

(u)

the prevention of the contravention of any law for the time being in force; and

(v)

any other purpose conducive to the interests of the general public.

[CHAPTER IV-A

[Chapters IV-A, IV-B and IV-C inserted by Act 12 of 1969, Section 2 (w.e.f. 3.1.1969).]

Detection Of Illegally Imported Goods And Prevention Of The Disposal Thereof

11A.

Definitions.

- In this Chapter, unless the context otherwise requires,-

(a)

"illegal import" means the import of any goods in contravention of the provisions of this Act or any other law for the time being in force;

(b)

"intimated place" means a place intimated under sub-section (1), sub-section (2) or sub-section (3), as the case may be, of section 11-C;

(c)

"notified date", in relation to goods of any description, means the date on which the notification in relation to such goods is issued under section 11-B;

(d)

"notified goods" means goods specified in the notification issued under section 11-B.

11B.

Power of Central Government to notify goods.

- If, having regard to the magnitude of the illegal import of goods of any class or description, the Central Government is

satisfied that it is expedient in the public interest to take special measures for the purpose of checking the illegal import, circulation or disposal of such goods, or facilitating the detection of such goods, it may, by notification in the Official Gazette, specify goods of such class or description.

11C.

Persons possessing notified goods to intimate the place of storage, etc.

(1)

Every person who owns, possesses or controls, on the notified date, any notified goods, shall, within seven days from that date, deliver to the proper officer a statement (in such form, in such manner and containing such particulars as may be specified by rules made in this behalf) in relation to the notified goods owned, possessed or controlled by him and the place where such goods are kept or stored.

(2)

Every person who acquires, after the notified date, any notified goods, shall, before making such acquisition, deliver to the proper officer an intimation containing the particulars of the place where such goods are proposed to be kept or stored after such acquisition and shall, immediately on such acquisition, deliver to the proper officer a statement (in such form, in such manner and containing such particulars as may be specified by rules made in this behalf) in relation to the notified goods acquired by him:

Provided that a person who has delivered a statement, whether under sub-section (1) or sub-section (2), in relation to any notified goods, owned, possessed, controlled or acquired by him, shall not be required to deliver any further statement in relation to any notified goods acquired by him, after the date of delivery of the said statement, so long as the notified goods so acquired are kept or stored at the intimated place.

(3)

If any person intends to shift any notified goods to any place other than the intimated place, he shall, before taking out such goods from the intimated place, deliver to the proper officer an intimation containing the particulars of the place to which such goods are proposed to be shifted.

(4)

No person shall, after the expiry of seven days from the notified date, keep or store any notified goods at any place other than the intimated place.

(5)

Where any notified goods have been sold or transferred, such goods shall not be taken from one place to another unless they are accompanied by the voucher referred to in section 11-F.

(6)

No notified goods (other than those which have been sold or transferred) shall be taken from one place to another unless they are accompanied by a transport voucher (in such form and containing such particulars as may be specified by rules made in this behalf) prepared by the persons owning, possessing or controlling such goods.

11D.

Precautions to be taken by persons acquiring notified goods.

- No person shall acquire (except by gift or succession, from any other individual in India), after the notified date, any notified goods-

(i)

unless such goods are accompanied by,-

(a)

the voucher referred to in section 11-F or the memorandum referred to in sub-section (2) of section 11-G, as the case may be, or

(b)

in the case of a person who has himself imported any goods, any evidence showing clearance of such goods by the Customs Authorities; and

(ii)

unless he has taken, before acquiring such goods from a person other than a dealer having a fixed place of business, such reasonable steps as may be specified by rules made in this behalf, to ensure that the goods so acquired by him are not goods which have been illegally imported.

11E.

Persons possessing notified goods to maintain accounts.

(1)

Every person who, on or after the notified date, owns, possesses, controls or acquires any notified goods shall maintain (in such form and in such manner as may be specified by rules made in this behalf) a true and complete account of such goods and shall, as often as he acquires or parts with any notified goods, make an entry in the said account in relation to such acquisition or parting with, and shall also state therein the particulars of the person from whom such goods have been acquired or in whose favour such goods have been parted with, as the case may be, and such account shall be kept, alongwith the goods, at the place of storage of the notified goods to which such accounts relate:

Provided that it shall not be necessary to maintain separately accounts in the form and manner specified by rules made in this behalf in the case of a person who is already maintaining accounts which contain the particulars specified by the said rules.

(2)

Every person who owns, possesses or controls any notified goods and who uses any such goods for the manufacture of any other goods, shall maintain (in such form, in such manner and containing such particulars as may be specified by rules made in this behalf) a true and complete account of the notified goods so used by him and shall keep such account at the intimated place.

11F.

Sale, etc., of notified goods to be evidenced by vouchers.

- On and from the notified date, no person shall sell or otherwise transfer any notified goods, unless every transaction in relation to the sale or transfer of such goods is evidenced by a voucher in such form and containing such particulars as may be specified by rules made in this behalf.

11G.

Sections 11-C, 11-E and 11-F not to apply to goods in personal use.

(1)

Nothing in sections, 11-C, 11-E and 11-F shall apply to any notified goods which are-

(a)

in personal use of the person by whom they are owned, possessed or controlled, or

(b)

kept in the residential premises of a person for his personal use.

(2)

If any person, who is in possession of any notified goods referred to in sub-section (1), sells, or otherwise transfers for a valuable consideration, any such goods, he shall issue to the purchaser or transferee, as the case may be, a memorandum containing such particulars as may be specified by rules made in this behalf and no such goods shall be taken from one place to another unless they are accompanied by the said memorandum.

Chapter IV

B Prevention Or Detection Of Illegal Export Of Goods

11H.

Definitions.

- In this Chapter, unless the context otherwise requires,-

(a)

"illegal export" means the export of any goods in contravention of the provisions of this Act or any other law for the time being in force;

(b)

"intimated place" means a place intimated under sub-section (1), sub-section (2) or sub-section (3), as the case may be, of section 11-J;

(c)

"specified area" includes the Indian customs waters, and such inland area, not exceeding one hundred kilometres in width from any coast or other border of India, as the Central Government may, having regard to the vulnerability of that area to smuggling, by notification in the Official Gazette, specify in this behalf:

Provided that where a part of any village, town or city falls within a specified area, the whole of such village, town or city shall, notwithstanding that the whole of it is not within one hundred kilometres from any coast or other border of India, be

deemed to be included in such specified area;

(d)

"specified date", in relation to specified goods, means the date on which any notification is issued under section 11-I in relation to those goods in any specified area;

(e)

"specified goods" means goods of any description specified in the notification issued under section 11-I in relation to a specified area.

11I.

Power of Central Government to specify goods.

- If, having regard to the magnitude of the illegal export of goods of any class or description, the Central Government is satisfied that it is expedient in the public interest to take special measures for the purpose of checking the illegal export or facilitating the detection of goods which are likely to be illegally exported, it may, by notification in the Official Gazette, specify goods of such class or description.

11J.

Persons possessing specified goods to intimate the place of storage, etc.

(1)

Every person who owns, possesses or controls, on the specified date, any specified goods, the market price of which exceeds fifteen thousand rupees shall, within seven days from that date, deliver to the proper officer an intimation containing the particulars of the place where such goods are kept or stored within the specified area.

(2)

Every person who acquires (within the specified area), after the specified date, any specified goods,-

(i)

the market price of which, or

(ii)

the market price of which together with the market price of any specified goods of the same class or description, if any, owned, possessed or controlled by him on the date of such acquisition, exceeds fifteen thousand rupees, shall, before making such acquisition, deliver to the proper officer an intimation containing the particulars of the place where such goods are proposed to be kept or stored after such acquisition:

Provided that a person who has delivered an intimation, whether under sub-section (1) or sub-section (2), in relation to any specified goods, owned, possessed, controlled or acquired by him, shall not be required to deliver any further intimation so long as the specified goods are kept or stored at the intimated place.

(3)

If any person intends to shift any specified goods to which sub-section (1) or sub-section (2) applies, to any place other than the intimated place, he shall, before taking out such goods from the intimated place, deliver to the proper officer an intimation containing the particulars of the place to which such goods are proposed to be shifted.

(4)

No person shall, after the expiry of seven days from the specified date, keep or store any specified goods to which sub-section (1) or sub-section (2) applies, at any place other than the intimated place.

11K.

Transport of specified goods to be covered by vouchers.

(1)

No specified goods shall be transported from, into or within any specified area or loaded on any animal or conveyance in such area, unless they are accompanied by a transport voucher (in such form and containing such particulars as may be specified by rules made in this behalf) prepared by the person owning, possessing, controlling or selling such goods:

Provided that no transport voucher shall be necessary for the transport, within a village, town or city, of any specified goods the market price of which, on the date of transport, does not exceed one thousand rupees.

(2)

Notwithstanding anything contained in sub-section (1), where the Central Government, after considering the nature of any specified goods, the time, mode, route and the market price of the goods intended to be transported, the purpose of the transportation and the vulnerability of the specified area with regard to the illegal export of such goods, is satisfied that it is expedient in the public interest so to do, it may,-

(i)

by notification in the Official Gazette, specify goods of such class or description and of a market price exceeding such sum as that Government may notify; and different sums in relation to the specified goods of the same class or description, or different classes or descriptions, may be notified for the same specified area or for different specified areas, and

(ii)

direct that no person shall transport any goods so specified unless the transport voucher in relation to them has been countersigned by the proper officer.

11L.

Persons possessing specified goods to maintain accounts.

(1)

Every person who, on or after the specified date, owns, possesses or controls, within a specified area, any specified goods of a market price exceeding fifteen thousand rupees, shall maintain (in such form and in such manner as may be specified by rules made in this behalf) a true and complete account of such goods and shall, as often as he acquires or parts with any specified goods, make an entry in the said account in relation to such acquisition or parting with, and shall also state therein the particulars of the person from whom such goods have been acquired or in whose favour such goods have been parted with, as the case may be, and such account shall be kept, alongwith the goods, at the place of storage of the specified goods to which such accounts relate:

Provided that it shall not be necessary to maintain separately accounts in the form and manner specified by rules made in this behalf in the case of a person who is already maintaining accounts which contain the particulars specified by the said rules.

(2)

Every person who owns, possesses or controls any specified goods to which the provisions of sub-section (1) apply, and who uses any such goods for the manufacture of any other goods, shall maintain (in such form, in such manner and containing such particulars as may be specified by rules made in this behalf) a true and complete account of the specified goods so used by him and shall keep such account at the intimated place.

(3)

If at any time, on a verification made by a proper officer, it is found that any specified goods owned, possessed or controlled by a person are lesser in quantity than the stock of such goods as shown, at the time of such verification, in the accounts referred to in sub-section (1), read with the accounts referred to in sub-section (2), it shall be presumed, unless the contrary is proved, that such goods, to the extent that they are lesser than the stock shown in the said accounts, have been illegally exported and that the person owning, possessing or controlling such goods has been concerned with the illegal export thereof.

11M.

Steps to be taken by persons selling or transferring any specified goods.

- Except where he receives payment by cheque drawn by the purchaser, every person who sells or otherwise transfers within any specified area, any specified goods, shall obtain, on his copy of the sale or transfer voucher, the signature and full postal address of the person to whom such sale or transfer is made and shall also take such other reasonable steps as may be specified by [rules]

[See the Specified Goods (Prevention of Illegal Export) Rules, 1969.]

[made in this behalf to satisfy himself as to the identity of the purchaser or the transferee, as the case may be, and if after an inquiry made by a proper officer, it is found that the purchaser or the transferee, as the case may be, is not either readily traceable or is a fictitious person, it shall be presumed, unless the contrary is proved, that such goods have been illegally exported and the person who had sold or otherwise transferred such goods had been concerned in such illegal export:

Provided that nothing in this section shall apply to petty sales of any specified goods if the aggregate market price obtained by such petty sales, made in the course of a day, does not exceed two thousand and five hundred rupees.

Explanation.-In this section "petty sale" means a sale at a price which does not exceed one thousand rupees.

Chapter IV

C Power To Exempt From The Provisions Of

CHAPTERS IV-A AND IV-B 11N. Power to exempt.

- If the Central Government is satisfied that it is necessary in the public interest so to do, it may, by notification in the Official Gazette, exempt generally, either absolutely or subject to such conditions as may be specified in the notification, goods of any class or description from all or any of the provisions of Chapter IV-A or Chapter IV-B.]

[Chapters IV-A, IV-B and IV-C inserted by Act 12 of 1969, Section 2 (w.e.f. 3.1.1969).]

Chapter V

Levy Of, And Exemption From, Customs Duties

12.

Dutiable goods.

(1)

Except as otherwise provided in this Act, or any other law for the time being in force, duties of customs shall be levied at such rates as may be specified under [the Customs Tariff Act, 1975 (

51 of 1975

)]

[Substituted by Act

51 of 1975

, Section 13, for " Indian Tariff Act, 1934 (32 of 1934)" (w.e.f. 2-8-1976).]

, or any other law for the time being in force, on goods imported into, or exported from, India.

(2)

[The provisions of sub-section (1) shall apply in respect of all goods belonging to Government as they apply in respect of goods not belonging to Government.]

[Substituted by Act 30 of 1963, Section 2, for sub-Section (2) (w.e.f. 1-10-1963).]

13.

Duty on pilfered goods.

- If any imported goods are pilfered after the unloading thereof and before the proper officer has made an order for clearance for home consumption or deposit in a warehouse, the importer shall not be liable to pay the duty leviable on such goods except where such goods are restored to the importer after pilferage.

Substituted by Act 22 of 2007, Section 95, for Section 14 (w.e.f. 10-10-2007). Prior to its substitution, Section 14 read as under: " 14. Valuation of goods for purposes of assessment.-(1) For the purposes of the Customs Tariff Act, 1975 (

51 of 1975

), or any other law for the time being in force whereunder a duty of customs is chargeable on any goods by reference to their value, the value of such goods shall be deemed to be the price at which such or like goods are ordinarily sold, or offered for sale, for delivery at the time and place of importation or exportation, as the case may be, in the course of international trade, where-

(a) the seller and the buyer have no interest in the business of each other; or

(b) one of them has no interest in the business of the other, and the price is the sole consideration for the sale or offer for sale:

Provided that such price shall be calculated with reference to the rate of exchange as in force on the date on which a bill of entry is presented under section 46, or a shipping bill or bill of export, as the case maybe, is presented under section 50;

(1-A) Subject to the provisions of sub-section (1), the price referred to in that sub-section in respect of imported goods shall be determined in accordance with the rules made in this behalf.

(2) Notwithstanding anything contained in sub-section (1) or sub-section (1-A), if the Board is satisfied that it is necessary or expedient so to do, it may, by notification in the Official Gazette, fix tariff values for any class of imported goods or export goods, having regard to the trend of value of such or like goods, and where any such tariff values are fixed, the duty shall be chargeable with reference to such tariff value.

(3) For the purposes of this section

(a) " rate of exchange" means the rate of exchange-

(i) determined by the Board, or

(ii) ascertained in such manner as the Board may direct, for the conversion of Indian currency into foreign currency or foreign currency into Indian currency;

(b) " foreign currency" and " Indian currency" have the meanings respectively assigned to them in clause (m) and

clause (q) of section 2 of the Foreign Exchange Management Act, 1999 (42 of 1999)."

14.

Valuation of goods.

(1)

For the purposes of the Customs Tariff Act, 1975 (51 of 1975

), or any other law for the time being in force, the value of the imported goods and export goods shall be the transaction value of such goods, that is to say, the price actually paid or payable for the goods when sold for export to India for delivery at the time and place of importation, or as the case may be, for export from India for delivery at the time and place of exportation, where the buyer and seller of the goods are not related and price is the sole consideration for the sale subject to such other conditions as may be specified in the rules made in this behalf:

Provided that such transaction value in the case of imported goods shall include, in addition to the price as aforesaid, any amount paid or payable for costs and services, including commissions and brokerage, engineering, design work, royalties and licence fees, costs of transportation to the place of importation, insurance, loading, unloading and handling charges to the extent and in the manner specified in the rules made in this behalf:

Provided further that the rules made in this behalf may provide for,-

(i)

the circumstances in which the buyer and the seller shall be deemed to be related;

(ii)

the manner of determination of value in respect of goods when there is no sale, or the buyer and the seller are related, or price is not the sole consideration for the sale or in any other case;

(iii)

the manner of acceptance or rejection of value declared by the importer or exporter, as the case may be, where the proper officer has reason to doubt the truth or accuracy of such value, and determination of value for the purposes of this section:

Provided also that such price shall be calculated with reference to the rate of exchange as in force on the date on which a bill of entry is presented under section 46, or a shipping bill of export, as the case may be, is presented under section 50.

(2)

Notwithstanding anything contained in sub-section (1), if the Board is satisfied that it is necessary or expedient so to do, it may, by notification in the Official Gazette, fix tariff values for any class of imported goods or export goods, having regard to the trend of value of such or like goods, and where any such tariff values are fixed, the duty shall be chargeable with reference to such tariff value.

Explanation.-For the purposes of this section-

(a)

"rate of exchange" means the rate of exchange-

(i)

determined by the Board, or

(ii)

ascertained in such manner as the Board may direct, for the conversion of Indian currency into foreign currency or foreign currency into Indian currency;

(b)

"foreign currency" and "Indian currency" have the meanings respectively assigned to them in clause (m) and clause (q) of section 2 of the Foreign Exchange Management Act, 1999 (

42 of 1999

).

15.

Date for determination of rate of duty and tariff valuation of imported goods.

- [(1) The rate of duty [* * *]

[Substituted by Act
20 of 1966

, Section 3, for " The rate of duty" (w.e.f. 31.8.1966).]

and tariff valuation, if any, applicable to any imported goods, shall be the rate and valuation in force,-

(a)

in the case of goods entered for home consumption under section 46, on the date on which a bill of entry in respect of such goods is presented under that section;

(b)

in the case of goods cleared from a warehouse under section 68, on the date on which [a bill of entry for home consumption in respect of such goods is presented under that section]

[Substituted by Act 32 of 2003, Section 106, for " the goods are actually removed from the warehouse" (w.e.f. 14.5.2003).]

;

(c)

in the case of any other goods, on the date of payment of duty:

[Provided that if a bill of entry has been presented before the date of entry inwards of the vessel or the arrival of the aircraft by which the goods are imported, the bill of entry shall be deemed to have been presented on the date of such entry inwards or the arrival, as the case may be.]

[Substituted by Act 33 of 1996, Section 59, for the proviso (w.e.f. 28.9.1996).]

(2)

The provisions of this section shall not apply to baggage and goods imported by post.

[* * *]

[Sub-Section (3) omitted by Act 25 of 1978, Section 4 (w.e.f. 1.7.1978).]

16.

Date for determination of rate of duty and tariff valuation of export goods.

- [(1) The rate of duty and tariff valuation, if any, applicable to any export goods, shall be the rate and valuation in force,-

(a)

in the case of goods entered for export under section 50, on the date on which the proper officer makes an order permitting clearance and loading of the goods for exportation under section 51;

(b)

in the case of any other goods, on the date of payment of duty.]

(2)

The provisions of this section shall not apply to baggage and goods exported by post.

17.

Assessment of duty.

(1)

After an importer has entered any imported goods under section 46 or an exporter has entered any export goods under section 50 the imported goods or the export goods, as the case may be, or such part thereof as may be necessary may, without undue delay, be examined and tested by the proper officer.

(2)

After such examination and testing, the duty, if any, leviable on such goods shall, save as otherwise provided in section 85, be assessed.

[Provided that the selection of cases for verification shall primarily be on the basis of risk evaluation through appropriate selection criteria.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(3)

[For [the purpose of verification]

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

under sub-section (2), the proper officer may require the importer, exporter or any other person to produce any document or information, whereby the duty leviable on the imported goods or export goods, as the case may be, can be ascertained and thereupon, the importer, exporter or such other person shall produce such document or furnish such

information.]

[Substituted by Act 23 of 1986, Section 50, for sub-Section (1) (w.e.f. 13.5.1986).]

(4)

Notwithstanding anything contained in this section, imported goods or export goods may, prior to the examination or testing thereof, be permitted by the proper officer to be assessed to duty on the basis of the statements made in the entry relating thereto and the documents produced and the information furnished under sub-section (3); but if it is found subsequently on examination or testing of the goods or otherwise that any statement in such entry or document or any information so furnished is not true in respect of any matter relevant to the assessment, the goods may, without prejudice to any other action which may be taken under this Act, be re-assessed to duty.

(5)

[Where any assessment done under sub-section (2) is contrary to the claim of the importer or exporter [***]

[Inserted by Act 29 of 2006, Section 20 (w.e.f. 13.7.2006).]

, and in cases other than those where the importer or the exporter, as the case may be, confirms his acceptance of the said assessment in writing, the proper officer shall pass a speaking order within fifteen days from the date of assessment of the bill of entry or the shipping bill, as the case may be.]

18.

Provisional assessment of duty.

(1)

Notwithstanding anything contained in this Act but without prejudice to the provisions contained in Section 46 [and Section 50]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

-

[(1-A) Where, pursuant to the provisional assessment under sub-section (1), if any document or information is required by the proper officer for final assessment, the importer or exporter, as the case may be, shall submit such document or information within such time, and the proper officer shall finalise the provisional assessment within such time and in such manner, as may be prescribed.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(a)

where the proper officer is satisfied that an importer or exporter is unable to produce any document or furnish any information necessary for the assessment of duty on the imported goods or the export goods, as the case may be; or

(b)

where the proper officer deems it necessary to subject any imported goods or export goods to any chemical or other test for the purpose of assessment of duty thereon; or

(c)

where the importer or the exporter has produced all the necessary documents and furnished full information for the assessment of duty but the proper officer deems it necessary to make further enquiry for assessing the duty, the proper officer may direct that the duty leviable on such goods may, pending the production of such documents or furnishing of such information or completion of such test or enquiry, be assessed provisionally if the importer or the exporter, as the case may be, furnishes such security as the proper officer deems fit for the payment of the deficiency, if any, between the duty finally assessed and the duty provisionally assessed.

(2)

When the duty leviable on such goods is assessed finally in accordance with the provisions of this Act, then-

(a)

in the case of goods cleared for home consumption or exportation, the amount paid shall be adjusted against the duty finally assessed and if the amount so paid falls short of, or is in excess of [the duty finally assessed]

[Substituted by Act 56 of 1974, Section 3 and Schedule II, for " the finally assessed" (w.e.f. 20.12.1974).]

, the importer or the exporter of the goods shall pay the deficiency or be entitled to a refund, as the case may be;

(b)

in the case of warehoused goods, the proper officer may, where the duty finally assessed is in excess of the duty provisionally assessed, require the importer to execute a bond, binding himself in a sum equal to twice the amount of the excess duty.

(3)

The importer or exporter shall be liable to pay interest, on any amount payable to the Central Government, consequent to the final assessment order under sub-section (2), at the rate fixed by the Central Government under section [28-AA] [Substituted '28-AB' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.] from the first day of the month in which the duty is provisionally assessed till the date of payment thereof.

(4)

Subject to sub-section (5), if any refundable amount referred to in clause (a) of sub-section (2) is not refunded under that sub-section within three months from the date of assessment of duty finally, there shall be paid an interest on such unrefunded amount at such rate fixed by the Central Government under section 27-A till the date of refund of such amount.

(5)

The amount of duty refundable under sub-section (2) and the interest under sub-section (4), if any, shall, instead of being credited to the Fund, be paid to the importer or the exporter, as the case may be, if such amount is relatable to-

(a)

the duty and interest, if any, paid on such duty paid by the importer, or the exporter, as the case may be, if he had not passed on the incidence of such duty and interest, if any, paid on such duty to any other person;

(b)

the duty and interest, if any, paid on such duty on imports made by an individual for his personal use;

(c)

the duty and interest, if any, paid on such duty borne by the buyer, if he had not passed on the incidence of such duty and interest, if any, paid on such duty to any other person;

(d)

the export duty as specified in section 26;

(e)

drawback of duty payable under sections 74 and 75.

19.

Determination of duty where goods consist of articles liable to different rates of duty.

- Except as otherwise provided in any law for the time being in force, where goods consist of a set of articles, duty shall be calculated as follows:-

(a)

articles liable to duty with reference to quantity shall be chargeable to that duty;

(b)

articles liable to duty with reference to value shall, if they are liable to duty at the same rate, be chargeable to duty at that rate, and if they are liable to duty at different rates, be chargeable to duty at the highest of such rates;

(c)

articles not liable to duty shall be chargeable to duty at the rate at which articles liable to duty with reference to value are liable under clause (b):

Provided that,-

(a)

accessories of, and spare parts or maintenance and repairing implements for, any article which satisfy the conditions specified in the rules made in this behalf shall be chargeable at the same rate of duty as that article;

(b)

if the importer produces evidence to the satisfaction of the proper officer regarding the value of any of the articles liable to different rates of duty, such article shall be chargeable to duty separately at the rate applicable to it.

20.

[Re-importation of goods.

[Substituted by Act 32 of 1994, Section 60, for Section 20 (w.e.f. 13.5.1994).]

- If goods are imported into India after exportation therefrom, such goods shall be liable to duty and be subject to all the conditions and restrictions, if any, to which goods of the like kind and value are liable or subject, on the importation thereof.

[* * *]

21.

Goods derelict, wreck, etc.

- All goods, derelict, jetsam, flotsam and wreck brought or coming into India, shall be dealt with as if they were imported into India, unless it be shown to the satisfaction of the proper officer that they are entitled to be admitted duty-free under this Act.

22.

Abatement of duty on damaged or deteriorated goods.

(1)

Where it is shown to the satisfaction of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs," (w.e.f. 11.5.1990). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

-

(a)

that any imported goods had been damaged or had deteriorated at any time before or during the unloading of the goods in India; or

(b)

that any imported goods, other than warehoused goods, had been damaged at any time after the unloading thereof in India but before their examination under section 17, on account of any accident not due to any wilful act, negligence or default of the importer, his employee or agent; or

(c)

that any warehoused goods had been damaged at any time before clearance for home consumption on account of any accident not due to any wilful act, negligence or default of the owner, his employee or agent, such goods shall be chargeable to duty in accordance with the provisions of sub-section (2).

(2)

The duty to be charged on the goods referred to in sub-section (1) shall bear the same proportion to the duty chargeable on the goods before the damage or deterioration which the value of the damaged or deteriorated goods bears to the value of the goods before the damage or deterioration.

(3)

For the purposes of this section, the value of damaged or deteriorated goods may be ascertained by either of the following methods at the option of the owner:-

(a)

the value of such goods may be ascertained by the proper officer, or

(b)

such goods may be sold by the proper officer by public auction or by tender, or with the consent of the owner in any other manner, and the gross sale proceeds shall be deemed to be the value of such goods.

23.

Remission of duty on lost, destroyed or abandoned goods.

(1)

[Without prejudice to the provisions of section 13, where it is shown]

[Substituted by Act 11 of 1983, Section 48 (w.e.f. 13.8.1983).]

to the satisfaction of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commission of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

that any imported goods have been lost [(otherwise than as a result of pilferage)]

[Inserted by Act 11 of 1983, Section 48 (w.e.f. 13.5.1983).]

or destroyed, at any time before clearance for home consumption, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act
27 of 1999

, Section 100, for " Assistant Commission of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

shall remit the duty on such goods.

(2)

[The owner of any imported goods may, at any time before an order for clearance of goods for home consumption under section 47 or an order for permitting the deposit of goods in a warehouse under section 60 has been made, relinquish his title to the goods and thereupon he shall not be liable to pay the duty thereon:]

[Substituted by Act 32 of 1994, Section 60 (w.e.f. 13.5.1994).]

[Provided that the owner of any such imported goods shall not be allowed to relinquish his title to such goods regarding which an offence appears to have been committed under this Act or any other law for the time being in force.]

[Inserted by Act 21 of 2006, Section 58 (w.e.f. 18.4.2006).]

24.

Power to make rules for denaturing or mutilation of goods.

- The Central Government may make rules for permitting at the request of the owner the denaturing or mutilation of imported goods which are ordinarily used for more than one purpose so as to render them unfit for one or more of such purposes; and where any goods are so denatured or mutilated they shall be chargeable to duty at such rate as would be applicable if the goods had been imported in the denatured or mutilated form.

25.

Power to grant exemption from duty.

(1)

If the Central Government is satisfied that it is necessary in the public interest so to do, it may, by notification in the Official Gazette, exempt generally either absolutely or subject to such conditions (to be fulfilled before or after clearance) as may be specified in the notification goods of any specified description from the whole or any part of duty of customs leviable thereon.

(2)

[If the Central Government is satisfied that it is necessary in the public interest so to do, it may, by special order in each case, exempt from the payment of duty, under circumstances of an exceptional nature to be stated in such order, any goods on which duty is leviable.]

[Substituted by Act 32 of 2003, Section 107, for sub-Section (2) (w.e.f. 14.5.2003).]

[(2-A) The Central Government may, if it considers it necessary or expedient so to do for the purpose of clarifying the scope or applicability of any notification issued under sub-section (1) or order issued under sub-section (2), insert an explanation in such notification or order, as the case may be, by notification in the Official Gazette, at any time within one year of issue of the notification under sub-section (1) or order under sub-section (2), and every such explanation shall have effect as if it had always been the part of the first such notification or order, as the case may be.]

[Inserted by Act 20 of 2002, Section 119 (w.e.f. 11.5.2002).]

(3)

[An exemption under sub-section (1) or sub-section (2) in respect of any goods from any part of the duty of customs leviable thereon (the duty of customs leviable thereon being hereinafter referred to as the statutory duty) may be granted by providing for the levy of a duty on such goods at a rate expressed in a form or method different from the form or method in which the statutory duty is leviable and any exemption granted in relation to any goods in the manner provided in this sub-section shall have effect subject to the condition that the duty of customs chargeable on such goods shall in no case exceed the statutory duty.

(4)

[Every notification issued under sub-section (1) [or sub-section (2-A)]

[Inserted by Act 11 of 1983, Section 49 (w.e.f. 13.5.1983).]

[shall,-

(a)

unless otherwise provided, come into force on the date of its issue by the Central Government for publication in the Official Gazette;

(b)

also be published and offered for sale on the date of its issue by the Directorate of Publicity and Public Relations of the Board, New Delhi.

(5)

Notwithstanding anything contained in sub-section (4), where a notification comes into force on a date later than the date of its issue, the same shall be published and offered for sale by the said Directorate of Publicity and Public Relations on a date on or before the date on which the said notification comes into force.]

[Inserted by Act 21 of 1998, Section 99 (w.e.f. 1.8.1998).]

(6)

[Notwithstanding anything contained in this Act, no duty shall be collected if the amount of duty leviable is equal to, or less than, one hundred rupees.]

[Inserted by Act 32 of 2003, Section 101 (w.e.f. 14.5.2003).]

[Explanation.-"Form or method", in relation to a rate of duty of customs, means the basis, namely, valuation, weight, number, length, area, volume or other measure with reference to which the duty is leviable.]

[Inserted by Act 20 of 2002, Section 119 (w.e.f. 11.5.2002).]

25A.

[Inward processing of goods.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

- Where the Central Government is satisfied that it is necessary in the public interest so to do, it may, by notification, exempt such of the goods which are imported for the purposes of repair, further processing or manufacture, as may be specified therein, from the whole or any part of duty of customs leviable thereon, subject to the following conditions, namely:-

(a)

the goods shall be re-exported after such repair, further processing or manufacture, as the case may be, within a period of one year from the date on which the order for clearance of the imported goods is made;

(b)

the imported goods are identifiable in the export goods; and

(c)

such other conditions as may be specified in that notification.

25B.

Outward processing of goods.

- Notwithstanding anything contained in section 20, where the Central Government is satisfied that it is necessary in the public interest so to do, it may, by notification, exempt such of the goods which are re-imported after being exported for the purposes of repair, further processing or manufacture, as may be specified therein, from the whole or any part of duty of customs leviable thereon, subject to the following conditions, namely: -

(a)

the goods shall be re-imported into India after such repair, further processing or manufacture, as the case may be, within a period of one year from the date on which the order permitting clearance for export is made;

(b)

the exported goods are identifiable in the re-imported goods; and

(c)

such other conditions as may be specified in that notification.]

26.

Refund of export duty in certain cases.

- Where on the exportation of any goods any duty has been paid, such duty shall be refunded to the person by whom or on whose behalf it was paid, if-

(a)

the goods are returned to such person otherwise than by way of re-sale;

(b)

the goods are re-imported within one year from the date of exportation; and

(c)

an application for refund of such duty is made before the expiry of six months from the date on which the proper officer makes an order for the clearance of the goods.

26A.

[Refund of import duty in certain cases.

[Inserted by Act 33 of 2009, Section 85.]

(1)

Where on the importation of any goods capable of being easily identified as such imported goods, any duty has been paid on clearance of such goods for home consumption, such duty shall be refunded to the person by whom or on whose behalf it was paid, if-

(a)

the goods are found to be defective or otherwise not in conformity with the specifications agreed upon between the importer and the supplier of goods:

Provided that the goods have not been worked, repaired or used after importation except where such use was indispensable to discover the defects or non-conformity with the specifications;

(b)

the goods are identified to the satisfaction of the Assistant Commissioner of Customs or Deputy Commissioner of Customs as the goods which were imported;

(c)

the importer does not claim drawback under any other provision of this Act; and

(d)

(i)

the goods are exported; or

(ii)

the importer relinquishes his title to the goods and abandons them to customs; or

(iii)

such goods are destroyed or rendered commercially valueless in the presence of the proper officer, in such manner as may be prescribed and within a period not exceeding thirty days from the date on which the proper officer makes an order for the clearance of imported goods for home consumption under section 47:

Provided that the period of thirty days may, on sufficient cause being shown, be extended by the Commissioner of Customs for a period not exceeding three months:

Provided further that nothing contained in this section shall apply to the goods regarding which an offence appears to have been committed under this Act or any other law for the time being in force.

(2)

An application for refund of duty shall be made before the expiry of six months from the relevant date in such form and in such manner as may be prescribed.

Explanation.-For the purposes of this sub-section, "relevant date" means,-

(a)

in cases where the goods are exported out of India, the date on which the proper officer makes an order permitting clearance and loading of goods for exportation under section 51;

(b)

in cases where the title to the goods is relinquished, the date of such relinquishment;

(c)

in cases where the goods are destroyed or rendered commercially valueless, the date of such destruction or rendering of goods commercially valueless.

(3)

No refund under sub-section (1) shall be allowed in respect of perishable goods and goods which have exceeded their shelf life or their recommended storage-before-use period.

(4)

The Board may, by notification in the Official Gazette, specify any other condition subject to which the refund under sub-section (1) may be allowed.]

27.

[Claim for refund of duty.

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

(1)

Any person claiming refund of any duty -

(i)

paid by him in pursuance of an order of assessment; or

(ii)

borne by him, may make an application for refund of such [duty and interest, if any, paid on such duty] to the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

-

(a)

[in the case of any import made by any individual for his personal use or by Government or by any educational, research or charitable institution or hospital, before the expiry of one year;

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

(b)

in any other case, before the expiry of six months, from the date of payment of [duty and interest, if any, paid on such duty] [in such form and manner]

[Substituted by Act 22 of 1995, Section 54, for " in such form" (w.e.f. 26.5.1995).]

[as may be specified in the regulations made in this behalf and the application shall be accompanied by such documentary or other evidence (including the documents referred to in section 28-C) as the applicant may furnish to establish that the amount of [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[in relation to which such refund is claimed was collected from, or paid by, him and the incidence of such [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[had not been passed on by him to any other person:

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

Provided that where an application for refund has been made before the commencement of the Central Excises and Customs Laws (Amendment) Act, 1991, such application shall be deemed to have been made under this sub-section and the same shall be dealt with in accordance with the provisions of sub-section (2):

Provided further that the limitation of one year or six months, as the case may be, shall not apply where any [duty and interest, if any, paid on such duty][has been paid under protest:

[Provided also that in the case of goods which are exempt from payment of duty by a special order issued under sub-section (2) of section 25, the limitation of one year or six months, as the case may be, shall be computed from the date of issue of such order.]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[Provided also that where the duty becomes refundable as a consequence of judgment, decree, order or direction of the appellate authority, Appellate Tribunal or any Court, the limitation of one year or six months, as the case may be, shall be computed from the date of such judgment, decree, order or direction.]

[Inserted by Act 22 of 2007, Section 96 (w.e.f. 11.5.2007).]

Explanation [I]

[Explanation renumbered as Explanation I thereof by Act 21 of 1998, Section 100 (w.e.f. 1.8.1998).]

.-For the purposes of this sub-section, "the date of payment of [duty and interest, if any, paid on such duty]

[Substituted by Act 55 of 1991, Section 2, for " duty" (w.e.f. 23.12.1991).]

, in relation to a person, other than the importer, shall be construed as "the date of purchase of goods" by such person.

[Explanation II.-Where any duty is paid provisionally under section 18, the limitation of one year or six months, as the case may be, shall be computed from the date of adjustment of duty after the final assessment thereof.]

[Inserted by Act 21 of 1998, Section 100 (w.e.f. 1.8.1998).]

(2)

[If, on receipt of any such application, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

is satisfied that the whole or any part of the [duty and interest, if any, paid on such duty]

[Substituted by Act 55 of 1991, Section 2, for " duty" (w.e.f. 23.12.1991).]

[paid by the applicant is refundable, he may make an order accordingly and the amount so determined shall be credited to the Fund:

Provided that the amount of [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

as determined by the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

[under the foregoing provisions of this sub-section shall, instead of being credited to the Fund, be paid to the applicant, if such amount is relatable to-

(a)

the [duty and interest, if any, paid on such duty][paid by the importer or the exporter, as the case may be, if he had not passed on the incidence of such [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[to any other person;

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

(b)

the [duty and interest, if any, paid on such duty][on imports made by an individual for his personal use;

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

(c)

the [duty and interest, if any, paid on such duty][borne by the buyer, if he had not passed on the incidence of such [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[to any other person;

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

(d)

the export duty as specified in section 26;

(e)

drawback of duty payable under sections 74 and 75;

(f)

the [duty and interest, if any, paid on such duty][borne by any other such class of applicants as the Central Government may, by notification in the Official Gazette, specify:

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

Provided further that no notification under clause (f) of the first proviso shall be issued unless in the opinion of the Central Government the incidence of [duty and interest, if any, paid on such duty]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[has not been passed on by the persons concerned to any other person.

(g)

[the duty paid in excess by the importer before an order permitting clearance of goods for home consumption is made where -

(i)

such excess payment of duty is evident from the bill of entry in the case of self-assessed bill of entry; or

(ii)

the duty actually payable is reflected in the reassessed bill of entry in the case of reassessment.]

(3)

Notwithstanding anything to the contrary contained in any judgment, decree, order or direction of the Appellate Tribunal [, the National Tax Tribunal]

[Inserted by Act 49 of 2005, Section 30 and Schedule, Part VI (w.e.f. 28.12.2005).]

[or any Court or in any other provision of this Act or the regulations made thereunder or any other law for the time being in force, no refund shall be made except as provided in sub-section (2).

(4)

Every notification under clause (f) of the first proviso to sub-section (2) shall be laid before each House of Parliament, if it is sitting, as soon as may be after the issue of the notification, and, if it is not sitting, within seven days of its re-assembly, and the Central Government shall seek the approval of Parliament to the notification by a resolution moved within a period of fifteen days beginning with the day on which the notification is so laid before the House of the People and if Parliament makes any modification in the notification or directs that the notification should cease to have effect, the notification shall thereafter have effect only in such modified form or be of no effect, as the case may be, but without prejudice to the validity of anything previously done thereunder.

(5)

For the removal of doubts, it is hereby declared that any notification issued under clause (f) of the first proviso to sub-section (2), including any such notification approved or modified under sub-section (4), may be rescinded by the Central Government at any time by notification in the Official Gazette.]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

[Substituted by Act 40 of 1991, Section 10 (w.e.f. 20.9.1991).]

27A.

[Interest on delayed refunds.

[Inserted by Act 22 of 1995, Section 55 (w.e.f. 26.5.1995).]

- If any duty ordered to be refunded under sub-section (2) of section 27 to an applicant is not refunded within three months from the date of receipt of application under sub-section (1) of that section, there shall be paid to that applicant interest at such rate, [not below five per cent.][and not exceeding thirty per cent. per annum as is for the time being fixed [by the Central Government, by notification in the Official Gazette]

[Inserted by Act 22 of 1995, Section 55 (w.e.f. 26.5.1995).]

,[on such duty from the date immediately after the expiry of three months from the date of receipt of such application till the date of refund of such duty:

Provided that where any duty, ordered to be refunded under sub-section (2) of section 27 in respect of an application under sub-section (1) of that section made before the date on which the Finance Bill, 1995 receives the assent of the President, is not refunded within three months from such date, there shall be paid to the applicant interest under this section from the date immediately after three months from such date, till the date of refund of such duty.

Explanation.-Where any order of refund is made by the Commissioner (Appeals), Appellate Tribunal or any Court against an order of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Inserted by Act 22 of 1995, Section 55 (w.e.f. 26.5.1995).]

[under sub-section (2) of section 27, the order passed by the Commissioner (Appeals), Appellate Tribunal [, National Tax Tribunal]

[Inserted by Act 22 of 1995, Section 55 (w.e.f. 26.5.1995).]

or, as the case may be, by the Court shall be deemed to be an order passed under that sub-section for the purposes of this section.]

28.

[Notice for payment of duties, interest, etc.

[Substituted by Act 22 of 1995, Section 56, for Section 28 (w.e.f. 26.5.1995).]

(1)

When any duty has not been levied or has been short-levied or erroneously refunded, or when any interest payable has not been paid, part paid or erroneously refunded, the proper officer may, -

(a)

in the case of any import made by any individual for his personal use or by Government or by any educational, research or charitable institution or hospital, within one year;

[Provided that before issuing notice, the proper officer shall hold Pre-notice consultation with the person chargeable with duty or interest in such manner as may be prescribed;]

(b)

in any other case, within six months, from the relevant date, serve notice on the person chargeable with the duty or interest which has not been levied or charged or which has been so short-levied or part paid or to whom the refund has erroneously been made, requiring him to show cause why he should not pay the amount specified in the notice:

Provided that where any duty has not been levied or has been short-levied or the interest has not been charged or has been part paid or the duty or interest has been erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts by the importer or the exporter or the agent or employee of the importer or exporter, the provisions of this sub-section shall have effect as if for the words "one year" and "six months", the words "five years" were substituted:

[* * *]

[The second and third provisos omitted by Act 32 of 2003, Section 109 (w.e.f. 14.5.2003).]

[Explanation.-Where the service of the notice is stayed by an order of a Court, the period of such stay shall be excluded in computing the aforesaid period of one year or six months or five years, as the case may be.

[(1-A) When any duty has not been levied or has been short-levied or the interest has not been charged or has been part paid or the duty or interest has been erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts by the importer or the exporter or the agent or employee of the importer or exporter, to whom a notice is served under proviso to sub-section (1) by the proper officer, may pay duty in full or in part as may be accepted by him, and the interest payable thereon under section 28-AB and penalty equal to twenty-five per cent. of the duty specified in the notice or the duty so accepted by such person within thirty days of the receipt of the notice.]

[Substituted by Act 22 of 1995, Section 56, for Section 28 (w.e.f. 26.5.1995).]

(2)

[The proper officer, after considering the representation, if any, made by the person on whom notice is served under sub-section (1), shall determine the amount of duty or interest due from such person (not being in excess of the amount specified in the notice) and thereupon such person shall pay the amount so determined:

[Provided that if such person has paid the duty in full together with interest and penalty under sub-section (1-A), the proceedings in respect of such person and other persons to whom notice are served under sub-section (1) shall, without prejudice to the provisions of sections 135, 135-A and 140, be deemed to be conclusive as to the matters stated therein:

Provided further that, if such person has paid duty in part, interest and penalty under sub-section (1-A), the proper officer shall determine the amount of duty or interest not being in excess of the amount partly due from such person.]

[Substituted by Act 22 of 1995, Section 56, for Section 28 (w.e.f. 26.5.1995).]

[(2-A) Where any notice has been served on a person under sub-section (1), the proper officer,-

(i)

in case any duty has not been levied or has been short-levied, or the interest has not been paid or has been part paid or the duty or interest has been erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts, where it is possible to do so, shall determine the amount of such duty or the interest, within a period of one year; and

(ii)

in any other case, where it is possible to do so, shall determine the amount of duty which has not been levied or has been short-levied or erroneously refunded or the interest payable which has not been paid, part paid or erroneously refunded, within a period of six months, from the date of service of the notice on the person under sub-section (1).

(2-B) Where any duty has not been levied or has been short-levied or erroneously refunded, or any interest payable has not been paid, part paid or erroneously refunded, the person, chargeable with the duty or the interest, may pay the amount of duty or interest before service of notice on him under sub-section (1) in respect of the duty or the interest, as the case may be, and inform the proper officer of such payment in writing, who, on receipt of such information, shall not serve any notice under sub-section (1) in respect of the duty or the interest so paid:

Provided that the proper officer may determine the amount of short-payment of duty or interest, if any, which in his opinion has not been paid by such person and, then, the proper officer shall proceed to recover such amount in the manner specified in this section, and the period of "one year" or "six months" as the case may be, referred to in sub-section (1) shall be counted from the date of receipt of such information of payment.

Explanation 1.-Nothing contained in this sub-section shall apply in a case where the duty was not levied or was not paid or the interest was not paid or was part paid or the duty or interest was erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts by the importer or the exporter or the agent or employee of the importer or exporter.

Explanation 2.-For the removal of doubts, it is hereby declared that the interest under section 28-AB shall be payable on the amount paid by the person under this sub-section and also on the amount of short-payment of duty, if any, as may be determined by the proper officer, but for this sub-section.

(2-C) The provisions of sub-section (2-B) shall not apply to any case where the duty or the interest had become payable or ought to have been paid before the date on which the Finance Bill, 2001 receives the assent of the President.]

[Inserted by Act 14 of 2001, Section 103 (w.e.f. 11.5.2001).]

(3)

[For the purposes of sub-section (1), the expression "relevant date" means-

(a)

in a case where duty is not levied, or interest is not charged, the date on which the proper officer makes an order for the clearance of the goods;

(b)

in a case where duty is provisionally assessed under section 18, the date of adjustment of duty after the final assessment thereof;

(c)

in a case where duty or interest has been erroneously refunded, the date of refund;

(d)

in any other case, the date of payment of duty or interest.]

28A.

[Power not to recover duties not levied or short-levied as a result of general practice.

[Inserted by Act 25 of 1978, Section 7 (w.e.f. 1.7.1978).]

- [(1)]

[Substituted by Act 22 of 1995, Section 56, for Section 28 (w.e.f. 26.5.1995).]

[Notwithstanding anything contained in this Act, if the Central Government is satisfied-

(a)

that a practice was, or is, generally prevalent regarding levy of duty (including non-levy thereof) on any goods imported into, or exported from, India; and

(b)

that such goods were, or are, liable-

(i)

to duty, in cases where according to the said practice the duty was not, or is not being, levied, or

(ii)

to a higher amount of duty than what was, or is being, levied, according to the said practice, then, the Central Government may, by notification in the Official Gazette, direct that the whole of the duty payable on such goods, or, as the case may be, the duty in excess of that payable on such goods, but for the said practice, shall not be required to be paid in respect of the goods on which the duty was not, or is not being, levied, or was, or is being, short-levied, in accordance with the said practice.]

(2)

[Where any notification under sub-section (1) in respect of any goods has been issued, the whole of the duty paid on such goods, or, as the case may be, the duty paid in excess of that payable on such goods, which would not have been paid if the said notification had been in force, shall be dealt with in accordance with the provisions of sub-section (2) of section 27:

Provided that the person claiming the refund of such duty or, as the case may be, excess duty, makes an application in this behalf to the [Assistant Commissioner of Customs or Deputy Commissioner of Customs, in the form referred to in sub-section (1) of section 27, before the expiry of six months from the date of issue of the said notification.]

[Substituted by Act 40 of 1991, Section 11, for sub-Section (2) (w.e.f. 20.9.1991). Earlier, sub-Section (2) was inserted by Act 29 of 1988, Section 3 (w.e.f. 1.7.1988).]

28AA.

[Interest on delayed payment of duty.

[Inserted by Act 22 of 1995, Section 51 (w.e.f. 26.5.1995).]

- [(1)]

[Inserted by Act 25 of 1978, Section 7 (w.e.f. 1.7.1978).]

[Subject to the provisions contained in section 28-AB, where a person,]

[Substituted by Act 33 of 1996, Section 61, for " Where a person" (w.e.f. 28.9.1996).]

[chargeable with the duty determined under sub-section (2) of section 28, fails to pay such duty within three months from the date of such determination, he shall pay, in addition to the duty, interest [at such rate not below [ten per cent.]

[Inserted by Act 22 of 1995, Section 51 (w.e.f. 26.5.1995).]

[and not exceeding thirty-six per cent. per annum, as is for the time being fixed by the Central Government, by notification in the Official Gazette]

[Substituted by Act 10 of 2000, Section 80, for certain words (w.e.f. 12.5.2000).]

[, on such duty from the date immediately after the expiry of the said period of three months till the date of payment of such duty:

Provided that where a person, chargeable with duty determined under sub-section (2) of section 28 before the date on which the Finance Bill, 1995 receives the assent of the President, fails to pay such duty within three months from such date, then, such person shall be liable to pay interest under this section from the date immediately after three months from such date, till the date of payment of such duty.

Explanation 1.-Where the duty determined to be payable is reduced by the Commissioner (Appeals), Appellate Tribunal [, National Tax Tribunal]

[Inserted by Act 22 of 1995, Section 51 (w.e.f. 26.5.1995).]

[or, as the case may be, the Court, the date of such determination shall be the date on which an amount of duty is first determined to be payable.

Explanation 2.-Where the duty determined to be payable is increased or further increased by the Commissioner (Appeals), Appellate Tribunal [, National Tax Tribunal]

[Inserted by Act 22 of 1995, Section 51 (w.e.f. 26.5.1995).]

[or, as the case may be, the Court, the date of such determination shall be,-

(a)

for the amount of duty first determined to be payable, the date on which the duty is so determined;

(b)

for the amount of increased duty, the date of order by which the increased amount of duty is first determined to be payable;

(c)

for the amount of further increase of duty, the date of order on which the duty is so further increased.]

(2)

[The provisions of sub-section (1) shall not apply to cases where the duty or the interest becomes payable or ought to be paid on and after the date on which the Finance Bill, 2001 receives the assent of the President.]

[Inserted by Act 14 of 2001, Section 104 (w.e.f. 11.5.2001).]

28AB.

[Interest on delayed payment of duty in special cases.

[Inserted by Act 33 of 1996, Section 62 (w.e.f. 28.9.1996).]

- [(1) Where any duty has not been levied or paid or has been short-levied or short-paid or erroneously refunded, the person who is liable to pay the duty as determined under sub-section (2), or has paid the duty under sub-section (2-B), of section 28, shall, in addition to the duty, be liable to pay interest at such rate not below [ten per cent.]

[Inserted by Act 22 of 1995, Section 51 (w.e.f. 26.5.1995).]

[and not exceeding thirty-six per cent. per annum, as is for the time being fixed by the Central Government, by notification in the Official Gazette, from the first day of the month succeeding the month in which the duty ought to have been paid under this Act, or from the date of such erroneous refund, as the case may be, but for the provisions contained in sub-section (2), or sub-section (2-B) of section 28, till the date of payment of such duty:

Provided that in such cases where the duty becomes payable consequent to issue of an order, instruction or direction by

the Board under section 151-A, and such amount of duty payable is voluntarily paid in full, without reserving any right to appeal against such payment at any subsequent stage, within forty-five days from the date of issue of such order, instruction or direction, as the case may be, no interest shall be payable and in other cases the interest shall be payable on the whole of the amount, including the amount already paid.

(2)

[The provisions of sub-section (1) shall not apply to cases where the duty or interest had become payable or ought to have been paid before the date on which the Finance Bill, 2001 receives the assent of the President.]

[Substituted by Act 14 of 2001, Section 105, for sub-Section (1) (w.e.f. 11.5.2001).]

[Explanation 1.-Where the duty determined to be payable is reduced by the Commissioner (Appeals), the Appellate Tribunal [, National Tax Tribunal]

[Inserted by Act 33 of 1996, Section 62 (w.e.f. 28.9.1996).]

[or, as the case may be, the Court, the interest shall be payable on such reduced amount of duty.

Explanation 2.-Where the duty determined to be payable is increased or further increased by the Commissioner (Appeals), the Appellate Tribunal [, National Tax Tribunal]

[Inserted by Act 33 of 1996, Section 62 (w.e.f. 28.9.1996).]

[or, as the case may be, the Court, the interest shall be payable on such increased or further increased amount of duty.]

[Inserted by Act 33 of 1996, Section 62 (w.e.f. 28.9.1996).]

28B.

[Duties collected from the buyer to be deposited with the Central Government.

[Inserted by Act 40 of 1991, Section 12 (w.e.f. 20.9.1991).]

(1)

Notwithstanding anything to the contrary contained in any order or direction of the Appellate Tribunal [, National Tax Tribunal][or any Court or in any other provision of this Act or the regulations made thereunder, [every person who is liable to pay duty under this Act and has collected any amount in excess of the duty assessed or determined or paid on any goods under this Act from the buyer of such goods] [in any manner as representing duty of customs, shall forthwith pay the amount so collected to the credit of the Central Government.

[(1-A) Every person who has collected any amount in excess of the duty assessed or determined or paid on any goods or has collected any amount as representing duty of customs on any goods which are wholly exempt or are chargeable to nil rate of duty from any person in any manner, shall forthwith pay the amount so collected to the credit of the Central Government.]

[Inserted by Act 40 of 1991, Section 12 (w.e.f. 20.9.1991).]

(2)

[Where any amount is required to be paid to the credit of the Central Government under [sub-section (1) or sub-section (1-A), as the case may be,]

[Substituted by Act 10 of 2000, Section 82, for sub-Section (2) (w.r.e.f. 20.9.1991).]

[and which has not been so paid, the proper officer may serve on the person liable to pay such amount, a notice requiring him to show cause why he should not pay the amount, as specified in the notice to the credit of the Central Government.

(3)

The proper officer shall, after considering the representation, if any, made by the person on whom the notice is served under sub-section (2), determine the amount due from such person (not being in excess of the amount specified in the notice) and thereupon such person shall pay the amount so determined.

(4)

The amount paid to the credit of the Central Government under [sub-section (1) or sub-section (1-A) or sub-section (3), as the case may be,]

[Inserted by Act 40 of 1991, Section 12 (w.e.f. 20.9.1991).]

shall be adjusted against the duty payable by the person on finalisation of assessment or any other proceeding for determination of the duty relating to the goods referred to in [sub-section (1) and sub-section (1-A).]

[Substituted by Act 18 of 2008, Section 68, for " sub-Section (1)" .]

(5)

[Where any surplus is left after the adjustment made under sub-section (4), the amount of such surplus shall either be

credited to the Fund or, as the case may be, refunded to the person who has borne the incidence of such amount, in accordance with the provisions of section 27 and such person may make an application under that section in such cases within six months from the date of the public notice to be issued by the Assistant Commissioner of Customs for the refund of such surplus amount.]

[Inserted by Act 40 of 1991, Section 12 (w.e.f. 20.9.1991).]

28BA.

[Provisional attachment to protect revenue in certain cases.

[Inserted by Act 29 of 2006, Section 23 (w.e.f. 13.7.2006).]

(1)

Where, during the pendency of any proceeding under section 28 or section 28-B, the proper officer is of the opinion that for the purpose of protecting the interests of revenue, it is necessary so to do, he may, with the previous approval of the Commissioner of Customs, by order in writing, attach provisionally any property belonging to the person on whom notice is served under sub-section (1) of section 28 or sub-section (2) of section 28-B, as the case may be, in accordance with the rules made in this behalf under section 142.

(2)

Every such provisional attachment shall cease to have effect after the expiry of a period of six months from the date of the order made under sub-section (1):

Provided that the Chief Commissioner of Customs may, for reasons to be recorded in writing, extend aforesaid period by such further period or periods as he thinks fit, so, however, that the total period of extension shall not in any case exceed two years:

Provided further that where an application for settlement of case under section 127-B is made to the Settlement Commission, the period commencing from the date on which such application is made and ending with the date on which an order under sub-section (1) of section 127-C is made shall be excluded from the period specified in the preceding proviso.]

[CHAPTER V-A

[Inserted by Act 40 of 1991, Section 13 (w.e.f. 20.9.1991).]

Indicating Amount Of Duty In The Price Of Goods, Etc., For Purpose Of Refund

28C.

Price of goods to indicate the amount of duty paid thereon.

- Notwithstanding anything contained in this Act or any other law for the time being in force, every person who is liable to pay duty on any goods shall, at the time of clearance of the goods, prominently indicate in all the documents relating to assessment, sales invoice, and other like documents, the amount of such duty which will form part of the price at which such goods are to be sold.

28D.

Presumption that incidence of duty has been passed on to the buyer.

- Every person who has paid the duty on any goods under this Act shall, unless the contrary is proved by him, be deemed to have passed on the full incidence of such duty to the buyer of such goods.]

[CHAPTER V-B

[Chapter V-B inserted by Act

27 of 1999

, Section 103 (w.e.f. 11.5.1999).]

Advance Rulings

28E.

Definitions.

- In this Chapter, unless the context otherwise requires,-

[***]

[Omitted '(a)'activity' means import or export;' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(b)

["advance ruling" means a written decision on any of the questions referred to in section 28H raised by the applicant in his application in respect of any goods prior to its importation or exportation;]

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(ba)

["Appellate Authority" means the Authority for Advance Rulings constituted under section 245-O of the Income-tax Act, 1961 (43 of 1961);]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(c)

["applicant" means any person, -

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(i)

holding a valid Importer-exporter Code Number granted under section 7 of the Foreign Trade (Development and Regulation) Act, 1992; or

(ii)

exporting any goods to India; or

(iii)

with a justifiable cause to the satisfaction of the Authority, who makes an application for advance ruling under section 28H;]

[Explanation.-For the purposes of this clause, "joint venture in India" means a contractual arrangement whereby two or more persons undertake an economic activity which is subject to joint control and one or more of the participants or partners or equity holders is a non-resident having substantial interest in such arrangement;]

[Inserted by Act 22 of 2007, Section 97 (w.e.f. 11.5.2007).]

(d)

["application" means an application made to the Authority under sub-section (1) of section 28-H;

[Chapter V-B inserted by Act

27 of 1999

, Section 103 (w.e.f. 11.5.1999).]

(e)

["Authority" means the Customs Authority for Advance Rulings appointed under section 28EA;]

(f)

"Chairperson" means the Chairperson of the [Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

;

(g)

"Member" means a Member of the [Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

and includes the Chairperson; and

(h)

["non-resident", "Indian company" and "foreign company" have the meanings respectively assigned to them in clauses (30), (26) and (23-A) of section 2 of the Income-tax Act, 1961 (43 of 1961).]

[Substituted by Act 32 of 2003, Section 110, for Clause (h) (w.e.f. 14.5.2003).]

28EA.

[Customs Authority for Advance Rulings.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(1)

The Board may, for the purposes of giving advance rulings under this Act, by notification, appoint an officer of the rank of Principal Commissioner of Customs or Commissioner of Customs to function as a Customs Authority for Advance Rulings:

Provided that till the date of appointment of the Customs Authority for Advance Rulings, the existing Authority for Advance Rulings constituted under section 245-O of the Income-tax Act, 1961 shall continue to be the Authority for giving advance rulings for the purposes of this Act.

(2)

The offices of the Authority may be established in New Delhi and at such other places, as the Board may deem fit.

(3)

Subject to the provisions of this Act, the Authority shall exercise the powers and authority conferred on it by or under this Act.]

28F.

[Authority for Advance Rulings.

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(1)

Subject to the provisions of this Act, the Authority for Advance Rulings constituted under section 245-O of the Income-tax Act, 1961 shall be [the Appellate Authority for deciding appeal under this Chapter and the said Appellate Authority] shall exercise the jurisdiction, powers and authority conferred on it by or under this Act:

Provided that the Member from the Indian Revenue Service (Customs and Central Excise), who is qualified to be a Member of the Board, shall be the revenue Member of the [Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

for the purposes of this Act.

(2)

On and from the date on which the Finance Bill, 2017 receives the assent of the President, every application and proceeding pending before the erstwhile Authority for Advance Rulings (Central Excise, Customs and Service Tax) shall stand transferred to the Authority from the stage at which such application or proceeding stood as on the date of such assent.]

[(2-A) Notwithstanding anything contained in sub-sections (1) and (2), or any other law for the time being in force, the Central Government may, by notification in the Official Gazette, authorise an Authority constituted under section 245-O of the Income-tax Act, 1961 (43 of 1961), to act as an Authority under this Chapter.

(2-B) On and from the date of publication of notification under sub-section (2-A), the Authority constituted under sub-section (1) shall not exercise jurisdiction under this Chapter.

(2-C) For the purposes of sub-section (2-A), the reference to "an officer of the Indian Revenue Service who is qualified to be a Member of Central Board of Direct Taxes" in clause (b) of sub-section (2) of section 245-O of the Income-tax Act, 1961 (43 of 1961) shall be construed as reference to "an officer of the Indian Customs and Central Excise Service who is qualified to be a Member of the Board".

(2-D) On and from the date of the authorisation of Authority under sub-section (2-A), every application and proceeding pending before the Authority constituted under sub-section (1) shall stand transferred to the Authority so authorised from the stage at which such proceedings stood before the date of such authorisation.]

[Inserted by Act 33 of 2009, Section 86.]

(3)

[On and from the date of appointment of the Customs Authority for Advance Rulings, every application and proceeding pending before the erstwhile Authority for Advance Rulings shall stand transferred to the Authority from the stage at which such application or proceeding stood as on the date of such appointment.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(4)

The Central Government shall provide the Authority with such officers and staff as may be necessary for the efficient exercise of the powers of the Authority under this Act.

(5)

The office of the Authority shall be located in Delhi.

28G.

[

[Omitted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

***]

28G. Vacancies, etc., not to invalidate proceedings.- No proceeding before, or pronouncement of advance ruling by, the Authority under this Chapter shall be questioned or shall be invalid on the ground merely of the existence of any vacancy or defect in the constitution of the Authority.

28H.

Application for advance ruling.

- An applicant desirous of obtaining an advance ruling under this Chapter may make an application in such form and in

such manner as may be prescribed, stating the question on which the advance ruling is sought.

(2)

The question on which the advance ruling is sought shall be in respect of, -

(a)

classification of goods under the Customs Tariff Act, 1975 (51 of 1975

);

(b)

applicability of a notification issued under sub-section (1) of section 25, having a bearing on the rate of duty;

(c)

the principles to be adopted for the purposes of determination of value of the goods under the provisions of this Act;

(d)

[Applicability Of Notifications Issued In Respect Of Tax Or Duties Under This Act Or The Customs Tariff Act, 1975 Or Any Tax Or Duty Chargeable Under Any Other Law For The Time Being In Force In The Same Manner As Duty Of Customs Leviable Under This Act Or The Customs Tariff Act;]

[Substituted By Finance Act, 2018 (Act No. 13 of 2018), Dated 29.3.2018.]

(e)

[determination of origin of the goods in terms of the rules notified under the Customs Tariff Act, 1975 (51 of 1975

) and matters relating thereto.]

[Inserted by Act 18 of 2005, Section 67 (w.e.f. 13.5.2005).]

(f)

[any other matter as the Central Government may, by notification, specify.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(3)

[The application shall be made in quadruplicate and be accompanied by a fee of [ten thousand rupees]

[Chapter V-B inserted by Act

27 of 1999

, Section 103 (w.e.f. 11.5.1999).]

.

(4)

An applicant may withdraw his application within thirty days from the date of the application.

(5)

[The applicant may be represented by any person resident in India who is authorised in this behalf.

Explanation. - For the purposes of this sub-section "resident" shall have the same meaning as assigned to it in clause (42) of section 2 of the Income-tax Act, 1961 (43 of 1961).]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

28I.

Procedure on receipt of application.

(1)

On receipt of an application, the Authority shall cause a copy thereof to be forwarded to the Commissioner of Customs and, if necessary, call upon him to furnish the relevant records:

Provided that where any records have been called for by the Authority in any case, such records shall, as soon as possible, be returned to the Commissioner of Customs.

(2)

The Authority may, after examining the application and the records called for, by order, either allow or reject the application:

Provided that the Authority shall not allow the application [* * *]

[The words " except in the case of a resident applicant" omitted by Act 20 of 2002, Section 122 (w.e.f. 11.5.2002).]

[where the question raised in the application is-

(a)

already pending in the applicant's case before any officer of customs, the Appellate Tribunal or any Court;

(b)

the same as in a matter already decided by the Appellate Tribunal or any Court:

Provided further that no application shall be rejected, under this sub-section unless an opportunity has been given to the applicant of being heard:

Provided also that where the application is rejected, reasons for such rejection shall be given in the order.

(3)

A copy of every order made under sub-section (2) shall be sent to the applicant and to the Commissioner of Customs.

(4)

Where an application is allowed under sub-section (2), the Authority shall, after examining such further material as may be placed before it by the applicant or obtained by the Authority, pronounce its advance ruling on the question specified in the application.

(5)

On a request received from the applicant, the Authority shall, before pronouncing its advance ruling, provide an opportunity to the applicant of being heard, either in person or through a duly authorised representative.

Explanation.-For the purposes of this sub-section, "authorised representative" shall have the meaning assigned to it in sub-section (2) of section 146-A.

(6)

The Authority shall pronounce its advance ruling in writing within [three months]

[Chapter V-B inserted by Act

27 of 1999

, Section 103 (w.e.f. 11.5.1999).]

of the receipt of application.

(7)

A copy of the advance ruling pronounced by the Authority, duly signed by the Members and certified in the prescribed manner shall be sent to the applicant and to the Commissioner of Customs, as soon as may be, after such pronouncement.

28J.

Applicability of advance ruling.

(1)

The advance ruling pronounced by the Authority under section 28-I shall be binding only-

(a)

on the applicant who had sought it;

(b)

in respect of any matter referred to in sub-section (2) of section 28-H;

(c)

on the Commissioner of Customs, and the customs authorities subordinate to him, in respect of the applicant.

(2)

The advance ruling referred to in sub-section (1) shall be binding as aforesaid unless there is a change in law or facts on the basis of which the advance ruling has been pronounced.

28K.

Advance ruling to be void in certain circumstances.

(1)

Where the Authority finds, on a representation made to it by the Commissioner of Customs or otherwise, that an advance ruling pronounced by it under sub-section (6) of section 28-I has been obtained by the applicant by fraud or misrepresentation of facts, it may, by order, declare such ruling to be void abinitio and thereupon all the provisions of this Act shall apply [***]

[Omitted '(after excluding the period beginning with the date of such advance ruling and ending with the date of order under this sub-section)' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

to the applicant as if such advance ruling had never been made.

[Provided that in computing the period of two years referred to in clause (a) of sub-section (1) of section 28, or five years

referred to in sub-section (4) thereof, for service of notice for recovery of any duty not levied, short-levied, not paid or short-paid on account of the advance ruling, the period beginning with the date of such advance ruling and ending with the date of the order under this sub-section shall be excluded.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(2)

A copy of the order made under sub-section (1) shall be sent to the applicant and the Commissioner of Customs.

28KA.

[Appeal.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(1)

Any officer authorised by the Board, by notification, or the applicant may file an appeal to the Appellate Authority against any ruling or order passed by the Authority, within sixty days from the date of the communication of such ruling or order, in such form and manner as may be prescribed:

Provided that where the Appellate Authority is satisfied that the appellant was prevented by sufficient cause from presenting the appeal within the period so specified, it may allow a further period of thirty days for filing such appeal.

(2)

The provisions of sections 28-I and 28J shall, mutatis mutandis, apply to the appeal under this section.]

28L.

Powers of Authority.

(1)

The [Authority or Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall, for the purpose of exercising its powers regarding discovery and inspection, enforcing the attendance of any person and examining him on oath, issuing commissions and compelling production of books of account and other records, have all the powers of a Civil Court under the Code of Civil Procedure, 1908 (5 of 1908).

(2)

The [Authority or Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall be deemed to be a Civil Court for the purposes of section 195, but not for the purposes of Chapter XXVI of the Code of Criminal Procedure, 1973 (2 of 1974), and every proceeding before the [Authority or Appellate Authority]

[Substituted 'Authority' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228, and for the purpose of section 196, of the Indian Penal Code (45 of 1860).

28M.

[Procedure for Authority and Appellate Authority.

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(1)

The Authority shall follow such procedure as may be prescribed.

(2)

The Appellate Authority shall, subject to the provisions of this Chapter, have power to regulate its own procedure in all matters arising out of the exercise of its powers and authority under this Act.]

Chapter VI

Provisions Relating To Conveyances Carrying Imported Or Exported Goods

29.

Arrival of vessels and aircrafts in India.

(1)

The person-in-charge of a vessel or an aircraft entering India from any place outside India shall not cause or permit the vessel or aircraft to call or land-

(a)

for the first time after arrival in India; or

(b)

at any time while it is carrying passengers or cargo brought in that vessel or aircraft;
at any place other than a customs port or a customs airport, as the case may be.

(2)

The provisions of sub-section (1) shall not apply in relation to any vessel or aircraft which is compelled by accident, stress of weather or other unavoidable cause to call or land at a place other than a customs port or customs airport but the person-in-charge of any such vessel or aircraft-

(a)

shall immediately report the arrival of the vessel or the landing of the aircraft to the nearest customs officer or the officer-in-charge of a police station and shall on demand produce to him the log book belonging to the vessel or the aircraft;

(b)

shall not without the consent of any such officer permit any goods carried in the vessel or the aircraft to be unloaded from, or any of the crew or passengers to depart from the vicinity of, the vessel or the aircraft; and

(c)

shall comply with any directions given by any such officer with respect to any such goods, and no passenger or member of the crew shall, without the consent of any such officer, leave the immediate vicinity of the vessel or the aircraft:

Provided that nothing in this section shall prohibit the departure of any crew or passengers from the vicinity of, or the removal of goods from, the vessel or aircraft where the departure or removal is necessary for reasons of health, safety or the preservation of life or property.

30.

Delivery of import manifest or import report.

- [(1) The person-in-charge of-

(i)

a vessel; or

(ii)

an aircraft; or

(iii)

a vehicle, carrying imported goods [or export goods] or any other person as may be specified by the Central Government, by notification in the Official Gazette, in this behalf shall, in the case of a vessel or an aircraft, deliver to the proper officer an import manifest prior to the arrival of the vessel or the aircraft, as the case may be, and in the case of a vehicle, an import report within twelve hours after its arrival in the customs station, in [such form and manner as may be prescribed]

[Substituted 'the prescribed form' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

and if the import manifest or the import report or any part thereof, is not delivered to the proper officer within the time specified in this sub-section and if the proper officer is satisfied that there was no sufficient cause for such delay, the person-in-charge or any other person referred to in this sub-section, who caused such delay, shall be liable to a penalty not exceeding fifty thousand rupees.]

(2)

The person delivering the import manifest or import report shall at the foot thereof make and subscribe to a declaration as to the truth of its contents.

(3)

If the proper officer is satisfied that the import manifest or import report is in any way incorrect or incomplete, and that there was no fraudulent intention, he may permit it to be amended or supplemented.

30A.

[Passenger and crew arrival manifest and passenger name record information.

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(1)

The person-in-charge of a conveyance that enters India from any place outside India or any other person as may be specified by the Central Government by notification in the Official Gazette, shall deliver to the proper officer-

(i)

the passenger and crew arrival manifest before arrival in the case of an aircraft or a vessel and upon arrival in the case

of a vehicle; and

(ii)

the passenger name record information of arriving passengers, in such form, containing such particulars, in such manner and within such time, as may be prescribed.

(2)

Where the passenger and crew arrival manifest or the passenger name record information or any part thereof is not delivered to the proper officer within the prescribed time and if the proper officer is satisfied that there was no sufficient cause for such delay, the person-in-charge or the other person referred to in sub-section (1) shall be liable to such penalty, not exceeding fifty thousand rupees, as may be prescribed.]

[Substituted by Act 32 of 2003, Section 112, for sub-Section (1) (w.e.f. 14.5.2003).]

31.

Imported goods not to be unloaded from vessel until entry inwards granted.

(1)

The master of a vessel shall not permit the unloading of any imported goods until an order has been given by the proper officer granting entry inwards to such vessel.

(2)

No order under sub-section (1) shall be given until an import manifest has been delivered or the proper officer is satisfied that there was sufficient cause for not delivering it.

(3)

Nothing in this section shall apply to the unloading of baggage accompanying a passenger or a member of the crew, mail bags, animals, perishable goods and hazardous goods.

32.

Imported goods not to be unloaded unless mentioned in import manifest or import report.

- No imported goods required to be mentioned under the regulations in an import manifest or import report shall, except with the permission of the proper officer, be unloaded at any customs station unless they are specified in such manifest or report for being unloaded at that customs station.

33.

Unloading and loading of goods at approved places only.

- Except with the permission of the proper officer, no imported goods shall be unloaded, and no export goods shall be loaded, at any place other than a place approved under clause (a) of section 8 for the unloading or loading of such goods.

34.

Goods not to be unloaded or loaded except under supervision of customs officer.

- Imported goods shall not be unloaded from, and export goods shall not be loaded on, any conveyance except under the supervision of the proper officer:

Provided that the Board may, by notification in the Official Gazette, give general permission and the proper officer may in any particular case give special permission, for any goods or class of goods to be unloaded or loaded without the supervision of the proper officer.

35.

Restrictions on goods being water-borne.

- No imported goods shall be water-borne for being landed from any vessel, and no export goods which are not accompanied by a shipping bill, shall be water-borne for being shipped, unless the goods are accompanied by a boat-note in the prescribed form:

Provided that the Board may, by notification in the Official Gazette, give general permission, and the proper officer may in any particular case give special permission, for any goods or any class of goods to be water-borne without being accompanied by a boat-note.

36.

Restrictions on unloading and loading of goods on holidays, etc.

- No imported goods shall be unloaded from, and no export goods shall be loaded on, any conveyance on any Sunday or on any holiday observed by the Customs Department or on any other day after the working hours, except after giving the prescribed notice and on payment of the prescribed fees, if any:

Provided that no fees shall be levied for the unloading and loading of baggage accompanying a passenger or a member of the crew, and mail bags.

37.

Power to board conveyances.

- The proper officer may, at any time, board any conveyance carrying imported goods or export goods and may remain on such conveyance for such period as he considers necessary.

38.

Power to require production of documents and ask questions.

- For the purposes of carrying out the provisions of this Act, the proper officer may require the person-in-charge of any conveyance or animal carrying imported goods or export goods to produce any document and to answer any questions and thereupon such person shall produce such documents and answer such questions.

39.

Export goods not to be loaded on vessel until entry-outwards granted.

- The master of a vessel shall not permit the loading of any export goods, other than baggage and mail bags, until an order has been given by the proper officer granting entry-outwards to such vessel.

40.

Export goods not to be loaded unless duly passed by proper officer.

- The person-in-charge of a conveyance shall not permit the loading at a customs station-

(a)

of export goods, other than baggage and mail bags, unless a shipping bill or bill of export or a bill of transshipment, as the case may be, duly passed by the proper officer, has been handed over to him by the exporter;

(b)

of baggage and mail bags, unless their export has been duly permitted by the proper officer.

41.

Delivery of export manifest or export report.

(1)

The person-in-charge of a conveyance carrying export goods [or imported goods]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall, before departure of the conveyance from a customs station, deliver to the proper officer in the case of a vessel or aircraft, an export manifest, and in the case of a vehicle, an export report, in [such form and manner as may be prescribed and in case, the person-in-charge fails to deliver the departure manifest or export manifest or the export report or any part thereof within such time, and the proper officer is satisfied that there is no sufficient cause for such delay, such person-in-charge shall be liable to pay penalty not exceeding fifty thousand rupees]:

[Substituted 'the prescribed form' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

[* * *]

Proviso omitted by Act 23 of 2004, Section 66 (w.e.f. 10.9.2004). Prior to its omission, the proviso read as under:- " Provided that if the agent of the person-in-charge of the conveyance furnishes such security as the proper officer deems sufficient for duly delivering within seven days from the date of departure of the conveyance the export manifest or the export report, as the case may be, the proper officer may (subject to such rules as the Central Government may make in this behalf) accept such manifest or report within the aforesaid period."

(2)

The person delivering the export manifest or export report shall at the foot thereof make and subscribe to a declaration as to the truth of its contents.

(3)

If the proper officer is satisfied that the export manifest or export report is in any way incorrect or incomplete and that there was no fraudulent intention, he may permit such manifest or report to be amended or supplemented.

41A.

[Passenger and crew departure manifest and passenger name record information.

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(1)

The person-in-charge of a conveyance that departs from India to a place outside India or any other person as may be

specified by the Central Government by notification in the Official Gazette, shall deliver to the proper officer -

(i)
the passenger and crew departure manifest; and

(ii)
the passenger name record information of departing passengers, in such form, containing such particulars, in such manner and within such time, as may be prescribed.

(2)
Where the passenger and crew departure manifest or the passenger name record information or any part thereof is not delivered to the proper officer within the prescribed time and if the proper officer is satisfied that there was no sufficient cause for such delay, the person-in-charge or the other person referred to in sub-section (1) shall be liable to such penalty, not exceeding fifty thousand rupees, as may be prescribed.]

42.
No conveyance to leave without written order.

(1)
The person-in-charge of a conveyance which has brought any imported goods or has loaded any export goods at a customs station shall not cause or permit the conveyance to depart from that customs station until a written order to that effect has been given by the proper officer.

(2)
No such order shall be given until-

(a)
the person-in-charge of the conveyance has answered the questions put to him under section 38;

(b)
the provisions of section 41 have been complied with;

(c)
the shipping bills or bills of export, the bills of transshipment, if any, and such other documents as the proper officer may require, have been delivered to him;

(d)
all duties leviable on any stores consumed in such conveyance, and all charges and penalties due in respect of such conveyance or from the person-in-charge thereof have been paid or the payment secured by such guarantee or deposit of such amount as the proper officer may direct;

(e)
the person-in-charge of the conveyance has satisfied the proper officer that no penalty is leviable on him under section 116 or the payment of any penalty that may be levied upon him under that section has been secured by such guarantee or deposit of such amount as the proper officer may direct;

(f)
in any case where any export goods have been loaded without payment of export duty or in contravention of any provision of this Act or any other law for the time being in force relating to export of goods,-

(i)
such goods have been unloaded, or

(ii)
where the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

is satisfied that it is not practicable to unload such goods, the person-in-charge of the conveyance has given an undertaking, secured by such guarantee or deposit of such amount as the proper officer may direct, for bringing back the goods to India.

43.
Exemption of certain classes of conveyances from certain provisions of this Chapter.

(1)

The provisions of sections 30, 41 and 42 shall not apply to a vehicle which carries no goods other than the luggage of its occupants.

(2)

The Central Government may, by notification in the Official Gazette, exempt the following classes of conveyances from all or any of the provisions of this Chapter-

(a)

conveyances belonging to the Government or any foreign Government;

(b)

vessels and aircraft which temporarily enter India by reason of any emergency.

Chapter VII

Clearance Of Imported Goods And Export Goods

44.

Chapter not to apply to baggage and postal articles.

- The provisions of this Chapter shall not apply to (a) baggage, and (b) goods imported or to be exported by post.

Clearance of imported goods

45.

Restrictions on custody and removal of imported goods.

(1)

Save as otherwise provided in any law for the time being in force, all imported goods, unloaded in a customs area, shall remain in the custody of such person as may be approved by the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

until they are cleared for home consumption or are warehoused or are transhipped in accordance with the provisions of Chapter VIII.

(2)

The person having custody of any imported goods in a customs area, whether under the provisions of sub-section (1) or under any law for the time being in force,-

(a)

shall keep a record of such goods and send a copy thereof to the proper officer;

(b)

shall not permit such goods to be removed from the customs area or otherwise dealt with, except under and in accordance with the permission in writing of the proper officer [or in such manner as may be prescribed]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

.

(3)

[Notwithstanding anything contained in any law for the time being in force, if any imported goods are pilfered after unloading thereof in a customs area while in the custody of a person referred to in sub-section (1), that person shall be liable to pay duty on such goods at the rate prevailing on the date of delivery of an import manifest or, as the case may be, an import report to the proper officer under section 30 for the arrival of the conveyance in which the said goods were carried.]

[Inserted by Act 22 of 1995, Section 58 (w.e.f. 26.5.1995).]

46.

Entry of goods on importation.

(1)

The importer of any goods, other than goods intended for transit or transshipment, shall make entry thereof by presenting to the proper officer a bill of entry for home consumption or warehousing [in such form and manner as may be prescribed]

[Substituted 'in the prescribed form' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

:

Provided that if the importer makes and subscribes to a declaration before the proper officer, to the effect that he is unable for want of full information to furnish all the particulars of the goods required under this sub-section, the proper officer may, pending the production of such information, permit him, previous to the entry thereof (a) to examine the

goods in the presence of an officer of customs, or (b) to deposit the goods in a public warehouse appointed under section 57 without warehousing the same.

(2)

Save as otherwise permitted by the proper officer, a bill of entry shall include all the goods mentioned in the bill of lading or other receipt given by the carrier to the consignor.

(3)

[The importer shall present the bill of entry under sub-section (1) before the end of the next day following the day (excluding holidays) on which the aircraft or vessel or vehicle carrying the goods arrives at a customs station at which such goods are to be cleared for home consumption or warehousing:

Provided that a bill of entry may be presented [at any time not exceeding thirty days prior to]

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

of the expected arrival of the aircraft or vessel or vehicle by which the goods have been shipped for importation into India:

Provided further that where the bill of entry is not presented within the time so specified and the proper officer is satisfied that there was no sufficient cause for such delay, the importer shall pay such charges for late presentation of the bill of entry as may be prescribed.]

(4)

The importer while presenting a bill of entry shall at the foot thereof make and subscribe to a declaration as to the truth of the contents of such bill of entry and shall, in support of such declaration, produce to the proper officer the invoice, if any, [and such other documents relating to the imported goods as may be prescribed]

[Substituted 'relating to the imported goods' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

.

(4A)

[The importer who presents a bill of entry shall ensure the following, namely: -

(a)

the accuracy and completeness of the information given therein;

(b)

the authenticity and validity of any document supporting it; and

(c)

compliance with the restriction or prohibition, if any, relating to the goods under this Act or under any other law for the time being in force.]

(5)

If the proper officer is satisfied that the interests of revenue are not prejudicially affected and that there was no fraudulent intention, he may permit substitution of a bill of entry for home consumption for a bill of entry for warehousing or vice versa.

47.

Clearance of goods for home consumption.

- [(1)]

[Section 47 renumbered as sub-Section (1) thereof and sub-Section (2) inserted by Act 55 of 1991, Section 3 (w.e.f. 23.12.1991).]

[Where the proper officer is satisfied that any goods entered for home consumption are not prohibited goods and the importer has paid the import duty, if any, assessed thereon and any charges payable under this Act in respect of the same, the proper officer may make an order permitting clearance of the goods for home consumption.

(2)

[The importer shall pay the import duty -

(a)

on the date of presentation of the bill of entry in the case of self-assessment; or

(b)

within one day (excluding holidays) from the date on which the bill of entry is returned to him by the proper officer for payment of duty in the case of assessment, reassessment or provisional assessment; or

(c)

in the case of deferred payment under the proviso to sub-section (1), from such due date as may be specified by rules made in this behalf,

and if he fails to pay the duty within the time so specified, he shall pay interest on the duty not paid or short-paid till the date of its payment, at such rate, not less than ten per cent. but not exceeding thirty-six per cent. per annum, as may be fixed by the Central Government, by notification in the Official Gazette.]

[Section 47 renumbered as sub-Section (1) thereof and sub-Section (2) inserted by Act 55 of 1991, Section 3 (w.e.f. 23.12.1991).]

[on such duty till the date of payment of the said duty:

Provided that where the bill of entry is returned for payment of duty before the commencement of the Customs (Amendment) Act, 1991 and the importer has not paid such duty before such commencement, the date of return of such bill of entry to him shall be deemed to be the date of such commencement for the purpose of this section:]

[Section 47 renumbered as sub-Section (1) thereof and sub-Section (2) inserted by Act 55 of 1991, Section 3 (w.e.f. 23.12.1991).]

[Provided further that if the Board is satisfied that it is necessary in the public interest so to do, it may, by order for reasons to be recorded, waive the whole or part of any interest payable under this section.]

[Inserted by Act 22 of 1995, Section 59 (w.e.f. 26.5.1995).]

48.

Procedure in case of goods not cleared, warehoused, or transhipped within [thirty days]

[Substituted by Act 55 of 1991, Section 4, for " two months" (w.e.f. 23.12.1991).]

after unloading.

- If any goods brought into India from a place outside India are not cleared for home consumption or warehoused or transhipped [within [thirty days]

[Substituted by Act 80 of 1985, Section 4, for " within two months" (w.e.f. 27.12.1985).]

from the date of the unloading thereof at a customs station or within such further time as the proper officer may allow or if the title to any imported goods is relinquished, such goods may, after notice to the importer and with the permission of the proper officer be sold by the person having the custody thereof:

Provided that-

(a)

animals, perishable goods and hazardous goods, may, with the permission of the proper officer, be sold at any time;

(b)

arms and ammunition may be sold at such time and place and in such manner as the Central Government may direct.

Explanation. - In this section, "arms" and "ammunition" have the meanings respectively assigned to them in the Arms Act, 1959 (

54 of 1959

).

49.

[Storage of imported goods in warehouse pending clearance or removal.

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

- Where, -

(a)

in the case of any imported goods, whether dutiable or not, entered for home consumption, the Assistant Commissioner of Customs or Deputy Commissioner of Customs is satisfied on the application of the importer that the goods cannot be cleared within a reasonable time;

(b)

in the case of any imported dutiable goods, entered for warehousing, the Assistant Commissioner of Customs or Deputy Commissioner of Customs is satisfied on the application of the importer that the goods cannot be removed for deposit in a warehouse within a reasonable time,

the goods may pending clearance or removal, as the case may be, be permitted to be stored in a public warehouse for a period not exceeding thirty days:

Provided that the provisions of Chapter IX shall not apply to goods permitted to be stored in a public warehouse under this section:

Provided further that the Principal Commissioner of Customs or Commissioner of Customs may extend the period of storage for a further period not exceeding thirty days at a time.]

50.

Entry of goods for exportation.

(1)

The exporter of any goods shall make entry thereof by presenting to the proper officer in the case of goods to be exported in a vessel or aircraft, a shipping bill, and in the case of goods to be exported by land, a bill of export [in such form and manner as may be prescribed]

[Substituted 'in the prescribed form' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

.

(2)

The exporter of any goods, while presenting a shipping bill or bill of export, shall at the foot thereof make and subscribe to a declaration as to the truth of its contents.

(3)

[The exporter who presents a shipping bill or bill of export under this section shall ensure the following, namely: -

(a)

the accuracy and completeness of the information given therein;

(b)

the authenticity and validity of any document supporting it; and

(c)

compliance with the restriction or prohibition, if any, relating to the goods under this Act or under any other law for the time being in force.]

51.

Clearance of goods for exportation.

- Where the proper officer is satisfied that any goods entered for export are not prohibited goods and the exporter has paid the duty, if any, assessed thereon and any charges payable under this Act in respect of the same, the proper officer may make an order permitting clearance and loading of the goods for exportation.

[Chapter VII-A]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

Payments Through Electronic Cash Ledger

51A.

Payment of duty, interest, penalty, etc.

(1)

Every deposit made towards duty, interest, penalty, fee or any other sum payable by a person under the provisions of this Act or under the Customs Tariff Act, 1975 or under any other law for the time being in force or the rules and regulations made thereunder, using authorised mode of payment shall, subject to such conditions and restrictions, be credited to the electronic cash ledger of such person, to be maintained in such manner, as may be prescribed.

(2)

The amount available in the electronic cash ledger may be used for making any payment towards duty, interest, penalty, fees or any other sum payable under the provisions of this Act or under the Customs Tariff Act, 1975 or under any other law for the time being in force or the rules and regulations made thereunder in such manner and subject to such conditions and within such time as may be prescribed.

(3)

The balance in the electronic cash ledger, after payment of duty, interest, penalty, fee or any other amount payable, may be refunded in such manner as may be prescribed.

(4)

Notwithstanding anything contained in this section, if the Board is satisfied that it is necessary or expedient so to do, it may, by notification, exempt the deposits made by such class of persons or with respect to such categories of goods, as may be specified in the notification, from all or any of the provisions of this section.

Chapter VIII

Goods In Transit

52.

Chapter not to apply to baggage, postal articles and stores.

- The provisions of this Chapter shall not apply to (a) baggage, (b) goods imported by post, and (c) stores.

53.

[Transit of certain goods without payment of duty.

[Substituted by Act 21 of 1998, Section 101, for Sections 53 to 55 (w.e.f. 1.8.1998).]

- Subject to the provisions of section 11, any goods imported in a conveyance and mentioned in the import manifest or the import report, as the case may be, as for transit in the same conveyance to any place outside India or any customs station may be allowed to be so transited without payment of duty.

54.

Transshipment of certain goods without payment of duty.

(1)

Where any goods imported into a customs station are intended for transshipment, a bill of transshipment shall be presented to the proper officer in [such form and manner as may be prescribed]

[Substituted 'the prescribed form' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

:

[Provided that where the goods are being transhipped under an international treaty or bilateral agreement between the Government of India and Government of a foreign country, a declaration for transshipment instead of a bill of transshipment shall be presented to the proper officer in [such form and manner as may be prescribed]

[Inserted by Act

27 of 1999

, Section 106 (w.e.f. 11.5.1999).]

.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(2)

[Subject to the provisions of section 11, where any goods imported into a customs station are mentioned in the import manifest or the import report, as the case may be, as for transshipment to any place outside India, such goods may be allowed to be so transhipped without payment of duty.

(3)

Where any goods imported into a customs station are mentioned in the import manifest or the import report, as the case may be, as for transshipment-

(a)

to any major port as defined in the Indian Ports Act, 1908 (15 of 1908), or the customs airport at Mumbai, Calcutta, Delhi or Chennai or any other customs port or customs airport which the Board may, by notification in the Official Gazette, specify in this behalf, or

(b)

to any other customs station and the proper officer is satisfied that the goods are bona fide intended for transshipment of such customs station, the proper officer may allow the goods to be transhipped, without payment of duty, subject to such conditions as may be prescribed for the due arrival of such goods at the customs station to which transshipment is allowed.

55.

Liability of duty on goods transited under section 53 or transhipped under section 54

-Where any goods are allowed to be transited under section 53 or transhipped under sub-section (3) of section 54 to any customs station, they shall, on their arrival at such station, be liable to duty and shall be entered in like manner as goods are entered on the first importation thereof and the provisions of this Act and any rules and regulations shall, so far as may be, apply in relation to such goods.]

[Substituted by Act 21 of 1998, Section 101, for Sections 53 to 55 (w.e.f. 1.8.1998).]

56.

Transport of certain classes of goods subject to prescribed conditions.

- Imported goods may be transported without payment of duty from one land customs station to another, and any goods may be transported from one part of India to another part through any foreign territory, subject to such conditions as may

be prescribed for the due arrival of such goods at the place of destination.

Chapter IX

Warehousing

57.

Appointing of public warehouses.

- At any warehousing station, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [[
Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act
22

of 1995, Section 50 (w.e.f. 26.5.1995).]] may appoint public warehouses wherein dutiable goods may be deposited [* * *]

[The words " without payment of duty" omitted by Act 55 of 1991, Section 5 (w.e.f. 23.12.1991).]

.

58.

Licensing of private warehouses.

(1)

At any warehousing station, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [[
Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act
22

of 1995, Section 50 (w.e.f. 26.5.1995).]] may license private warehouses wherein dutiable goods imported by or on
behalf of the licensee, or any other imported goods in respect of which facilities for deposit in a public warehouse are not
available, may be deposited [* * *]

[The words " without payment of duty" omitted by Act 55 of 1991, Section 5 (w.e.f. 23.12.1991).]

.

(2)

The [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[<A TITLE =]

may cancel a licence granted under sub-section (1)-

(a)

by giving one month's notice in writing to the licensee; or

(b)

if the licensee has contravened any provision of this Act or the rules or regulations or committed breach of any of the
conditions of the licence:

Provided that before any licence is cancelled under clause (b), the licensee shall be given a reasonable opportunity of
being heard.

(3)

Pending an enquiry whether a licence granted under sub-section (1) should be cancelled under clause (b) of sub-section
(2), the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act
22 of 1995, Section 50 (w.e.f. 26.5.1995).]

may suspend the licence.

59.

Warehousing bond.

- [(1) The importer of any goods specified in [* * *]

[Substituted by Act 55 of 1991, Section 6, for sub-Section (1) (w.e.f. 23.12.1991).]

[sub-section (1) of section 61, which have been entered for warehousing and assessed to duty under section 17 or
section 18 shall execute a bond binding himself in a sum equal to twice the amount of the duty assessed on such goods-

(a)
to observe all the provisions of this Act and the rules and regulations in respect of such goods;

(b)
to pay on or before a date specified in a notice of demand,-

(i)
all duties, and interest, if any, payable under sub-section (2) of section 61;

(ii)
rent and charges claimable on account of such goods under this Act, together with interest on the same from the date so specified [at such rate not below eighteen per cent. and not exceeding thirty-six per cent. per annum, as is for the time being fixed by the Central Government, by notification in the Official Gazette]; and

(c)
[to discharge all penalties incurred for violation of the provisions of this Act and the rules and regulations in respect of such goods.]

[Substituted by Act 55 of 1991, Section 6, for sub-Section (1) (w.e.f. 23.12.1991).]

(2)
For the purposes of sub-section (1), the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]
[<A TITLE =]
may permit an importer to enter into a general bond in such amount as the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]
[<A TITLE =]
may approve in respect of the warehousing of goods to be imported by him within a specified period.

(3)
A bond executed under this section by an importer in respect of any goods shall continue in force notwithstanding the transfer of the goods to any other person or the removal of the goods to another warehouse:

Provided that where the whole of the goods or any part thereof are transferred to another person, the proper officer may accept a fresh bond from the transferee in a sum equal to twice the amount of duty assessed on the goods transferred and thereupon the bond executed by the transferor shall be enforceable only for a sum mentioned therein less the amount for which a fresh bond is accepted from the transferee.

59A.

[Conditions for warehousing of certain goods.

[Inserted by Act 55 of 1991, Section 7 (w.e.f. 23.12.1991).]

- [Repealed by the Finance Act, 1994 (32 of 1994), section 60 (w.e.f. 13-5-1994).]

[Substituted by Act 55 of 1991, Section 6, for sub-Section (1) (w.e.f. 23.12.1991).]

60.

Permission for deposit of goods in a warehouse.

- When the provisions of [section 59 [* * *]

[Substituted by Act 55 of 1991, Section 9, for " Section 59" (w.e.f. 23.12.1991).]

have been complied with in respect of any goods, the proper officer may make an order permitting the deposit of the goods in a warehouse [* * *]

[The words " without payment of duty" omitted by Act 55 of 1991, Section 5 (w.e.f. 23.12.1991).]

.

[Provided that such order may also be made electronically through the customs automated system on the basis of risk evaluation through appropriate selection criteria.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

61.

[Period for which goods may remain warehoused.

[Substituted by Act 32 of 1994, Section 60, for Section 61 (w.e.f. 13.5.1994).]

(1)
Any warehoused goods may be left in the warehouse in which they are deposited or in any warehouse to which they may be removed,-

(a)

in the case of capital goods intended for use in any hundred per cent. export oriented undertaking, till the expiry of five years; [*]

(aa)

[in the case of goods other than capital goods intended for use in any hundred per cent. export-oriented undertaking, till the expiry of three years; and]

[Inserted by Act 32 of 2003, Section 113 (w.e.f. 14.5.2003).]

(b)

[in the case of any other goods, till the expiry of one year, after the date on which the proper officer has made an order under section 60 permitting the deposit of the goods in a warehouse:

[Substituted by Act 32 of 1994, Section 60, for Section 61 (w.e.f. 13.5.1994).]

Provided that-

(i)

[in the case of any goods which are not likely to deteriorate, the period specified in [clause (a) or clause (aa) or clause (b)] [may, on sufficient cause being shown, be extended-

(A)

in the case of such goods intended for use in any hundred per cent. export oriented undertaking, by the Commissioner of Customs, for such period as he may deem fit; and

(B)

in any other case, by the Commissioner of Customs, for a period not exceeding six months and by the Chief Commissioner of Customs for such further period as he may deem fit;]

(ii)

[in the case of any goods referred to in clause (b), if they are likely to deteriorate, the aforesaid period of one year may be reduced by the [Commissioner of Customs]

[Substituted by Act 32 of 1994, Section 60, for Section 61 (w.e.f. 13.5.1994).]

[to such shorter period as he may deem fit:

Provided further that when the licence for any private warehouse is cancelled, the owner of any goods warehoused therein shall, within seven days from the date on which notice of such cancellation is given or within such extended period as the proper officer may allow, remove the goods from such warehouse to another warehouse or clear them for home consumption or exportation.

(2)

[Where any warehoused goods-

(i)

specified in [sub-clause (a)][or sub-clause (aa) of sub-section (1), remain in a warehouse beyond the period specified in that sub-section by reason of extension of the aforesaid period or otherwise, interest at such rate as is specified in section 47 shall be payable, on the amount of duty payable at the time of clearance of the goods in accordance with the provisions of section 15 on the warehoused goods, for the period from the expiry of the said warehousing period till the date of payment of duty on the warehoused goods;

[Substituted by Act

27 of 1999

, Section 107, for certain words (w.e.f. 11.5.1999).]

(ii)

specified in sub-clause (b) of sub-section (1), remain in warehouse beyond a period of [ninety days][, interest shall be payable at such rate or rates not exceeding the rate specified in section 47, as may be fixed by the Board, on the amount of duty payable at the time of clearance of the goods in accordance with the provisions of section 15 on the warehoused goods, for the period from the expiry of the said [ninety days]

[Substituted by Act

27 of 1999

, Section 107, for certain words (w.e.f. 11.5.1999).]

,[till the date of payment of duty on the warehoused goods]

[Substituted by Act

27 of 1999

, Section 107, for certain words (w.e.f. 11.5.1999).]

:

[Provided that the Board may, if it considers it necessary so to do in the public interest, by order and under circumstances of an exceptional nature, to be specified in such order, waive the whole or part of any interest payable under this section in respect of any warehoused goods:

Provided further that the Board may, if it is satisfied that it is necessary so to do in the public interest, by notification in the Official Gazette, specify the class of goods in respect of which no interest shall be charged under this section.

Explanation.-For the purposes of this section, "hundred per cent. export oriented undertaking" has the same meaning as in Explanation 2 to sub-section (1) of section 3 of the [Central Excises and Salt Act, 1944 (1 of 1944)]

[Substituted by Act 32 of 1994, Section 60, for Section 61 (w.e.f. 13.5.1994).]

[Substituted by Act 32 of 1994, Section 60, for Section 61 (w.e.f. 13.5.1994).]

[Substituted by Act 20 of 2002, Section 124, for Clause (i) (w.e.f. 11.5.2002).]

.

62.

Control over warehoused goods.

(1)

All warehoused goods shall be subject to the control of the proper officer.

(2)

No person shall enter a warehouse or remove any goods therefrom without the permission of the proper officer.

(3)

The proper officer may cause any warehouse to be locked with the lock of the Customs Department and no person shall remove or break such lock.

(4)

The proper officer shall have access to every part of a warehouse and power to examine the goods therein.

63.

Payment of rent and warehouse charges.

(1)

The owner of any warehoused goods shall pay to the warehouse-keeper rent and warehouse charges at the rates fixed under any law for the time being in force or where no rates are so fixed, at such rates as may be fixed by the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

.

(2)

If any rent or warehouse charges are not paid within ten days from the date when they became due, the warehouse-keeper may, after notice to the owner of the warehoused goods and with the permission of the proper officer cause to be sold (any transfer of the warehoused goods notwithstanding) such sufficient portion of the goods as the warehouse-keeper may select.

64.

Owner's right to deal with warehoused goods.

- With the sanction of the proper officer and on payment of the prescribed fees, the owner of any goods may either before or after warehousing the same-

(a)

inspect the goods;

(b)

separate damaged or deteriorated goods from the rest;

(c)

sort the goods or change their containers for the purpose of preservation, sale, export or disposal of the goods;

(d)

deal with the goods and their containers in such manner as may be necessary to prevent loss or deterioration or damage to the goods;

(e)

show the goods for sale; or

(f)

take samples of goods without entry for home consumption, and if the proper officer so permits, without payment of duty on such samples.

65.

Manufacture and other operations in relation to goods in a warehouse.

(1)

With the sanction of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [[Substituted by Act 27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22

of 1995, Section 50 (w.e.f. 26.5.1995).]] and subject to such conditions and on payment of such fees as may be prescribed, the owner of any warehoused goods may carry on any manufacturing process or other operations in the warehouse in relation to such goods.

(2)

Where in the course of any operation permissible in relation to any warehoused goods under sub-section (1), there is any waste or refuse, the following provisions shall apply:-

(a)

if the whole or any part of the goods resulting from such operations are exported, import duty shall be remitted on the quantity of the warehoused goods contained in so much of the waste or refuse as has arisen from the operations carried on in relation to the goods exported:

Provided that such waste or refuse is either destroyed or duty is paid on such waste or refuse as if it had been imported into India in that form;

(b)

if the whole or any part of the goods resulting from such operations are cleared from the warehouse for home consumption, import duty shall be charged on the quantity of the warehoused goods contained in so much of the waste or refuse as has arisen from the operations carried on in relation to the goods cleared for home consumption.

66.

Power to exempt imported materials used in the manufacture of goods in warehouse.

- If any imported materials are used in accordance with the provisions of section 65 for the manufacture of any goods and the rate of duty leviable on the imported materials exceeds the rate of duty leviable on such goods, the Central Government, if satisfied that in the interests of the establishment or development of any domestic industry it is necessary so to do, may, by notification in the Official Gazette, exempt the imported materials from the whole or part of the excess rate of duty.

67.

Removal of goods from one warehouse to another.

- The owner of any warehoused goods may, with the permission of the proper officer, remove them from one warehouse to another, [* **]

[The words " without payment of duty" omitted by Act 55 of 1991, Section 5 (w.e.f. 23.12.1991).]

, subject to such conditions as may be prescribed for the due arrival of the warehoused goods at the warehouse to which removal is permitted.

68.

Clearance of warehoused goods for home consumption.

- The importer of any warehoused goods may clear them for home consumption, if-

(a)

a bill of entry for home consumption in respect of such goods has been presented in the prescribed form;

(b)

the import duty leviable on such goods and all penalties, rent, interest and other charges payable in respect of such goods have been paid; and

(c)

an order for clearance of such goods for home consumption has been made by the proper officer:

[Provided that the order referred to in clause (c) may also be made electronically through the customs automated system on the basis of risk evaluation through appropriate selection criteria:

Provided further that]

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

the owner of any warehoused goods may, at any time before an order for clearance of goods for home consumption has been made in respect of such goods, relinquish his title to the goods upon payment of rent, interest, other charges and penalties that may be payable in respect of the goods and upon such relinquishment, he shall not be liable to pay duty thereon:

[[Provided also that]

[Inserted by Act 21 of 2006, Section 59 (w.e.f. 18.4.2006).]

the owner of any such warehoused goods shall not be allowed to relinquish his title to such goods regarding which an offence appears to have been committed under this Act or any other law for the time being in force.]

69.

Clearance of warehoused goods for exportation.

(1)

Any warehoused goods may be exported to a place outside India without payment of import duty if-

(a)

[a shipping bill or a bill of export or the form as prescribed under section 84 has been presented in respect of such goods;]

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(b)

the export duty, penalties, rent, interest and other charges payable in respect of such goods have been paid; and

(c)

an order for clearance of such goods for exportation has been made by the proper officer.

[Provided that the order referred to in clause (c) may also be made electronically through the customs automated system on the basis of risk evaluation through appropriate selection criteria.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(2)

Notwithstanding anything contained in sub-section (1), if the Central Government is of opinion that warehoused goods of any specified description are likely to be smuggled back into India, it may, by notification in the Official Gazette, direct that such goods shall not be exported to any place outside India without payment of duty or may be allowed to be so exported subject to such restrictions and conditions as may be specified in the notification.

70.

Allowance in case of volatile goods.

(1)

When any warehoused goods to which this section applies are at the time of delivery from a warehouse found to be deficient in quantity on account of natural loss, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

may remit the duty on such deficiency.

(2)

This section applies to such warehoused goods as the Central Government, having regard to the volatility of the goods and the manner of their storage, may, by notification in the Official Gazette, specify.

71.

Goods not to be taken out of warehouse except as provided by this Act.

- No warehoused goods shall be taken out of a warehouse except on clearance for home consumption or re-exportation, or for removal to another warehouse, or as otherwise provided by this Act.

72.

Goods improperly removed from warehouse, etc.

(1)

In any of the following cases, that is to say,-

(a)

where any warehoused goods are removed from a warehouse in contravention of section 71;

(b)

where any warehoused goods have not been removed from a warehouse at the expiration of the period during which such goods are permitted under section 61 to remain in a warehouse;

(c)

where any warehoused goods have been taken under section 64 as samples without payment of duty;

(d)

where any goods in respect of which a bond has been executed under [section 59 [* * *]

[Substituted by Act 55 of 1991, Section 9, for " Section 59" (w.e.f. 23.12.1991).]

and which have not been cleared for home consumption or exportation are not duly accounted for to the satisfaction of the proper officer, the proper officer may demand, and the owner of such goods shall forthwith pay, the full amount of duty chargeable on account of such goods together with all penalties, rent, interest and other charges payable in respect of such goods.

(2)

If any owner fails to pay any amount demanded under sub-section (1), the proper officer may, without prejudice to any other remedy, cause to be detained and sold, after notice to the owner (any transfer of the goods notwithstanding) such sufficient portion of his goods, if any, in the warehouse, as the said officer may select.

73.

Cancellation and return of warehousing bond.

- When the whole of the goods covered by any bond executed under [section 59 [* * *]

[Substituted by Act 55 of 1991, Section 9, for " Section 59" (w.e.f. 23.12.1991).]

have been cleared for home consumption or exported or are otherwise duly accounted for, and when all amounts due on account of such goods have been paid, the proper officer shall cancel the bond as discharged in full, and shall on demand deliver it, so cancelled, to the person who has executed or is entitled to receive it.

Chapter X

Drawback

74.

Drawback allowable on re-export of duty-paid goods.

(1)

When any goods capable of being easily identified which have been imported into India and upon which [any duty has been paid on importation, -

(i)

are entered for export and the proper officer makes an order permitting clearance and loading of the goods for exportation under section 51; or

(ii)

are to be exported as baggage and the owner of such baggage, for the purpose of clearing it, makes a declaration of its contents to the proper officer under section 77 (which declaration shall be deemed to be an entry for export for the purposes of this section) and such officer makes an order permitting clearance of the goods for exportation; or

(iii)

are entered for export by post under [clause (a) of section 84] and the proper officer makes an order permitting clearance of the goods for exportation, ninety-eight per cent. of such duty shall, except as otherwise hereinafter provided, be re-paid as drawback, if-]

(a)

the goods are identified to the satisfaction of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act

22

of 1995, Section 50 (w.e.f. 26.5.1995).]] as the goods which were imported; and

(b)

the goods are entered for export within two years from the date of payment of duty on the importation thereof:

Provided that in any particular case the aforesaid period of two years may, on sufficient cause being shown, be extended by the Board by such further period as it may deem fit.

(2)

Notwithstanding anything contained in sub-section (1), the rate of drawback in the case of goods which have been used after the importation thereof shall be such as the Central Government, having regard to the duration of use, depreciation in value and other relevant circumstances, may, by notification in the Official Gazette, fix.

(3)

[The Central Government may make rules for the purpose of carrying out the provisions of this section and, in particular, such rules may-

(a)

provide for the manner in which the identity of goods imported in different consignments which are ordinarily stored together in bulk, may be established;

(b)

specify the goods which shall be deemed to be not capable of being easily identified; and

(c)

provide for the manner and the time within which a claim for payment of drawback is to be filed.]

(4)

For the purposes of this section-

(a)

goods shall be deemed to have been entered for export on the date with reference to which the rate of duty is calculated under section 16;

(b)

in the case of goods assessed to duty provisionally under section 18, the date of payment of the provisional duty shall be deemed to be the date of payment of duty.

75.

Drawback on imported materials used in the manufacture of goods which are exported.

(1)

Where it appears to the Central Government that in respect of goods of any class or description [manufactured, processed or on which any operation has been carried out in India]

[Substituted by Act 22 of 1995, Section 61, for " manufactured in India" (w.e.f. 26.5.1995).]

[, being goods which have been entered for export and in respect of which an order permitting the clearance and loading thereof for exportation has been made under section 51 by the proper officer]

[Substituted by Act 11 of 1983, Section 52, for " and exported to any place outside India" (w.e.f. 13.5.1983).]

,[or being goods entered for export by post under [clause (a) of section 84]

[Inserted by Act 80 of 1985, Section 7 (w.e.f. 27.12.1985).]

and in respect of which an order permitting clearance for exportation has been made by the proper officer]

[Substituted by Act 22 of 1995, Section 60, for sub-Section (3) (w.e.f. 26.6.1995).]

, a drawback should be allowed of duties of customs chargeable under this Act on any imported materials of a class or description used in the [manufacture or processing of such goods or carrying out any operation on such goods]

[Substituted by Act 22 of 1995, Section 61, for " manufacture of such goods" (w.e.f. 26.5.1995).]

, the Central Government may, by notification in the Official Gazette, direct that drawback shall be allowed in respect of such goods in accordance with, and subject to, the rules made under sub-section (2):

[Provided that no drawback shall be allowed under this sub-section in respect of any of the aforesaid goods which the Central Government may, by rules made under sub-section (2), specify, if the export value of such goods or class of goods is less than the value of the imported materials used in the [manufacture or processing of such goods or carrying out any operation on such goods]

[Inserted by Act 49 of 1991, Section 120 (w.e.f. 1.4.1991).]

[or class of goods, or is not more than such percentage of the value of the imported materials used in the [manufacture or processing of such goods or carrying out any operation on such goods]

[Inserted by Act 49 of 1991, Section 120 (w.e.f. 1.4.1991).]

[or class of goods as the Central Government may, by notification in the Official Gazette, specify in this behalf:]

[Inserted by Act 49 of 1991, Section 120 (w.e.f. 1.4.1991).]

[Substituted by Act 80 of 1985, Section 6 (w.e.f. 27.12.1985).]

Provided further that where any drawback has been allowed on any goods under this sub-section and the sale proceeds in respect of such goods are not received by or on behalf of the exporter in India within the time allowed under the [Foreign Exchange Management Act, 1999 (

42 of 1999

)]

[Substituted by Act 20 of 2002, Section 125, for " Foreign Exchange Regulation Act, 1973 (

46 of 1973

)" (w.e.f. 11.5.2002).]

, such drawback shall be deemed never to have been allowed and the Central Government may, by rules made under sub-section (2), specify the procedure for the recovery or adjustment of the amount of such drawback.]

[(1-A) Where it appears to the Central Government that the quantity of a particular material imported into India is more than the total quantity of like material that has been used in the goods [manufactured, processed or on which any operation has been carried out in India]

[Inserted by Act 25 of 1978, Section 10 (w.e.f. 1.7.1978).]

[and exported outside India, then, the Central Government may, by notification in the Official Gazette, declare that so much of the material as is contained in the goods exported shall, for the purpose of sub-section (1), be deemed to be imported material.]

[Inserted by Act 25 of 1978, Section 10 (w.e.f. 1.7.1978).]

(2)

The Central Government may make rules for the purpose of carrying out the provisions of sub-section (1) and, in particular, such rules may provide-

(a)

[for the payment of drawback equal to the amount of duty actually paid on the imported materials used in the manufacture or processing of the goods or carrying out any operation on the goods or as is specified in the rules as the average amount of duty paid on the materials of that class or description used in the manufacture or processing of export goods or carrying out any operation on export goods of that class or description either by manufacturers generally or by persons processing or carrying on any operation generally or by any particular manufacturer or particular person carrying on any process or other operation, and interest, if any, payable thereon;]

[Substituted by Act 22 of 1995, Section 61 (w.e.f. 26.5.1995).]

(aa)

[for specifying the goods in respect of which no drawback shall be allowed;

[Inserted by Act 49 of 1991, Section 120 (w.r.e.f. 1-4-1991).]

(ab)

for specifying the procedure for recovery or adjustment of the amount of any drawback which had been allowed under sub-section (1) [or interest chargeable thereon];]

(b)

for the production of such certificates, documents and other evidence in support of each claim of drawback as may be necessary;

(c)

for requiring the [manufacturer or the person carrying on any process or other operation]

[Substituted by Act 22 of 1995, Section 61, for certain words (w.e.f. 26-5-1995).]

to give access to every part of his manufactory to any officer of customs specially authorised in this behalf by the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" w.e.f. 11-5-1999). Earlier, these words were substituted by Act

22 of 1995, Section 50 (w.e.f.

26.

-5-1995).]] to enable such authorised officer to inspect the processes of [manufacture, process or any other operation carried out]

[Substituted by Act 22 of 1995, Section 61, for certain words (w.e.f. 26-5-1995).]

and to verify by actual check or otherwise the statements made in support of the claim for drawback;

(d)

[for the manner and the time within which the claim for payment of drawback may be filed;]

[Inserted by Act 22 of 1995, Section 61 (w.e.f. 26-5-1995).]

(3)

[The power to make rules conferred by sub-section (2) shall include the power to give drawback with retrospective effect from a date not earlier than the date of changes in the rates of duty on inputs used in the export goods.]

[Inserted by Act 22 of 1995, Section 61 (w.e.f. 26-5-1995).]

75A.

[Interest on drawback.

[Inserted by Act 22 of 1995, Section 62 (w.e.f. 26-5-1995).]

(1)

Where any drawback payable to a claimant under section 74 or section 75 is not paid within a [period of [one month] from the date of filing a claim for payment of such drawback, there shall be paid to that claimant in addition to the amount of drawback, interest at the rate fixed under section 27-A from the date after the expiry of the said [period of [one month]

[Substituted by Act 8 of 1999, Section 2, for " period of three months" and " three months" , respectively (w.e.f. 8-1-1999).]

till the date of payment of such drawback.

Proviso omitted by Act 32 of 2003, Section 115 (w.e.f. 14-5-2003). Prior to its omission, the proviso read as under:-" Provided that where any drawback, ordered to be paid under Section 74 or Section 75 in respect of a claim under any of the said sections filed before the date on which the Finance Bill, 1995 receives the assent of the President, is not refunded within three months from such date, there shall be paid to the applicant interest under this Section from the date immediately after three months from such date, till the date of refund of such drawback" .

[* * *]

Substituted by Act 22 of 2007, Section 98, for sub-Section (2) (w.e.f. 11-5-2007). Prior to its substitution, sub-Section (2) read as under:-" (2) Where any drawback has been paid to the claimant erroneously, the claimant shall, within a period of two months from the date of demand, pay in addition to the said amount of drawback, interest at the rate fixed under Section 28-AA from the date after the expiry of the said period of two months till the date of recovery of such drawback."

.

(2)

Where any drawback has been paid to the claimant erroneously or it becomes otherwise recoverable under this Act or the rules made thereunder, the claimant shall, within a period of two months from the date of demand, pay in addition to the said amount of drawback, interest at the rate fixed under section 28-AB and the amount of interest shall be calculated for the period beginning from the date of payment of such drawback to the claimant till the date of recovery of such drawback.

76.

Prohibition and regulation of drawback in certain cases.

(1)

Notwithstanding anything hereinbefore contained, no drawback shall be allowed-

[* * *]

[Clause (a) omitted by Act 11 of 1983, Section 53 (w.e.f. 13-5-1983).]

(b)

in respect of any goods the market-price of which is less than the amount of drawback due thereon;

(c)

where the drawback due in respect of any goods is less than [fifty rupees]

[Substituted by Act 11 of 1983, Section 53, for " five rupees" (w.e.f. 13-5-1983).]

(2)

Without prejudice to the provisions of sub-section (1), if the Central Government is of opinion that goods of any specified description in respect of which drawback may be claimed under this Chapter are likely to be smuggled back into India, it may, by notification in the Official Gazette, direct that drawback shall not be allowed in respect of such goods or may be allowed subject to such restrictions and conditions as may be specified in the notification.

[* * *]

Chap. X-A (containing Sections 76-A to 76-N) omitted by Act 22 of 2007, Section 99 (w.e.f.

11-5-2007). Prior to its omission, Chap. X-A read as under:

" CHAPTER X-A

SPECIAL PROVISIONS RELATING TO SPECIAL ECONOMIC ZONE

76-A. Notification of special economic zone.-The Central Government may, by notification in the Official Gazette, specify special economic zones comprising specifically delineated areas where any goods admitted shall be regarded, insofar as duties of customs are concerned, as being outside the customs territory of India as provided in this Chapter.

76-B. Application of provisions.-The provisions of this Chapter and other Chapters shall apply to goods admitted to a special economic zone, but in the event of conflict between the provisions of this Chapter and other Chapters, the provisions of this Chapter shall prevail.

76-C. Establishment and control.-(1) The Central Government may make rules specifying the requirements relating to goods or class of goods admissible to a special economic zone, the nature of operations to which such goods or class of goods may be subjected to, the conditions to be fulfilled and the procedures to be followed in this regard.

(2) The Board may specify, in the regulations made in this behalf, arrangements for customs control in a special economic zone.

(3) The proper officer shall have the right to carry out checks, at any time, on the goods kept or stored in a special economic zone.

76-D. Admission of goods.-Subject to such conditions as may be specified in the rules made in this behalf, any goods imported directly from outside India or procured from within India shall be authorised for admission to a special economic zone.

76-E. Exemption from duties of customs.-Without prejudice to the provisions of sections

76-F, 76-G and 76-H, any goods admitted to a special economic zone shall be exempt from duties of customs.

76-F. Levy of duties of customs.-Subject to the conditions as may be specified in the rules made in this behalf,

(a) any goods admitted to a special economic zone from the domestic tariff area shall be chargeable to export duties at such rates as are leviable on such goods when exported;

(b) any goods removed from a special economic zone for home consumption shall be chargeable to duties of customs including anti-dumping, countervailing and safeguard duties under the Customs Tariff Act, 1975 (51 of 1975

), where applicable, as leviable on such goods when imported; and

(c) the rate of duty and tariff valuation, if any, applicable to goods admitted to, or removed from, a special economic zone shall be the rate and tariff valuation in force as on the date of such admission or removal, as the case may be, and where such date is not ascertainable, on the date of payment of the duty.

76-G. Authorised operations.-All goods admitted to a special economic zone shall undergo such operations including processing or manufacturing as may be specified in the rules made in this behalf.

76-H. Goods utilised within a special economic zone.-(1) The Central Government may make rules in this behalf to enumerate the cases in which goods to be utilised inside a special economic zone may be admitted free of duties of customs and lay down the requirements which shall be fulfilled.

(2) Goods utilised contrary to the provisions of rules made under sub-Section (1) shall be chargeable to duties of customs in the same manner as provided under clause (b) of Section 76-F as if they have been removed for home consumption.

76-I. Drawback on goods admitted to a special economic zone.-Any goods admitted to a special economic zone from the domestic tariff area for the purposes authorised under this Chapter shall be eligible for drawback under Section 75 as if such goods are export goods for the purposes of that section.

76-J. Duration of stay.-Any goods admitted to a special economic zone shall not be allowed to remain within such zone beyond such time as may be specified in the rules made in this behalf.

76-K. Security.-Any goods admitted free of duty to a special economic zone or goods under transshipment to and from such zone without payment of duty shall be subject to execution of such bond and such surety or security as may be specified in the rules made in this behalf.

76-L. Transfer of ownership.-Any goods admitted to, or produced or manufactured in, a special economic zone shall be allowed for transfer of ownership subject to such conditions as may be specified in the rules made in this behalf.

76-M. Removal of goods.-Any goods admitted to, or produced or manufactured in, a special economic zone may be removed in accordance with such procedure as may be specified in the rules made in this behalf.

76-N. Closure of a special economic zone.-In the event of closure of a special economic zone by the Central Government, by notification in the Official Gazette, the goods admitted to, or produced or manufactured in, such zone shall be removed within such time and in such manner as may be specified in the rules made in this behalf." .-*Chap.

X-A inserted by Act 20 of 2002, Section 126 (w.e.f.15.8.2003).

Chapter X

A Special Provisions Relating To Special Economic Zone - Omitted

Chapter XI

Special Provisions Regarding Baggage, Goods Imported or Exported by [Post, Courier]

[Substituted 'Post' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

and Stores Baggage

77.

Declaration by owner of baggage.

- The owner of any baggage shall, for the purpose of clearing it, make a declaration of its contents to the proper officer.

78.

Determination of rate of duty and tariff valuation in respect of baggage.

- The rate of duty and tariff valuation, if any, applicable to baggage shall be the rate and valuation in force on the date on which a declaration is made in respect of such baggage under section 77.

79.

Bona fide baggage exempted from duty.

(1)

The proper officer may, subject to any rules made under sub-section (2), pass free of duty-

(a)

any article in the baggage of a passenger or a member of the crew in respect of which the said officer is satisfied that it has been in his use for such minimum period as may be specified in the rules;

(b)

any article in the baggage of a passenger in respect of which the said officer is satisfied that it is for the use of the passenger or his family or is a bona fide gift or souvenir; provided that the value of each such article and the total value of all such articles does not exceed such limits as may be specified in the rules.

(2)

The Central Government may make rules for the purpose of carrying out the provisions of this section and, in particular, such rules may specify-

(a)

the minimum period for which any article has been used by a passenger or a member of the crew for the purpose of clause (a) of sub-section (1);

(b)

the maximum value of any individual article and the maximum total value of all the articles which may be passed free of duty under clause (b) of sub-section (1);

(c)

the conditions (to be fulfilled before or after clearance) subject to which any baggage may be passed free of duty.

(3)

Different rules may be made under sub-section (2) for different classes of persons.

80.

Temporary detention of baggage.

- Where the baggage of a passenger contains any article which is dutiable or the import of which is prohibited and in respect of which a true declaration has been made under section 77, the proper officer may, at the request of the passenger, detain such article for the purpose of being returned to him on his leaving India [and if for any reason, the passenger is not able to collect the article at the time of his leaving India, the article may be returned to him through any other passenger authorised by him and leaving India or as cargo consigned in his name.]

[Inserted by Act 22 of 1995, Section 63 (w.e.f. 26.5.1995).]

81.

Regulations in respect of baggage.

- The Board may make regulations,-

(a)

providing for the manner of declaring the contents of any baggage;

(b)

providing for the custody, examination, assessment to duty and clearance of baggage;

(c)

providing for the transit or transhipment of baggage from one customs station to another or to a place outside India.

Goods imported or exported by post

82.

[

[Omitted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

***]

82. Label or declaration accompanying goods to be treated as entry.- In the case of goods imported or exported by post, any label or declaration accompanying the goods, which contains the description, quantity and value thereof, shall be deemed to be an entry for import or export, as the case may be, for the purposes of this Act.

83.

Rate of duty and tariff valuation in respect of goods imported or exported by [post or courier]

[Substituted 'post' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

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(1)

The rate of duty and tariff-value, if any, applicable to any goods imported by [post or courier]

[Substituted 'post' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall be the rate and valuation in force on the date on which the [postal authorities or the authorised courier]

[Substituted 'postal authorities' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

present to the proper officer a list containing the particulars of such goods for the purpose of assessing the duty thereon:

Provided that if such goods are imported by a vessel and the list of the goods containing the particulars was presented before the date of the arrival of the vessel, it shall be deemed to have been presented on the date of such arrival.

(2)

The rate of duty and tariff-value, if any, applicable to any goods exported by [post or courier]

[Substituted 'post' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

shall be the rate and valuation in force on the date on which the exporter delivers such goods to the [postal authorities or the authorised courier]

[Substituted 'postal authorities' by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

for exportation.

84.

Regulations regarding goods imported or to be exported by post.

- The Board may make regulations providing for-

(a)

[the form and manner in which an entry may be made in respect of goods imported or to be exported by post;]

[Substituted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(b)

the examination, assessment to duty, and clearance of goods im-ported or to be exported by post;

(c)

the transit or transshipment of goods imported by post, from one customs station to another or to a place outside India.

Stores

85.

Stores may be allowed to be warehoused without assessment to duty.

- Where any imported goods are entered for warehousing and the importer makes and subscribes to a declaration that the goods are to be supplied as stores to vessels or aircrafts without payment of import duty under this Chapter, the proper officer may permit the goods to be warehoused without the goods being assessed to duty.

86.

Transit and transshipment of stores.

(1)

Any stores imported in a vessel or aircraft may, without payment of duty, remain on board such vessel or aircraft while it is in India.

(2)

Any stores imported in a vessel or aircraft may, with the permission of the proper officer, be transferred to any vessel or aircraft as stores for consumption therein as provided in section 87 or section 90.

87.

Imported stores may be consumed on board a foreign-going vessel or aircraft.

- Any imported stores on board a vessel or aircraft (other than stores to which section 90 applies) may, without payment of duty, be consumed thereon as stores during the period such vessel or aircraft is a foreign-going vessel or aircraft.

88.

Application of section 69 and Chapter X to stores.

- The provisions of section 69 and Chapter X shall apply to stores (other than those to which section 90 applies) as they apply to other goods, subject to the modifications that-

(a)

for the words "exported to any place outside India" or the word "exported", wherever they [occur]

[These words occur in sub-Section (1) and (2) of Section 69, sub-Section (1) of Section 74 and sub-Section (1) of Section 75.]

, the words "taken on board any foreign-going vessel or aircraft as stores" shall be substituted;

(b)

in the case of drawback on fuel and lubricating oil taken on board any foreign-going aircraft as stores, sub-section (1) of section 74 shall have effect as if for the words "ninety-eight per cent", the words "the whole" were substituted.

89.

Stores to be free of export duty.

- Goods produced or manufactured in India and required as stores on any foreign-going vessel or aircraft may be exported free of duty in such quantities as the proper officer may determine, having regard to the size of the vessel or aircraft, the number of passengers and crew and the length of the voyage or journey on which the vessel or aircraft is about to depart.

90.

Concessions in respect of imported stores for the Navy.

(1)

Imported stores specified in sub-section (3) may without payment of duty be consumed on board a ship of the Indian Navy.

(2)

The provisions of section 69 and Chapter X shall apply to stores specified in sub-section (3) as they apply to other goods, subject to the modifications that-

(a)

for the words "exported to any place outside India" or the word "exported" wherever they [occur]

[These words occur in sub-Section (1) and (2) of Section 69, sub-Section (1) of Section 74 and sub-Section (1) of Section 75.]

, the words "taken on board a ship of the Indian Navy" shall be substituted;

(b)
for the words "ninety-eight per cent" in sub-section (1) of section 74, the words "the whole" shall be substituted.

(3)
The stores referred to in sub-sections (1) and (2) are the following:-

- (a)
stores for the use of a ship of the Indian Navy;
- (b)
stores supplied free by the Government for the use of the crew of a ship of the Indian Navy in accordance with their conditions of service.

Chapter XII

Provisions Relating To Coastal Goods And Vessels Carrying Coastal Goods

91.
Chapter not to apply to baggage and stores.

- The provisions of this Chapter shall not apply to baggage and stores.

92.
Entry of coastal goods.

(1)
The consignor of any coastal goods shall make an entry thereof by presenting to the proper officer a bill of coastal goods in the prescribed form.

(2)
Every such consignor while presenting a bill of coastal goods shall, at the foot thereof, make and subscribe to a declaration as to the truth of the contents of such bill.

93.
Coastal goods not to be loaded until bill relating thereto is passed, etc.

- The master of a vessel shall not permit the loading of any coastal goods on the vessel until a bill relating to such goods presented under section 92 has been passed by the proper officer and has been delivered to the master by the consignor.

94.
Clearance of coastal goods at destination.

(1)
The master of a vessel carrying any coastal goods shall carry on board the vessel all bills relating to such goods delivered to him under section 93 and shall, immediately on arrival of the vessel at any customs or coastal port, deliver to the proper officer of that port all bills relating to the goods which are to be unloaded at that port.

(2)
Where any coastal goods are unloaded at any port, the proper officer shall permit clearance thereof if he is satisfied that they are entered in a bill of coastal goods delivered to him under sub-section (1).

95.
Master of a coasting vessel to carry an advice book.

(1)
The master of every vessel carrying coastal goods shall be supplied by the Customs authorities with a book to be called the "advice book".

(2)
The proper officer at each port of call by such vessel shall make such entries in the advice book as he deems fit, relating to the goods loaded on the vessel at that port.

(3)
The master of every such vessel shall carry the advice book on board the vessel and shall on arrival at each port of call deliver it to the proper officer at that port for his inspection.

96.
Loading and unloading of coastal goods at customs port or coastal port only.

- No coastal goods shall be loaded on, or unloaded from, any vessel at any port other than a customs port or a coastal port appointed under section 7 for the loading or unloading of such goods.

97.

No coasting vessel to leave without written order.

(1)

The master of a vessel which has brought or loaded any coastal goods at a customs or coastal port shall not cause or permit the vessel to depart from such port until a written order to that effect has been given by the proper officer.

(2)

No such order shall be given until-

(a)

the master of the vessel has answered the questions put to him under section 38;

(b)

all charges and penalties due in respect of that vessel or from the master thereof have been paid or the payment secured by such guarantee or deposit of such amount as the proper officer may direct;

(c)

the master of the vessel has satisfied the proper officer that no penalty is leviable on him under section 116 or the payment of any penalty that may be levied upon him under that section has been secured by such guarantee or deposit of such amount as the proper officer may direct;

(d)

the provisions of this Chapter and any rules and regulations relating to coastal goods and vessels carrying coastal goods have been complied with.

98.

Application of certain provisions of this Act to coastal goods, etc.

(1)

Sections 33, 34 and 36 shall, so far as may be, apply to coastal goods as they apply to imported goods or export goods.

(2)

Sections 37 and 38 shall, so far as may be, apply to vessels carrying coastal goods as they apply to vessels carrying imported goods or export goods.

(3)

The Central Government may, by notification in the Official Gazette, direct that all or any of the other provisions of Chapter VI and the provisions of section 45 shall apply to coastal goods or vessels carrying coastal goods subject to such exceptions and modifications as may be specified in the notification.

98A.

[Power to relax.

[Inserted by Act 22 of 1995, Section 64 (w.e.f. 26.5.1995).]

- If the Central Government is satisfied that it is necessary in the public interest so to do it may, by notification in the Official Gazette, exempt generally, either absolutely or subject to such conditions as may be specified in the notification, coastal goods or vessels carrying coastal goods from all or any of the provisions of this Chapter.]

99.

Power to make rules in respect of coastal goods and coasting vessels.

- The Central Government may make rules for-

(a)

preventing the taking out of India of any coastal goods the export of which is dutiable or prohibited under this Act or any other law for the time being in force;

(b)

preventing, in the case of a vessel carrying coastal goods as well as imported or export goods, the substitution of imported or export goods by coastal goods.

[Chapter XII-A]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

Audit

99A.

Audit.

- The proper officer may carry out the audit of assessment of imported goods or export goods or of an auditee under this

Act either in his office or in the premises of the auditee in such manner as may be prescribed.

Explanation. - For the purposes of this section, "auditee" means a person who is subject to an audit under this section and includes an importer or exporter or custodian approved under section 45 or licensee of a warehouse and any other person concerned directly or indirectly in clearing, forwarding, stocking, carrying, selling or purchasing of imported goods or export goods or dutiable goods.

Chapter XIII

Searches, Seizure And Arrest

100.

Power to search suspected persons entering or leaving India, etc.

(1)

If the proper officer has reason to believe that any person to whom this section applies has secreted about his person, any goods liable to confiscation or any documents relating thereto, he may search that person.

(2)

This section applies to the following persons, namely:-

(a)

any person who has landed from or is about to board, or is on board any vessel within the Indian customs waters;

(b)

any person who has landed from or is about to board, or is on board a foreign-going aircraft;

(c)

any person who has got out of, or is about to get into, or is in, a vehicle, which has arrived from, or is to proceed to any place outside India;

(d)

any person not included in clauses (a), (b) or (c) who has entered or is about to leave India;

(e)

any person in a customs area.

101.

Power to search suspected persons in certain other cases.

(1)

Without prejudice to the provisions of section 100, if an officer of customs empowered in this behalf by general or special order of the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

, has reason to believe that any person has secreted about his person any goods of the description specified in sub-section (2) which are liable to confiscation, or documents relating thereto, he may search that person.

(2)

The goods referred to in sub-section (1) are the following:-

(a)

gold;

(b)

diamonds;

(c)

manufactures of gold or diamonds;

(d)

watches;

(e)

any other class of goods which the Central Government may, by notification in the Official Gazette, specify.

102.

Persons to be searched may require to be taken before Gazetted Officer of customs or magistrate.

(1)

When any officer of customs is about to search any person under the provisions of section 100 or section 101, the officer of customs shall, if such person so requires, take him without unnecessary delay to the nearest Gazetted Officer of customs or magistrate.

(2)

If such requisition is made, the officer of customs may detain the person making it until he can bring him before the Gazetted Officer of customs or the magistrate.

(3)

The Gazetted Officer of customs or the magistrate before whom any such person is brought shall, if he sees no reasonable ground for search, forthwith discharge the person but otherwise shall direct that search be made.

(4)

Before making a search under the provisions of section 100 or section 101, the officer of customs shall call upon two or more persons to attend and witness the search and may issue an order in writing to them or any of them so to do ; and the search shall be made in the presence of such persons and a list of all things seized in the course of such search shall be prepared by such officer or other person and signed by such witnesses.

(5)

No female shall be searched by any one excepting a female.

103.

Power to screen or X-ray bodies of suspected persons for detecting secreted goods.

(1)

Where the proper officer has reason to believe that any person referred to in sub-section (2) of section 100 has any goods liable to confiscation secreted inside his body, he may detain such person and produce him without unnecessary delay before the nearest magistrate.

(2)

A magistrate before whom any person is brought under sub-section (1) shall, if he sees no reasonable ground for believing that such person has any such goods secreted inside his body, forthwith discharge such person.

(3)

Where any such magistrate has reasonable ground for believing that such person has any such goods secreted inside his body and the magistrate is satisfied that for the purpose of discovering such goods it is necessary to have the body of such person screened or X-rayed, he may make an order to that effect.

(4)

Where a magistrate has made any order under sub-section (3), in relation to any person, the proper officer shall, as soon as practicable, take such person before a radiologist possessing qualifications recognized by the Central Government for the purpose of this section, and such person shall allow the radiologist to screen or X-ray his body.

(5)

A radiologist before whom any person is brought under sub-section (4) shall, after screening or X-raying the body of such person, forward his report, together with any X-ray pictures taken by him, to the magistrate without unnecessary delay.

(6)

Where on receipt of a report from a radiologist under sub-section (5) or otherwise, the magistrate is satisfied that any person has any goods liable to confiscation secreted inside his body, he may direct that suitable action for bringing out such goods be taken on the advice and under the supervision of a registered medical practitioner and such person shall be bound to comply with such direction:

Provided that in the case of a female no such action shall be taken except on the advice and under the supervision of a female registered medical practitioner.

(7)

Where any person is brought before a magistrate under this section, such magistrate may for the purpose of enforcing the provisions of this section order such person to be kept in such custody and for such period as he may direct.

(8)

Nothing in this section shall apply to any person referred to in sub-section (1), who admits that goods liable to confiscation are secreted inside his body, and who voluntarily submits himself for suitable action being taken for bringing out such goods.

Explanation.-For the purposes of this section, the expression "registered medical practitioner" means any person who holds a qualification granted by an authority specified in the Schedule to the Indian Medical Degrees Act, 1916 (7 of 1916), or notified under section 3 of that Act, or by an authority specified in any of the Schedules to the Indian Medical

Council Act, 1956 (102 of 1956).

104.

[Power to arrest.

[Substituted by Act 29 of 2006, Section 24, for sub-Section (1) (w.e.f. 13.7.2006).]

(1)

If an officer of Customs empowered in this behalf by general or special order of the Commissioner of Customs has reason to believe that any person in India or within the Indian customs waters has committed an offence punishable under section 132 or section 133 or section 135 or section 135-A or section 136, he may arrest such person and shall, as soon as may be, inform him of the grounds for such arrest.]

(2)

Every person arrested under sub-section (1) shall, without un-necessary delay, be taken to a magistrate.

(3)

Where an officer of customs has arrested any person under sub-section (1), he shall, for the purpose of releasing such person on bail or otherwise, have the same powers and be subject to the same provisions as the officer-in-charge of a police-station has and is subject to under the Code of [Criminal Procedure, 1898 (5 of 1898)]

[Now see the Code of Criminal Procedure, 1973 (2 of 1974).]

.

(4)

Notwithstanding anything contained in the Code of [Criminal Procedure, 1898 (5 of 1898)]

[Now see the Code of Criminal Procedure, 1973 (2 of 1974).]

, an offence under this Act shall not be cognizable.

105.

Power to search premises.

(1)

If the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

, or in any area adjoining the land frontier or the coast of India an officer of customs specially empowered by name in this behalf by the Board, has reason to believe that any goods liable to confiscation, or any documents or things which in his opinion will be useful for or relevant to any proceeding under this Act, are secreted in any place, he may authorise any officer of customs to search or may himself search for such goods, documents or things.

(2)

The provisions of the Code of Criminal Procedure, 1898 (5 of 1898), relating to searches shall, so far as may be, apply to searches under this section subject to the modification that sub-section (5) of section 165 of the said Code shall have effect as if for the word "Magistrate", wherever it occurs, the words [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

were substituted.

106.

Power to stop and search conveyances.

(1)

Where the proper officer has reason to believe that any aircraft, vehicle or animal in India or any vessel in India or within the Indian customs waters has been, is being, or is about to be, used in the smuggling of any goods or in the carriage of any goods which have been smuggled, he may at any time stop any such vehicle, animal or vessel or, in the case of an aircraft, compel it to land, and-

(a)

rummage and search any part of the aircraft, vehicle or vessel;

(b)

examine and search any goods in the aircraft, vehicle or vessel or on the animal;

(c)

break open the lock of any door or package for exercising the powers conferred by clauses (a) and (b), if the keys are withheld.

(2)

Where for the purposes of sub-section (1)-

(a)

it becomes necessary to stop any vessel or compel any aircraft to land, it shall be lawful for any vessel or aircraft in the service of the Government while flying her proper flag and any authority authorised in this behalf by the Central Government to summon such vessel to stop or the aircraft to land, by means of an international signal, code or other recognized means, and thereupon, such vessel shall forthwith stop or such aircraft shall forthwith land; and if it fails to do so, chase may be given thereto by any vessel or aircraft as aforesaid and if after a gun is fired as a signal the vessel fails to stop or the aircraft fails to land, it may be fired upon;

(b)

it becomes necessary to stop any vehicle or animal, the proper officer may use all lawful means for stopping it, and where such means fail, the vehicle or animal may be fired upon.

106A.

[Power to inspect.

[Inserted by Act 12 of 1969, Section 3 (w.e.f. 3.1.1969).]

- Any proper officer authorised in this behalf by the [Commissioner of Customs][may, for the purpose of ascertaining whether or not the requirements of this Act have been complied with, at any reasonable time, enter any place intimated under Chapter IV-A or Chapter IV-B, as the case may be, and inspect the goods kept or stored therein and require any person found therein, who is for the time being in charge thereof, to produce to him for his inspection the accounts maintained under the said Chapter IV-A or Chapter IV-B, as the case may be, and to furnish to him such other information as he may reasonably require for the purpose of ascertaining whether or not such goods have been illegally imported, exported or are likely to be illegally exported.]

[Inserted by Act 12 of 1969, Section 3 (w.e.f. 3.1.1969).]

107.

Power to examine persons.

- Any officer of customs empowered in this behalf by general or special order of the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

may, during the course of any enquiry in connection with the smuggling of any goods,-

(a)

require any person to produce or deliver any document or thing relevant to the enquiry;

(b)

examine any person acquainted with the facts and circumstances of the case.

Substituted by Act 29 of 2006, Section 25, for sub-Section (1) (w.e.f. 13.7.2006). Prior to its substitution, sub-Section (1) read as under:- " (1) Any Gazetted Officer of Customs shall have power to summon any person whose attendance he considers necessary either to give evidence or to produce a document or any other thing in any inquiry which such officer is making in connection with the smuggling of any goods."

108.

Power to summon persons to give evidence and produce documents.

(1)

Any Gazetted Officer of Customs [* * *]

[The words " duly empowered by the Central Government in this behalf," omitted by Act 18 of 2008, Section 69 (w.r.e.f. 13.7.2006).]

shall have power to summon any person whose attendance he considers necessary either to give evidence or to produce a document or any other thing in any inquiry which such officer is making under this Act.

(2)

A summons to produce documents or other things may be for the production of certain specified documents or things or for the production of all documents or things of a certain description in the possession or under the control of the person summoned.

(3)

All persons so summoned shall be bound to attend either in person or by an authorised agent, as such officer may direct; and all persons so summoned shall be bound to state the truth upon any subject, respecting which they are examined or make statements and produce such documents and other things as may be required:

Provided that the exemption under section 132 of the Code of Civil Procedure, 1908 (5 of 1908), shall be applicable to any requisition for attendance under this section.

(4)

Every such inquiry as aforesaid shall be deemed to be a judicial proceeding within the meaning of section 193 and section 228 of the Indian Penal Code (45 of 1860).

108A.

[Obligation to furnish information.

[Inserted by Notification No. 18 of 2017, dated 4.5.2017.]

(1)

Any person, being -

(a)

a local authority or other public body or association; or

(b)

any authority of the State Government responsible for the collection of value added tax or sales tax or any other tax relating to the goods or services; or

(c)

an income-tax authority appointed under the provisions of the Incometax Act, 1961;

(d)

a Banking company within the meaning of clause (a) of section 45A of the Reserve Bank of India Act, 1934; or

(e)

a co-operative bank within the meaning of clause (dd) of section 2 of the Deposit Insurance and Credit Guarantee Corporation Act, 1961; or

(f)

a financial institution within the meaning of clause (c), or a non-banking financial company within the meaning of clause (f), of section 45-I of the Reserve Bank of India Act, 1934; or

(g)

a State Electricity Board; or an electricity distribution or transmission licensee under the Electricity Act, 2003, or any other entity entrusted, as the case may be, with such functions by the Central Government or the State Government; or

(h)

the Registrar or Sub-Registrar appointed under section 6 of the Registration Act, 1908; or

(i)

a Registrar within the meaning of the Companies Act, 2013; or

(j)

the registering authority empowered to register motor vehicles under Chapter IV of the Motor Vehicles Act, 1988; or

(k)

the Collector referred to in clause (c) of section 3 of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013; or

(l)

the recognised stock exchange referred to in clause (f) of section 2 of the Securities Contracts (Regulation) Act, 1956; or

(m)

a depository referred to in clause (e) of sub-section (1) of section 2 of the Depositories Act, 1996; or

(n)

the Post Master General within the meaning of clause (j) of section 2 of the Indian Post Office Act, 1898; or

(o)

the Director General of Foreign Trade within the meaning of clause (d) of section 2 of the Foreign Trade (Development and Regulation) Act, 1992; or

(p)

the General Manager of a Zonal Railway within the meaning of clause (18) of section 2 of the Railways Act, 1989; or

(q)

an officer of the Reserve Bank of India constituted under section 3 of the Reserve Bank of India Act, 1934, who is responsible for maintaining record of registration or statement of accounts or holding any other information under any of the Acts specified above or under any other law for the time being in force, which is considered relevant for the purposes of this Act, shall furnish such information to the proper officer in such manner as may be prescribed by rules made under this Act.

(2)

Where the proper officer considers that the information furnished under sub-section (1) is defective, he may intimate the defect to the person who has furnished such information and give him an opportunity of rectifying the defect within a period of seven days from the date of such intimation or within such further period which, on an application made in this behalf, the proper officer may allow and if the defect is not rectified within the said period of seven days or, further period, as the case may be, so allowed, then, notwithstanding anything contained in any other provision of this Act, such information shall be deemed as not furnished and the provisions of this Act shall apply.

(3)

Where a person who is required to furnish information has not furnished the same within the time specified in sub-section (1) or sub-section (2), the proper officer may serve upon him a notice requiring him to furnish such information within a period not exceeding thirty days from the date of service of the notice and such person shall furnish such information.

108B.

Penalty for failure to furnish information return.

- Where the person who is required to furnish information under section 108A fails to do so within the period specified in the notice issued under sub-section (3) thereof, the proper officer may direct such person to pay, by way of penalty, a sum of one hundred rupees for each day of the period during which the failure to furnish such information continues.]

109.

Power to require production of order permitting clearance of goods imported by land.

- Any officer of customs appointed for any area adjoining the land frontier of India and empowered in this behalf by general or special order of the Board, may require any person in possession of any goods which such officer has reason to believe to have been imported into India by land, to produce the order made under section 47 permitting clearance of the goods:

Provided that nothing in this section shall apply to any imported goods passing from a land frontier to a land customs station by a route appointed under clause (c) of section 7.

109A.

[Power to undertake controlled delivery.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

- Notwithstanding anything contained in this Act, the proper officer or any other officer authorised by him in this behalf, may undertake controlled delivery of any consignment of such goods and in such manner as may be prescribed, to -

(a)

any destination in India; or

(b)

a foreign country, in consultation with the competent authority of such country to which such consignment is destined.

Explanation. - For the purposes of this section "controlled delivery" means the procedure of allowing consignment of such goods to pass out of, or into, the territory of India with the knowledge and under the supervision of proper officer for identifying the persons involved in the commission of an offence or contravention under this Act.]

110.

Seizure of goods, documents and things.

(1)

If the proper officer has reason to believe that any goods are liable to confiscation under this Act, he may seize such goods:

Provided that where it is not practicable to seize any such goods, the proper officer may serve on the owner of the goods an order that he shall not remove, part with, or otherwise deal with the goods except with the previous permission of such officer.

[(1-A) The Central Government may, having regard to the perishable or hazardous nature of any goods, depreciation in the value of the goods with the passage of time, constraints of storage space for the goods or any other relevant considerations, by notification in the Official Gazette, specify the goods or class of goods which shall, as soon as may be after its seizure under sub-section (1), be disposed of by the proper officer in such manner as the Central Government may, from time to time, determine after following the procedure hereinafter specified.

(1-B) Where any goods, being goods specified under sub-section (1-A), have been seized by a proper officer under sub-section (1), he shall prepare an inventory of such goods containing such details relating to their description, quality, quantity, mark, numbers, country of origin and other particulars as the proper officer may consider relevant to the identity of the goods in any proceedings under this Act and shall make an application to a Magistrate for the purpose of-

(a)

certifying the correctness of the inventory so prepared; or

(b)

taking, in the presence of the Magistrate, photographs of such goods, and certifying such photographs as true; or

(c)

allowing to draw representative samples of such goods, in the presence of the Magistrate, and certifying the correctness of any list of samples so drawn.

(1-C) Where an application is made under sub-section (1-B), the Magistrate shall, as soon as may be, allow the application.]

[Inserted by Act 80 of 1985, Section 8 (w.e.f. 27.12.1985).]

(2)

Where any goods are seized under sub-section (1) and no notice in respect thereof is given under clause (a) of section 124 within six months of the seizure of the goods, the goods shall be returned to the person from whose possession they were seized:

[Provided that the Principal Commissioner of Customs or Commissioner of Customs may, for reasons to be recorded in writing, extend such period to a further period not exceeding six months and inform the person from whom such goods were seized before the expiry of the period so specified:

Provided further that where any order for provisional release of the seized goods has been passed under section 110A, the specified period of six months shall not apply.]

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(3)

The proper officer may seize any documents or things which, in his opinion, will be useful for, or relevant to, any proceeding under this Act.

(4)

The person from whose custody any documents are seized under sub-section (3) shall be entitled to make copies thereof or take extracts therefrom in the presence of an officer of customs.

110A.

[Provisional release of goods, documents and things seized pending adjudication.

[Inserted by Act 29 of 2006, Section 26 (w.e.f. 13.7.2006).]

- Any goods, documents or things seized under section 110, may, pending the order of the adjudicating officer, be released to the owner on taking a bond from him in the proper form with such security and conditions as the Commissioner of Customs may require.]

Chapter XIV

Confiscation Of Goods And Conveyances And Imposition Of Penalties

111.

Confiscation of improperly imported goods, etc.

- The following goods brought from a place outside India shall be liable to confiscation:-

(a)

any goods imported by sea or air which are unloaded or attempted to be unloaded at any place other than a customs port or customs airport appointed under clause (a) of section 7 for the unloading of such goods;

(b)

any goods imported by land or inland water through any route other than a route specified in a notification issued under

clause (c) of section 7 for the import of such goods;

(c)

any dutiable or prohibited goods brought into any bay, gulf, creek or tidal river for the purpose of being landed at a place other than a customs port;

(d)

any goods which are imported or attempted to be imported or are brought within the Indian customs waters for the purpose of being imported, contrary to any prohibition imposed by or under this Act or any other law for the time being in force;

(e)

any dutiable or prohibited goods found concealed in any manner in any conveyance;

(f)

any dutiable or prohibited goods required to be mentioned under the regulations in an import manifest or import report which are not so mentioned;

(g)

any dutiable or prohibited goods which are unloaded from a conveyance in contravention of the provisions of section 32, other than goods inadvertently unloaded but included in the record kept under sub-section (2) of section 45;

(h)

any dutiable or prohibited goods unloaded or attempted to be unloaded in contravention of the provisions of section 33 or section 34;

(i)

any dutiable or prohibited goods found concealed in any manner in any package either before or after the unloading thereof;

(j)

any dutiable or prohibited goods removed or attempted to be removed from a customs area or a warehouse without the permission of the proper officer or contrary to the terms of such permission;

(k)

any dutiable or prohibited goods imported by land in respect of which the order permitting clearance of the goods required to be produced under section 109 is not produced or which do not correspond in any material particular with the specification contained therein;

(l)

any dutiable or prohibited goods which are not included or are in excess of those included in the entry made under this Act, or in the case of baggage in the declaration made under section 77;

(m)

[any goods which do not correspond in respect of value or in any other particular]

[Substituted by Act 36 of 1973, Section 2, for certain words (w.e.f. 1.9.1973).]

with the entry made under this Act or in the case of baggage with the declaration made under section 77 [in respect thereof, or in the case of goods under transshipment, with the declaration for transshipment referred to in the proviso to sub-section (1) of section 54]

[Substituted by Act

27 of 1999

, Section 108, for " in respect thereof;" (w.e.f. 11.5.1999).]

;

(n)

any dutiable or prohibited goods transitted with or without transshipment or attempted to be so transitted in contravention of the provisions of Chapter VIII;

(o)

any goods exempted, subject to any condition, from duty or any prohibition in respect of the import thereof under this Act or any other law for the time being in force, in respect of which the condition is not observed unless the non-observance of the condition was sanctioned by the proper officer;

(p)

[any notified goods in relation to which any provisions of Chapter IV-A or of any rule made under this Act for carrying

out the purposes of that Chapter have been contravened.]

[Inserted by Act 12 of 1969, Section 4 (w.e.f. 3.1.1969).]

112.

Penalty for improper importation of goods, etc.

- Any person,-

(a)

who, in relation to any goods, does or omits to do any act which act or omission would render such goods liable to confiscation under section 111, or abets the doing or omission of such an act, or

(b)

who acquires possession of or is in any way concerned in carrying, removing, depositing, harbouring, keeping, concealing, selling or purchasing, or in any other manner dealing with any goods which he knows or has reason to believe are liable to confiscation under section 111, shall be liable,-

(i)

in the case of goods in respect of which any prohibition is in force under this Act or any other law for the time being in force, to a penalty [not exceeding the value of the goods or five thousand rupees]

[Substituted by Act 14 of 2001, Section 107, for certain words (w.e.f. 11.5.2001).]

, whichever is the greater;

(ii)

in the case of dutiable goods, other than prohibited goods, to a penalty [not exceeding the duty sought to be evaded on such goods or five thousand rupees,]

[Substituted by Act 14 of 2001, Section 107, for certain words (w.e.f. 11.5.2001).]

whichever is the greater;

(iii)

[in the case of goods in respect of which the value stated in the entry made under this Act or in the case of baggage, in the declaration made under section 77 (in either case hereinafter in this section referred to as the declared value) is higher than the value thereof, to a penalty [not exceeding the difference between the declared value and the value thereof or five thousand rupees]

[Inserted by Act 36 of 1973, Section 3 (w.e.f. 1.9.1973).]

,[whichever is the greater;

[Inserted by Act 36 of 1973, Section 3 (w.e.f. 1.9.1973).]

(iv)

in the case of goods falling both under clauses (i) and (iii), to a penalty [not exceeding the difference between the declared value and the value thereof or five thousand rupees],[whichever is the highest;

[Inserted by Act 36 of 1973, Section 3 (w.e.f. 1.9.1973).]

(v)

in the case of goods falling both under clauses (ii) and (iii), to a penalty [not exceeding the duty sought to be evaded on such goods or the difference between the declared value and the value thereof or five thousand rupees], [whichever is the highest.]

[Inserted by Act 36 of 1973, Section 3 (w.e.f. 1.9.1973).]

113.

Confiscation of goods attempted to be improperly exported, etc.

- The following export goods shall be liable to confiscation:-

(a)

any goods attempted to be exported by sea or air from any place other than a customs port or a customs airport appointed for the loading of such goods;

(b)

any goods attempted to be exported by land or inland water through any route other than a route specified in a notification issued under clause (c) of section 7 for the export of such goods;

(c)

any [* * *]

[The words " dutiable or prohibited" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

goods brought near the land frontier or the coast of India or near any bay, gulf, creek or tidal river for the purpose of being exported from a place other than a land customs station or a customs port appointed for the loading of such goods;

(d)

any goods attempted to be exported or brought within the limits of any customs area for the purpose of being exported, contrary to any prohibition imposed by or under this Act or any other law for the time being in force;

(e)

any [* * *]

[The words " dutiable or prohibited" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

goods found concealed in a package which is brought within the limits of a customs area for the purpose of exportation;

(f)

any [* * *]

[The words " dutiable or prohibited" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

goods which are loaded or attempted to be loaded in contravention of the provisions of section 33 or section 34;

(g)

any [* * *]

[The words " dutiable or prohibited" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

goods loaded or attempted to be loaded on any conveyance, or water-borne, or attempted to be water-borne for being loaded on any vessel, the eventual destination of which is a place outside India, without the permission of the proper officer;

(h)

any [* * *]

[The words " dutiable or prohibited" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

goods which are not included or are in excess of those included in the entry made under this Act, or in the case of baggage in the declaration made under section 77;

Substituted by Act 32 of 2003, Section 109, for Clause (i) (w.e.f. 14.5.2003). Prior to its substitution, Clause (i) read as under:-" (i) any dutiable or prohibited goods or goods entered for exportation under claim for drawback which do not correspond in any material particular with the entry made under this Act or in the case of baggage with the declaration made under Section 77 in respect thereof;"

(i)

[any goods entered for exportation which do not correspond in respect of value or in any material particular with the entry made under this Act or in the case of baggage with the declaration made under section 77;]

(ii)

[any goods entered for exportation under claim for drawback which do not correspond in any material particular with any information furnished by the exporter or manufacturer under this Act in relation to the fixation of rate of drawback under section 75;]

[Inserted by Act 49 of 1991, Section 120 (w.r.e.f. 1.4.1991).]

(j)

any goods on which import duty has not been paid and which are entered for exportation under a claim for drawback under section 74;

(k)

any goods cleared for exportation [* * *]

[The words " under a claim for drawback" omitted by Act 32 of 2003, Section 116 (w.e.f. 14.5.2003).]

which are not loaded for exportation on account of any wilful act, negligence or default of the exporter, his agent or employee, or which after having been loaded for exportation are unloaded without the permission of the proper officer;

(l)

[any specified goods in relation to which any provisions of Chapter IV-B or of any rule made under this Act for carrying out the purposes of that Chapter have been contravened.]

[Inserted by Act 12 of 1969, Section 5 (w.e.f. 3.1.1969).]

114.

Penalty for attempt to export goods improperly, etc.

- Any person who, in relation to any goods, does or omits to do any act which act or omission would render such goods liable to confiscation under section 113, or abets the doing or omission of such an act, shall be liable,-

(i)

in the case of goods in respect of which any prohibition is in force under this Act or any other law for the time being in force, to a penalty [not exceeding three times the value of the goods as declared by the exporter or the value as determined under this Act]

[Substituted by Act 32 of 2003, Section 117, for " not exceeding the value of the goods or five thousand rupees" (w.e.f. 14.5.2003). Earlier, these words were substituted by Act 14 of 2001, Section 108 (w.e.f. 11.5.2001).]

, whichever is the greater;

(ii)

in the case of dutiable goods, other than prohibited goods, to a penalty [not exceeding the duty sought to be evaded or five thousand rupees]

[Substituted by Act 14 of 2001, Section 107, for certain words (w.e.f. 11.5.2001).]

, whichever is the greater;

(iii)

[in the case of any other goods, to a penalty not exceeding the value of the goods, as declared by the exporter or the value as determined under this Act, whichever is the greater.]

[Substituted by Act 32 of 2003, Section 117, for Clause (iii) (w.e.f. 14.5.2003).]

114A.

[Penalty for short-levy or non-levy of duty in certain cases.

[Inserted by Act 33 of 1996, Section 64 (w.e.f. 28.9.1996).]

- Where the duty has not been levied or has been short-levied or the interest has not been charged or paid or has been part paid or the duty or interest has been erroneously refunded by reason of collusion or any wilful mis-statement or suppression of facts, the person who is liable to pay the duty or interest, as the case may be, as determined under sub-section (2) of section 28 shall also be liable to pay a penalty equal to the duty or interest so determined:]

[Provided that where such duty or interest, as the case may be, as determined under sub-section (2) of section 28, and the interest payable thereon under section 28-AB, is paid within thirty days from the date of the communication of the order of the proper officer determining such duty, the amount of penalty liable to be paid by such person under this section shall be twenty-five per cent. of the duty or interest, as the case may be, so determined:

Provided further that the benefit of reduced penalty under the first proviso shall be available subject to the condition that the amount of penalty so determined has also been paid within the period of thirty days referred to in that proviso:

Provided also that where the duty or interest determined to be payable is reduced or increased by the Commissioner (Appeals), the Appellate Tribunal or, as the case may be, the Court, then, for the purposes of this section, the duty or interest as reduced or increased, as the case may be, shall be taken into account:

Provided also that in a case where the duty or interest determined to be payable is increased by the Commissioner (Appeals), the Appellate Tribunal or, as the case may be, the Court, then, the benefit of reduced penalty under the first proviso shall be available if the amount of the duty or the interest so increased, alongwith the interest payable thereon under section 28-AB, and twenty-five per cent. of the consequential increase in penalty have also been paid within thirty days of the communication of the order by which such increase in the duty or interest takes effect:

Provided also that where any penalty has been levied under this section, no penalty shall be levied under section 112 or section 114.

Explanation.-For the removal of doubts, it is hereby declared that-

(i)

the provisions of this section shall also apply to cases in which the order determining the duty or interest under sub-section (2) of section 28 relates to notices issued prior to the date on which the Finance Act, 2000 receives the assent of the President;

(ii)

any amount paid to the credit of the Central Government prior to the date of communication of the order referred to in the first proviso or the fourth proviso shall be adjusted against the total amount due from such person.]

114AA.

[Penalty for use of false and incorrect material.

[Inserted by Act 29 of 2006, Section 27 (w.e.f. 13.7.2006).]

- If a person knowingly or intentionally makes, signs or uses, or causes to be made, signed or used, any declaration, statement or document which is false or incorrect in any material particular, in the transaction of any business for the purposes of this Act, shall be liable to a penalty not exceeding five times the value of goods.]

[Substituted by Act 10 of 2000, Section 85, for the first and second proviso (w.e.f. 12.5.2000).]

115.

Confiscation of conveyances.

(1)

The following conveyances shall be liable to confiscation:-

(a)

any vessel which is or has been within the Indian customs waters, any aircraft which is or has been in India, or any vehicle which is or has been in a customs area, while constructed, adapted, altered or fitted in any manner for the purpose of concealing goods;

(b)

any conveyance from which the whole or any part of the goods is thrown overboard, staved or destroyed so as to prevent seizure by an officer of customs;

(c)

any conveyance which having been required to stop or land under section 106 fails to do so, except for good and sufficient cause;

(d)

any conveyance from which any warehoused goods cleared for exportation, or any other goods cleared for exportation under a claim for drawback, are unloaded, without the permission of the proper officer;

(e)

any conveyance carrying imported goods which has entered India and is afterwards found with the whole or substantial portion of such goods missing, unless the master of the vessel or aircraft is able to account for the loss of, or deficiency in, the goods.

(2)

Any conveyance or animal used as a means of transport in the smuggling of any goods or in the carriage of any smuggled goods shall be liable to confiscation, unless the owner of the conveyance or animal proves that it was so used without the knowledge or connivance of the owner himself, his agent, if any, and the person in charge of the conveyance or animal [* * *]

[Certain words omitted by Act 26 of 1988, Section 79 (w.e.f. 13.5.1988).]

:

Provided that where any such conveyance is used for the carriage of goods or passengers for hire, the owner of any conveyance shall be given an option to pay in lieu of the confiscation of the conveyance a fine not exceeding the market-price of the goods which are sought to be smuggled or the smuggled goods, as the case may be.

Explanation.-In this section, "market-price" means market-price at the date when the goods are seized.

116.

Penalty for not accounting for goods.

- If any goods loaded in a conveyance for importation into India, or any goods transhipped under the provisions of this Act or coastal goods carried in a conveyance, are not unloaded at their place of destination in India, or if the quantity unloaded is short of the quantity to be unloaded at that destination, and if the failure to unload or the deficiency is not accounted for to the satisfaction of the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

, the person-in-charge of the conveyance shall be liable,-

(a)

in the case of goods loaded in a conveyance for importation into India or goods transhipped under the provisions of this Act, to a penalty not exceeding twice the amount of duty that would have been chargeable on the goods not unloaded or

the deficient goods, as the case may be, had such goods been imported;

(b)

in the case of coastal goods, to a penalty not exceeding twice the amount of export duty that would have been chargeable on the goods not unloaded or the deficient goods, as the case may be, had such goods been exported.

117.

Penalties for contravention, etc., not expressly mentioned.

- Any person who contravenes any provision of this Act or abets any such contravention or who fails to comply with any provision of this Act with which it was his duty to comply, where no express penalty is elsewhere provided for such contravention or failure, shall be liable to a penalty not exceeding [one lakh rupees]

[Substituted by Act 18 of 2008, Section 70, for " ten thousand rupees" .]

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118.

Confiscation of packages and their contents.

(a)

Where any goods imported in a package are liable to confiscation, the package and any other goods imported in that package shall also be liable to confiscation.

(b)

Where any goods are brought in a package within the limits of a customs area for the purpose of exportation and are liable to confiscation, the package and any other goods contained therein shall also be liable to confiscation.

119.

Confiscation of goods used for concealing smuggled goods.

- Any goods used for concealing smuggled goods shall also be liable to confiscation.

Explanation.-In this section, "goods" does not include a conveyance used as a means of transport.

120.

Confiscation of smuggled goods notwithstanding any change in form, etc.

(1)

Smuggled goods may be confiscated notwithstanding any change in their form.

(2)

Where smuggled goods are mixed with other goods in such manner that the smuggled goods cannot be separated from such other goods, the whole of the goods shall be liable to confiscation:

Provided that where the owner of such goods proves that he had no knowledge or reason to believe that they included any smuggled goods, only such part of the goods the value of which is equal to the value of the smuggled goods shall be liable to confiscation.

121.

Confiscation of sale-proceeds of smuggled goods.

- Where any smuggled goods are sold by a person having knowledge or reason to believe that the goods are smuggled goods, the sale-proceeds thereof shall be liable to confiscation.

122.

Adjudication of confiscations and penalties.

- In every case under this Chapter in which anything is liable to confiscation or any person is liable to a penalty, such confiscation or penalty may be adjudged, -

(a)

without limit, by a [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 51, for " Collector of Customs" (w.e.f. 26.5.1995).]

or a [Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

;

(b)

[up to such limit, by such officers, as the Board may, by notification, specify.]

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(c)

where the value of the goods liable to confiscation does not exceed [ten thousand]

[Substituted by Act 32 of 2003, Section 118, for " two thousand five hundred" (w.e.f. 14.5.2003).]

rupees, by a Gazetted Officer of Customs lower in rank than an [Assistant Commissioner of Customs or Deputy Commissioner of Customs.]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

122A.

[Adjudication procedure.

[Inserted by Act 23 of 2004, Section 67 (w.e.f. 10.9.2004).]

(1)

The adjudicating authority shall, in any proceeding under this Chapter or any other provision of this Act, give an opportunity of being heard to a party in a proceeding, if the party so desires.

(2)

The adjudicating authority may, if sufficient cause is shown at any stage of proceeding referred to in sub-section (1), grant time, from time to time, to the parties or any of them and adjourn the hearing for reasons to be recorded in writing: Provided that no such adjournment shall be granted more than three times to a party during the proceeding.]

123.

Burden of proof in certain cases.

- [(1) Where any goods to which this section applies are seized under this Act in the reasonable belief that they are smuggled goods, the burden of proving that they are not smuggled goods shall be-

(a)

in a case where such seizure is made from the possession of any person,-

(i)

on the person from whose possession the goods were seized; and

(ii)

if any person, other than the person from whose possession the goods were seized, claims to be the owner thereof, also on such other person;

(b)

in any other case, on the person, if any, who claims to be the owner of the goods so seized.]

(2)

This section shall apply to gold, [and manufactures thereof,]

[Substituted by Act 40 of 1989, Section 2, for " diamonds, manufacturer of gold or diamonds" .]

watches, and any other class of goods which the Central Government may by notification in the Official Gazette specify.

124.

Issue of show cause notice before confiscation of goods, etc.

- No order confiscating any goods or imposing any penalty on any person shall be made under this Chapter unless the owner of the goods or such person-

(a)

is given a notice in [writing with the prior approval of the officer of Customs not below the rank of a Deputy Commissioner of Customs, informing]

[Substituted by Act 29 of 2006, Section 28, for " writing informing" (w.e.f. 13.7.2006).]

him of the grounds on which it is proposed to confiscate the goods or to impose a penalty;

(b)

is given an opportunity of making a representation in writing within such reasonable time as may be specified in the notice against the grounds of confiscation or imposition of penalty mentioned therein; and

(c)

is given a reasonable opportunity of being heard in the matter:

Provided that the notice referred to in clause (a) and the representation referred to in clause (b) may, at the request of the person concerned, be oral.

[Provided further that notwithstanding issue of notice under this section, the proper officer may issue a supplementary notice under such circumstances and in such manner as may be prescribed.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

125.

Option to pay fine in lieu of confiscation.

(1)

Whenever confiscation of any goods is authorised by this Act, the officer adjudging it may, in the case of any goods, the importation or exportation whereof is prohibited under this Act or under any other law for the time being in force, and shall, in the case of any other goods, give to the owner of the goods [or, where such owner is not known, the person from whose possession or custody such goods have been seized,]

[Inserted by Act 80 of 1985, Section 9 (w.e.f. 27.12.1985).]

an option to pay in lieu of confiscation such fine as the said officer thinks fit:

[Provided that where the proceedings are deemed to be concluded under the proviso to sub-section (2) of section 28 or under clause (i) of sub-section (6) of that section in respect of the goods which are not prohibited or restricted, the provisions of this section shall not apply:

Provided further that]

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

without prejudice to the provisions of the proviso to sub-section (2) of section 115, such fine shall not exceed the market price of the goods confiscated, less in the case of imported goods the duty chargeable thereon.

(2)

[Where any fine in lieu of confiscation of goods is imposed under sub-section (1), the owner of such goods or the person referred to in sub-section (1), shall, in addition, be liable to any duty and charges, payable in respect of such goods.]

[Substituted by Act 80 of 1985, Section 9, for sub-Section (2) (w.e.f. 27.12.1985).]

(3)

[Where the fine imposed under sub-section (1) is not paid within a period of one hundred and twenty days from the date of option given thereunder, such option shall become void, unless an appeal against such order is pending.

Explanation. - For removal of doubts, it is hereby declared that in cases where an order under sub-section (1) has been passed before the date on which the Finance Bill, 2018 receives the assent of the President and no appeal is pending against such order as on that date, the option under said sub-section may be exercised within a period of one hundred and twenty days from the date on which such assent is received.]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

126.

On confiscation, property to vest in Central Government.

(1)

When any goods are confiscated under this Act, such goods shall thereupon vest in the Central Government.

(2)

The officer adjudging confiscation shall take and hold possession of the confiscated goods.

127.

Award of confiscation or penalty by customs officers not to interfere with other punishments.

- The award of any confiscation or penalty under this Act by an officer of customs shall not prevent the infliction of any punishment to which the person affected thereby is liable under the provisions of Chapter XVI of this Act or under any other law.

[CHAPTER XIV-A]

[Inserted by Act 21 of 1998, Section 102 (w.e.f. 1-8-1998).]

Settlement Of Cases

127A.

Definitions.

- In this Chapter, unless the context otherwise requires,-

(a)

"Bench" means a Bench of the Settlement Commission;

[Substituted by Act 36 of 1973, Section 4, for sub-Section (1) (w.e.f. 1.9.1973).]

Substituted by Act 22 of 2007, Section 100, for Clause (b) (w.e.f. 1.6.2007). Prior to its substitution, Clause (b) read as under:- " (b) " case" means any proceeding under this Act or any other Act for the levy, assessment and collection of customs duty, or any proceeding by way of appeal or revision in connection with such levy, assessment or collection, which may be pending before a proper officer or the Central Government on the date on which an application under sub-Section (1) of Section 127-B is made:

Provided that where any appeal or application for revision has been preferred after the expiry of the period specified for the filing of such appeal or application for revision under this Act and which has not been admitted, such appeal or revision shall not be deemed to be a proceeding pending within the meaning of this clause;" .

(b)

"case" means any proceeding under this Act or any other Act for the levy, assessment and collection of customs duty, pending before an adjudicating authority on the date on which an application under sub-section (1) of section 127-B is made:

Provided that when any proceeding is referred back in any appeal or revision, as the case may be, by any Court, Appellate Tribunal or any other authority, to the adjudicating authority for a fresh adjudication or decision, as the case may be, then such proceeding shall not be deemed to be a proceeding pending within the meaning of this clause;

(c)

"Chairman" means the Chairman of the Settlement Commission;

(d)

"Commissioner (Investigation)" means an officer of the customs or a Central Excise Officer appointed as such Commissioner to conduct inquiry or investigation for the purpose of this Chapter;

(e)

"Member" means a Member of the Settlement Commission and includes the Chairman and the Vice-Chairman;

(f)

"Settlement Commission" means the Customs and Central Excise Settlement Commission constituted under section 32 of the Central Excise Act, 1944 (1 of 1944); and

(g)

"Vice-Chairman" means a Vice-Chairman of the Settlement Commission.

Substituted by, Act 22 of 2007, Section 101, for sub-Section (1) (w.e.f. 1-6-2007). Prior to its substitution, sub-Section (1) read as under:- " (1) Any importer, exporter or any other person (hereafter in this Chapter referred to as the applicant) may, at any stage of a case relating to him, make an application in such form and in such manner as may be specified by rules, and containing a full and true disclosure of his duty liability which has not been disclosed before the proper officer, the manner in which such liability has been incurred, the additional amount of customs duty accepted to be payable by him and such other particulars as may be specified by rules including the particulars of such dutiable goods in respect of which he admits short levy on account of mis-classification or otherwise of goods, to the Settlement Commission to have the case settled and such application shall be disposed of in the manner hereinafter provided:

Provided that no such application shall be made unless

(a) the applicant has filed a bill of entry, or a shipping bill, in respect of import or export of goods, as the case may be, and in relation to such bill of entry or shipping bill a show cause notice has been issued to him by the proper officer;

(b) the additional amount of duty accepted by the applicant in his application exceeds two lakh rupees:

Provided further that no application shall be entertained by the Settlement Commission under this sub-Section in cases which are pending in the Appellate Tribunal or any Court:

Provided also that no application under this sub-Section shall be made in relation to goods to which Section 123 applies or to goods in relation to which any offence under the

Narcotic Drugs and Psychotropic Substances Act, 1985 (

61 of 1985

) has been committed:

Provided also that no application under this sub-Section shall be made for the interpretation of the classification of the

goods under the Customs Tariff Act, 1975 (51 of 1975)." .

127B.

Application for settlement of cases.

(1)

Any importer, exporter or any other person (hereinafter referred to as the applicant in this Chapter) may, in respect of a case, relating to him make an application, before adjudication to the Settlement Commission to have the case settled, in such form and in such manner as may be specified by rules, and containing a full and true disclosure of his duty liability which has not been disclosed before the proper officer, the manner in which such liability has been incurred, the additional amount of customs duty accepted to be payable by him and such other particulars as may be specified by rules including the particulars of such dutiable goods in respect of which he admits short levy on account of mis-classification, under-valuation or inapplicability of exemption notification but excluding the goods not included in the entry made under this Act and such application shall be disposed of in the manner hereinafter provided:

Provided that no such application shall be made unless, -

(a)

the applicant has filed a bill of entry, or a shipping bill, in respect of import or export of such goods, as the case may be, and in relation to such bill of entry or shipping bill, a show cause notice has been issued to him by the proper officer;

(b)

the additional amount of duty accepted by the applicant in his application exceeds three lakh rupees; and

(c)

the applicant has paid the additional amount of customs duty accepted by him along with interest due under section 28-AB:

Provided further that no application shall be entertained by the Settlement Commission under this sub-section in cases which are pending in the Appellate Tribunal or any Court:

Provided also that no application under this sub-section shall be made in relation to goods to which section 123 applies or to goods in relation to which any offence under the Narcotic Drugs and Psychotropic Substances Act, 1985 (61 of 1985

) has been committed:

Provided also that no application under this sub-section shall be made for the interpretation of the classification of the goods under the Customs Tariff Act, 1975 (51 of 1975

).

(1-A) Notwithstanding anything contained in sub-section (1), where an application was made under sub-section (1) before the 1st day of June, 2007 but an order under sub section (1) of section 127-C has not been made before the said date, the applicant shall within a period of thirty days from the 1st day of June, 2007 pay the accepted duty liability failing which his application shall be liable to be rejected.

(2)

Where any dutiable goods, books of account, other documents or any sale proceeds of the goods have been seized under section 110, the applicant shall not be entitled to make an application under sub-section (1) before the expiry of one hundred any eighty days from the date of the seizure.

(3)

Every application made under sub-section (1) shall be accompanied by such fees as may be specified by rules.

(4)

An application made under sub-section (1) shall not be allowed to be withdrawn by the applicant.

(5)

[Any person, other than an applicant referred to in sub-section (1), may also make an application to the Settlement Commission in respect of a show cause notice issued to him in a case relating to the applicant which has been settled or is pending before the Settlement Commission and such notice is pending before an adjudicating authority, in such manner and subject to such conditions, as may be specified by rules.]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

1. Substituted by Act 22 of 2007, Section 102, for Section 127-C (w.e.f. 1-6-2007). Prior to its substitution, Section

127-C read as under:—" 127-C. Procedure on receipt of application under Section 127-B.-(1) On receipt of an application under Section 127-B, the Settlement Commission shall call for a report from the Commissioner of Customs having jurisdiction and on the basis of the materials contained in such report and having regard to the nature and circumstances of the case or the complexity of the investigation involved therein, the Settlement Commission may, by order, allow the application to be proceeded with or reject the application:

Provided that an application shall not be rejected under this sub-section, unless an opportunity has been given to the applicant of being heard:

Provided further that the Commissioner of Customs shall furnish such report within a period of one month of the receipt of the communication from the Settlement Commission, failing which it shall be presumed that the Commissioner of Customs has no objection to such application; but he may raise objections as the time of hearing fixed by the Settlement Commission for admission of the application and the date of such hearing shall be communicated by the Settlement Commission to the applicant and the Commissioner of Customs within a period not exceeding two months from the date of receipt of such application, unless the presiding officer of the Bench extends the said period of two months, after recording the reasons in writing.

(2) A copy of every order under sub-Section (1) shall be sent to the applicant and to the Commissioner of Customs having jurisdiction.

(3) Subject to the provisions of sub-Section (4), the applicant shall, within thirty days of the receipt of a copy of the order under sub-Section (1) allowing the application to be proceeded with, pay the amount of additional duty admitted by him as payable and shall furnish proof of such payment to the Settlement Commission.

(4) If the Settlement Commission is satisfied, on an application made under sub-Section (1) that the applicant is unable for good and sufficient reasons to pay the amount referred to in sub-Section (3), within the time specified in that sub-section, it may extend the time for payment of the amount which remains unpaid or allow payment thereof by instalments, if the applicant furnishes adequate security for the payment thereof.

(5) Where the additional amount of customs duty referred to in sub-Section (3) is not paid by the applicant within the time specified or extended period, as the case may be, the Settlement Commission may direct that the amount which remains unpaid, together with simple interest at the rate of eighteen per cent. per annum or at the rate notified by the Board from time to time on the amount remaining unpaid, be recovered as the sum due to the Central Government by the proper officer having jurisdiction over the applicant in accordance with the provisions of Section 142.

(6) Where an application is allowed to be proceeded with under sub-Section (1), the Settlement Commission may call for the relevant records from the Commissioner of Customs having jurisdiction and after examination of such records, if the Settlement Commission is of the opinion that any further enquiry or investigation in the matter is necessary, it may direct the Commissioner (Investigation) to make or cause to be made such further enquiry or investigation and furnish a report on the matters covered by the application and any other matter relating to the case.

(7) After examination of the records and the report of the Commissioner of Customs received under sub-Section (1), and the report, if any, of the Commissioner (Investigation) of the Settlement Commissioner under sub-Section (6), and after giving an opportunity to the applicant and to the Commissioner of Customs having jurisdiction to be heard, either in person or through a representative duly authorised in this behalf, and after examining such further evidence as may be placed before it or obtained by it, the Settlement Commission may, in accordance with the provisions of this Act, pass such order as it thinks fit on the matters covered by the application and any other matter relating to the case not covered by the application, but referred to in the report of the Commissioner of Customs or the Commissioner (Investigation) under sub-Section (1) or sub-Section (6).

(8) Subject to the provisions of Section 32-A of the Central Excise Act, 1944 (1 of 1944), the materials brought on record before the Settlement Commission shall be considered by the Members of the Bench concerned before passing any order under sub-Section (7) and, in relation to the passing of such order, the provisions of Section 32-D of the Central Excise Act, 1944 (1 of 1944) shall apply.

(9) Every order passed under sub-Section (7) shall provide for the terms of settlement including any demand by way of duty, penalty or interest, the manner in which any sum due under the settlement shall be paid and all other matters to make the settlement effective and shall also provide that the settlement shall be void if it is subsequently found by the Settlement Commission that it has been obtained by fraud, or misrepresentation of facts.

(10) Where any duty payable in pursuance of an order under sub-Section (7) is not paid by the applicant within thirty days of the receipt of a copy of the order by him, then, whether or not the Settlement Commission has extended the time

for payment of such duty or has allowed payment thereof by instalments, the applicant shall be liable to pay simple interest at the rate of eighteen per cent. per annum or at such other rate as notified by the Board on the amount remaining unpaid from the date of expiry of the period of thirty days aforesaid.

(11) Where a settlement becomes void as provided under sub-Section (9), the proceedings with respect to the matters covered by the settlement shall be deemed to have been revived from the stage at which the application was allowed to be proceeded with by the Settlement Commission and proper officer may, notwithstanding anything contained in any other provision of this Act, complete such proceedings at any time before the expiry of two years from the date of the receipt of the communication that the settlement became void." .

127C.

Procedure on receipt of an application under section 127-B.

(1)

On receipt of an application under section 127-B, the Settlement Commission shall, within seven days from the date of receipt of the application, issue a notice to the applicant to explain in writing as to why the application made by him should be allowed to be proceeded with and after taking into consideration the explanation provided by the applicant, the Settlement Commission, shall, within a period of fourteen days from the date of the notice, by an order, allow the application to be proceeded with or reject the application, as the case may be, and the proceedings before the Settlement Commission shall abate on the date of rejection:

Provided that where no notice has been issued or no order has been passed within the aforesaid period by the Settlement Commission, the application shall be deemed to have been allowed to be proceeded with.

(2)

A copy of every order under sub-section (1) shall be sent to the applicant and to the Commissioner of Customs having jurisdiction.

(3)

Where an application is allowed or deemed to have been allowed to be proceeded with under sub-section (1), the Settlement Commission shall, within seven days from the date of order under sub-section (1), call for a report along with the relevant records from the Commissioner of Customs having jurisdiction and the Commissioner shall furnish the report within a period of thirty days of the receipt of communication from the Settlement Commission:

Provided that where the Commissioner does not furnish the report within the aforesaid period of thirty days, the Settlement Commission shall proceed further in the matter without the report of the Commissioner.

(4)

Where a report of the Commissioner called for under sub-section (3) has been furnished within the period specified in that sub-section, the Settlement Commission may, after examination of such report, if it is of the opinion that any further enquiry or investigation in the matter is necessary, direct, for reasons to be recorded in writing, the Commissioner (Investigation) within fifteen days of the receipt of the report, to make or cause to be made such further enquiry or investigation and furnish a report within a period of ninety days of the receipt of the communication from the Settlement Commission, on the matters covered by the application and any other matter relating to the case:

Provided that where the Commissioner (Investigation) does not furnish the report within the aforesaid period, the Settlement Commission shall proceed to pass an order under sub-section (5) without such report.

(5)

After examination of the records and the report of the Commissioner of Customs received under sub-section (3), and the report, if any, of the Commissioner (Investigation) of the Settlement Commission under sub-section (4), and after giving an opportunity to the applicant and to the Commissioner of Customs having jurisdiction to be heard, either in person or through a representative duly authorised in this behalf, and after examining such further evidence as may be placed before it or obtained by it, the Settlement Commission may, in accordance with the provisions of this Act, pass such order as it thinks fit on the matters covered by the application and any other matter relating to the case not covered by the application, but referred to in the report of the Commissioner of Customs and Commissioner (Investigation) under sub-section (3) or sub-section (4).

(5A)

[The Settlement Commission may, at any time within three months from the date of passing of the order under sub-section (5), amend such order to rectify any error apparent on the face of record, either suo motu or when such error is brought to its notice by the jurisdictional Principal Commissioner of Customs or Commissioner of Customs or the

applicant:

Provided that no amendment which has the effect of enhancing the liability of the applicant shall be made under this sub-section, unless the Settlement Commission has given notice of such intention to the applicant and the jurisdictional Principal Commissioner of Customs or Commissioner of Customs as the case may be, and has given them a reasonable opportunity of being heard.]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(6)

An order under sub-section (5) shall not be passed in respect of an application filed on or before the 31st day of May, 2007, later than the 29th February, 2008 and in respect of an application made on or after the 1st day of June, 2007, after nine months from the last day of the month in which the application was made, failing which the settlement proceedings shall abate, and the adjudicating authority before whom the proceeding at the time of making the application was pending, shall dispose of the case in accordance with the provisions of this Act as if no application under section 127-B had been made.

(7)

Subject to the provisions of section 32-A of the Central Excise Act, 1944 (1 of 1944), the materials brought on record before the Settlement Commission shall be considered by the Members of the concerned Bench before passing any order under sub-section (5) and, in relation to the passing of such order, the provisions of section 32-D of the Central Excise Act, 1944 (1 of 1944) shall apply.

(8)

The order passed under sub-section (5) shall provide for the terms of settlement including any demand by way of duty, penalty or interest, the manner in which any sums due under the settlement shall be paid and all other matters to make the settlement effective and in case of rejection contain the reasons therefor and it shall also provide that the settlement shall be void if it is subsequently found by the Settlement Commission that it has been obtained by fraud, or misrepresentation of facts:

Provided that the amount of settlement ordered by the Settlement Commission, shall not be less than the duty liability admitted by the applicant under section 127-B.

(9)

Where any duty, interest, fine and penalty payable in pursuance of an order under sub-section (5) is not paid by the applicant within thirty days of receipt of a copy of the order by him, the amount which remains unpaid, shall be recovered along with interest due thereon, as the sums due to the Central Government by the proper officer having jurisdiction over the applicant in accordance with the provisions of section 142.

(10)

Where a settlement becomes void as provided under sub-section (8), the proceedings with respect to the matters covered by the settlement shall be deemed to have been revived from the stage at which the application was allowed to be proceeded with by the Settlement Commission and the proper officer having jurisdiction may, notwithstanding anything contained in any other provision of this Act, complete such proceedings at any time before the expiry of two years from the date of the receipt of communication that the settlement became void.

127D.

Power of Settlement Commission to order provisional attachment to protect revenue.

(1)

Where, during the pendency of any proceeding before it, the Settlement Commission is of the opinion that for the purpose of protecting the interests of the revenue it is necessary so to do, it may, by order, attach provisionally any property belonging to the applicant in such manner as may be specified by rules.

(2)

Every provisional attachment made by the Settlement Commission under sub-section (1) shall cease to have effect from the date the sums due to the Central Government for which such attachment is made are discharged by the applicant and evidence to that effect is submitted to the Settlement Commission.

127E.

Power of Settlement Commission to reopen completed proceedings.

- If the Settlement Commission is of the opinion (the reasons for such opinion to be recorded by it in writing) that, for the proper disposal of the case pending before it, it is necessary or expedient to reopen any proceeding connected with the

case but which has been completed under this Act before application for settlement under section 127-B was made, it may, with the concurrence of the applicant, reopen such proceeding and pass such order thereon as it thinks fit, as if the case in relation to which the application for settlement had been made by the applicant under that section covered such proceeding also:

[Provided that no proceeding shall be reopened by the Settlement Commission under this section after the expiry of five years from the date of application under sub-section (1) of section 127-B:

Provided further that no proceeding shall be reopened by the Settlement Commission under this section in a case where an application under section 127-B is made on or after the 1st day of June, 2007.]

[Inserted by Act 22 of 2007, Section 103 (w.e.f. 1.6.2007).]

127F.

Power and procedure of Settlement Commission.

(1)

In addition to the powers conferred on the Settlement Commission under Chapter V of the Central Excise Act, 1944 (1 of 1944), it shall have all the powers which are vested in an officer of the customs under this Act or the rules made thereunder.

(2)

Where an application made under section 127-B has been allowed to be proceeded with under section 127-C, the Settlement Commission shall, until an order is passed under sub-section [(5)]

[Substituted by Act 22 of 2007, Section 104, for " (7)" and " (6)" , respectively (w.e.f. 1.6.2007).]

of section 127-C, have, subject to the provisions of sub-section [(4)]

[Substituted by Act 22 of 2007, Section 104, for " (7)" and " (6)" , respectively (w.e.f. 1.6.2007).]

of that section, exclusive jurisdiction to exercise the powers and perform the functions of any officer of customs or Central Excise Officer, as the case may be, under this Act or in the Central Excise Act, 1944 (1 of 1944), as the case may be, in relation to the case.

(3)

In the absence of any express direction by the Settlement Commission to the contrary, nothing in this Chapter shall affect the operation of the provisions of this Act insofar as they relate to any matter other than those before the Settlement Commission.

(4)

The Settlement Commission shall, subject to the provisions of Chapter V of the Central Excise Act, 1944 (1 of 1944) and this Chapter, have power to regulate its own procedure and the procedure of Benches thereof in all matters arising out of the exercise of its powers, or of the discharge of its functions, including the places at which the Benches shall hold their sittings.

127G.

Inspection, etc., of reports.

- No person shall be entitled to inspect, or obtain copies of, any report made by any officer of the Customs to the Settlement Commission; but the Settlement Commission may, in its discretion, furnish copies thereof to any such person on an application made to it in this behalf and on payment of such fee as may be specified by rules:

Provided that, for the purpose of enabling any person whose case is under consideration to rebut any evidence brought on record against him in any such report, the Settlement Commission shall, on an application made in this behalf, and on payment by such person of such fee as may be specified by rules, furnish him with a certified copy of any such report or part thereof relevant for the purpose.

127H.

Power of Settlement Commission to grant immunity from prosecution and penalty.

(1)

The Settlement Commission may, if it is satisfied that any person who made the application for settlement under section 127-B has co-operated with the Settlement Commission in the proceedings before it and has made a full and true disclosure of his duty liability, grant to such person, subject to such conditions as it may think fit to impose, immunity from prosecution for any offence under this Act [and also either wholly or in part from the imposition of any penalty and fine]

[Substituted by Act 22 of 2007, Section 105, for " or under the Indian Penal Code (45 of 1860) or under any other

Central Act for the time being in force and also either wholly or in part from the imposition of any penalty, fine and interest" (w.e.f. 1.6.2007).]

under this Act, with respect to the case covered by the settlement:

Provided that no such immunity shall be granted by the Settlement Commission in cases where the proceedings for the prosecution for any such offence have been instituted before the date of receipt of the application under section 127-B.

[Explanation.-For the removal of doubts, it is hereby declared that the application filed before the Settlement Commission on or before the 31st day of May, 2007 shall be disposed of as if the amendment in this section had not come into force.]

[Inserted by Act 22 of 2007, Section 105 (w.e.f. 1-6-2007).]

(2)

An immunity granted to a person under sub-section (1) shall stand withdrawn if such person fails to pay any sum specified in the order of the settlement passed under [sub-section (5) of section 127-C within the time specified in such order]

[Substituted by Act 22 of 2007, Section 105, for " sub-Section (7) of Section 127-C within the time specified in such order or within such further time as may be allowed by the Settlement Commission" (w.e.f. 1-6-2007).]

, or fails to comply with any other condition subject to which the immunity was granted and thereupon the provisions of this Act shall apply as if such immunity had not been granted.

(3)

An immunity granted to a person under sub-section (1) may, at any time, be withdrawn by the Settlement Commission, if it is satisfied that such person had, in the course of the settlement proceedings, concealed any particulars, material to the settlement or had given false evidence, and thereupon such person may be tried for the offence with respect to which the immunity was granted or for any other offence of which he appears to have been guilty in connection with the settlement and shall also become liable to the imposition of any penalty under this Act to which such person would have been liable, had no such immunity been granted.

127I.

Power of Settlement Commission to send a case back to the proper officer.

(1)

The Settlement Commission may, if it is of opinion that any person who made an application for settlement under section 127-B has not co-operated with the Settlement Commission in the proceedings before it, send the case back to the proper officer who shall thereupon dispose of the case in accordance with the provisions of this Act as if no application under section 127-B had been made.

(2)

For the purpose of sub-section (1), the proper officer shall be entitled to use all the materials and other information produced by the assessee before the Settlement Commission or the results of the inquiry held or evidence recorded by the Settlement Commission in the course of the proceedings before it as if such materials, information, inquiry and evidence had been produced before such proper officer or held or recorded by him in the course of the proceedings before him.

(3)

For the purposes of the time limit under section 28 and for the purposes of interest under section 28-AA, in a case referred to in sub-section (1), the period commencing on and from the date of the application to the Settlement Commission under section 127-B and ending with the date of receipt by the officer of customs of the order of the Settlement Commission sending the case back to the officer of customs shall be excluded.

127J.

Order of settlement to be conclusive.

- Every order of settlement passed under sub-section [(5)]

[Substituted by Act 22 of 2007, Section 106, for " (7)" (w.e.f. 1-6-2007).]

of section 127-C shall be conclusive as to the matters stated therein and no matter covered by such order shall, save as otherwise provided in this Chapter, be reopened in any proceeding under this Act or under any other law for the time being in force.

127K.

Recovery of sums due under order of settlement.

- Any sum specified in an order of settlement passed under sub-section [(5)]

[Substituted by Act 22 of 2007, Section 107, for " (7)" (w.e.f. 1-6-2007).]

of section 127-C may, subject to such conditions, if any, as may be specified therein, be recovered and any penalty for default in making payment of such sum may be imposed and recovered as sums due to the Central Government in accordance with the provisions of section 142, by the proper officer having jurisdiction over the applicant.

127L.

Bar on subsequent application for settlement in certain cases.

- [(1)]

[Section 127-L renumbered as sub-Section (1) thereof by Act 22 of 2007, Section 108 (w.e.f. 1-6-2007).]

[Where before the 1st day of June, 2007]

[Substituted by Act 22 of 2007, Section 108, for " Where" (w.e.f. 1-6-2007).]

-

(i)

an order of settlement passed under sub-section (7) of section 127-C provides for the imposition of a penalty on the applicant under section 127-B for settlement, on the ground of concealment of particulars of his duty liability; or

(ii)

after the passing of an order of settlement under said sub-section (7) in relation to a case, such person is convicted of any offence under this Act in relation to that case; or

(iii)

the case of such person is sent back to the proper officer by the Settlement Commission under section 127-I, then such person shall not be entitled to apply for settlement under section 127-B in relation to any other matter.

(2)

[Where an applicant has made an application under sub-section (1) of section 127-B, on or after the 1st day of June, 2007 and if such application has been allowed to be proceeded with under sub-section (1) of section 127-C, such applicant shall not be entitled to apply for settlement under section 127-B in relation to any other matter:

Provided that such applicant shall not be prevented from filing an application for settlement if the issue in the subsequent application is, but for the period of dispute and amount, identical to the issue in respect of which the earlier application is pending before the Settlement Commission.]

[Inserted by Act 22 of 2007, Section 108 (w.e.f. 1-6-2007).]

Prior to its omission, Section 127-MA read as under:-" 127-MA. Certain persons who have filed appeals to the Appellate Tribunal entitled to make applications to the Settlement Commission.-(1) Notwithstanding anything contained in this Chapter, any person who has filed an appeal to the Appellate Tribunal under this Act, on or before the 29th day of February, 2000 and which is pending, shall, on withdrawal of such appeal from the Appellate Tribunal, be entitled to make an application to the Settlement Commission to have his case settled under this Chapter:

Provided that no such person shall be entitled to make an application under this section in a case where the Commissioner of Customs or any officer on his behalf has, on or before the date on which the Finance Act, 2000 receives the assent of the President, applied to the Appellate Tribunal for the determination of such points arising out of the decision or order specified by the Board in its order under sub-Section (1) of Section 129-D or filed an appeal under sub-Section (2) of Section 129-A, as the case may be.

(2) Any person referred to in sub-Section (1) may make an application to the Appellate Tribunal for permission to withdraw the appeal.

(3) On receipt of an application under sub-Section (2), the Appellate Tribunal shall grant permission to withdraw the appeal.

(4) Upon withdrawal of the appeal, the proceedings in appeal immediately before such withdrawal shall, for the purposes of this Chapter, be deemed to be a proceeding pending before a proper officer.

(5) An application to the Settlement Commission under this Section shall be made within a period of thirty days from the date on which the order of the Appellate Tribunal permitting the withdrawal of the appeal is communicated to the person.

(6) An Application made to the Settlement Commission under this Section shall be deemed to be an application made under sub-Section (1) of Section 127-B and the provisions of this Chapter, except sub-Section (11) of Section 127-C and sub-Section (1) of Section 127-I, shall apply accordingly.

(7) Where an application made to the Settlement Commission under this Section is not entertained by the Settlement

Commission, then, the appeal shall be deemed to have been revived before the Appellate Tribunal and the provisions contained in Section 129-A, Section 129-B and Section 129-C shall, so far as may be, apply accordingly.

(8) The Settlement Commission may, if it is of opinion that any person who made an application under sub-Section (5) has not co-operated with the proceedings before it, send the case back to the Appellate Tribunal and the provisions containing in Section 129-A, Section 129-B and Section 129-C shall, so far as may be, apply accordingly." .

127M.

Proceedings before Settlement Commission to be judicial proceedings.

- Any proceedings under this Chapter before the Settlement Commission shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228, and for the purposes of section 196, of the Indian Penal Code (45 of 1860).

127MA.

Certain persons who have filed appeals to the Appellate Tribunal entitled to make applications to the Settlement Commission.

- [Omitted by the Finance Act, 2007 (22 of 2007), section 109 (w.e.f. 1-6-2007).]

127N.

Applications of certain provisions of Central Excise Act.

- The provisions of Chapter V of the Central Excise Act, 1944 (1 of 1944), insofar as it is not inconsistent with the provisions of this Chapter shall apply in relation to proceedings before the Settlement Commission under this Chapter.

[CHAPTER XV]

[Substituted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11-10-1982).]

Appeals And Revision

128.

Appeals to [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" and " Collector of Custom" , respectively (w.e.f. 26-5-1995).]

-(1) Any person aggrieved by any decision or order passed under this Act by an officer of customs lower in rank than a [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" and " Collector of Custom" , respectively (w.e.f. 26-5-1995).]

may appeal to the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" and " Collector of Custom" , respectively (w.e.f. 26-5-1995).]

[within sixty days]

[Substituted by Act 14 of 2001, Section 109, for " within three months" (w.e.f. 11-5-2001).]

from the date of the communication to him of such decision or order:

[Provided that the Commissioner (Appeals) may, if he is satisfied that the appellant was prevented by sufficient cause from presenting the appeal within the aforesaid period of sixty days, allow it to be presented within a further period of thirty days.]

[Substituted by Act 14 of 2001, Section 109, for the proviso (w.e.f. 11-5-2001).]

[(1-A) The Commissioner (Appeals) may, if sufficient cause is shown at any stage of hearing of an appeal, grant time, from time to time, to the parties or any of them and adjourn the hearing of the appeal for reasons to be recorded in writing:

Provided that no such adjournment shall be granted more than three times to a party during hearing of the appeal.]

[Inserted by Act 23 of 2004, Section 68 (w.e.f. 10-9-2004).]

(2)

Every appeal under this section, shall be in such form and shall be verified in such manner as may be specified by rules made in this behalf.

128A.

Procedure in appeal.

(1)

The [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

shall give an opportunity to the appellant to be heard if he so desires.

(2)

The [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

may, at the hearing of an appeal, allow the appellant to go into any ground of appeal not specified in the grounds of appeal, if the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

is satisfied that the omission of that ground from the grounds of appeal was not wilful or unreasonable.

(3)

[The shall, after making such further inquiry as may be necessary, pass such order, as he thinks [just and proper -]

[Substituted by Act 14 of 2001, Section 110, for certain words (w.e.f. 11-5-2001).]

(a)

confirming, modifying or annulling the decision or order appealed against; or

(b)

referring the matter back to the adjudicating authority with directions for fresh adjudication or decision, as the case may be, in the following cases, namely: -

(i)

where an order or decision has been passed without following the principles of natural justice; or

(ii)

where no order or decision has been passed after re-assessment under section 17; or

(iii)

where an order of refund under section 27 has been issued by crediting the amount to Fund without recording any finding on the evidence produced by the applicant.]

Provided that an order enhancing any penalty or fine in lieu of confiscation or confiscating goods of greater value or reducing the amount of refund shall not be passed unless the appellant has been given a reasonable opportunity of showing cause against the proposed order:

Provided further that where the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

is of opinion that any duty has not been levied or has been short-levied or erroneously refunded, no order requiring the appellant to pay any duty not levied, short-levied or erroneously refunded shall be passed unless the appellant is given notice within the time-limit specified in section 28 to show cause against the proposed order.

(4)

The order of the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

disposing of the appeal shall be in writing and shall state the points for determination, the decision thereon and the reasons for the decision.

[(4-A) The [Commissioner (Appeals)]

[Inserted by Act 14 of 2001, Section 110 (w.e.f. 11-5-2001).]

[shall, where it is possible to do so, hear and decide every appeal within a period of six months from the date on which it is filed.]

[Inserted by Act 14 of 2001, Section 110 (w.e.f. 11-5-2001).]

(5)

On the disposal of the appeal, the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

shall communicate the order passed by him to the appellant, the adjudicating authority [, the Chief Commissioner of Customs and the Commissioner of Customs.]

[Substituted by Act 18 of 2005, Section 69, for " and the Commissioner of Customs" (w.e.f. 13-5-2005).]

129.

Appellate Tribunal.

(1)

The Central Government shall constitute an Appellate Tribunal to be called the "Customs, Excise and [Service Tax"]

[Substituted by Act 32 of 2003, Section 119, for " Gold (Control)" (w.e.f. 14-5-2003).]

Appellate Tribunal consisting of as many judicial and technical members as it thinks fit to exercise the powers and discharge the functions conferred on the Appellate Tribunal by this Act.

(2)

[A judicial member shall be a person who has for at least ten years held a judicial office in the territory of India or who has been a member of the [Indian Legal Service]

[Substituted by Act 21 of 1984, Section 39, for sub-Section (2) (w.e.f. 11-5-1984).]

[and has held a post in Grade I of that service or any equivalent or higher post for at least three years, or who has been an advocate for at least ten years.

Explanations.-For the purposes of this sub-section,-

(i)

in computing the period during which a person has held judicial office in the territory of India, there shall be included any period, after he has held any judicial office, during which the person has been an advocate or has held the office of a member of a tribunal or any post, under the Union or a State, requiring special knowledge of law;

(ii)

in computing the period during which a person has been an advocate, there shall be included any period during which the person has held a judicial office, or the office of a member of a tribunal or any post, under the Union or a State, requiring special knowledge of law after he became an advocate.

(2-A) A technical member shall be a person who has been a member of the Indian Customs and Central Excise Service, Group A, and has held the post of [Commissioner of Customs]

[Substituted by Act 21 of 1984, Section 39, for sub-Section (2) (w.e.f. 11-5-1984).]

[or Central Excise or any equivalent or higher post for at least three years.]

[Substituted by Act 21 of 1984, Section 39, for sub-Section (2) (w.e.f. 11-5-1984).]

(3)

[The Central Government shall appoint-

(a)

a person who is or has been a Judge of a High Court; or

(b)

one of the members of the Appellate Tribunal, to be the President thereof.]

(4)

The Central Government may appoint one or more members of the Appellate Tribunal to be the Vice-President, or, as the case may be, Vice-Presidents, thereof.

[Substituted by Act 33 of 1996, Section 65, for sub-Section (3) (w.e.f. 28-9-1996).]

Sub-Section (4-A) omitted by Act 32 of 2003, Section 119 (w.e.f. 14-5-2003). Prior to its omission, sub-Section (4-A) read as under:- "(4-A) The Central Government may appoint one of the Vice-Presidents of the Appellate Tribunal to be the Senior Vice-President thereof." -

[* * *]

(5)

[A Vice-President shall exercise such of the powers and perform such of the functions of the President as may be delegated to him by the President by a general or special order in writing.]

[Substituted by Act 32 of 2003, Section 119, for " The Senior Vice-President or a Vice-President" (w.e.f. 14-5-2003).]

(6)

[On ceasing to hold office, the President, Vice-President or other Member shall not be entitled to appear, act or plead before the Appellate Tribunal.]

[Inserted by Act 22 of 2007, Section 110 (w.e.f. 11-5-2007).]

Additional Information⁶

On and from the appointed day, the following amendments (of consequential nature) shall be made in Section 129-A

(i) for sub-Section (2) of Section 129-A, the following sub-Section shall be substituted namely:

" (2) The Collector of Customs may, if he is of opinion that an order passed by-

(a) the Appellate Collector of Customs under Section 128, as it stood immediately before the appointed day, or

(b) the Collector (Appeals) under Section 128-A, is not legal or proper, direct the proper officer to appeal on his behalf to

the Appellate Tribunal or, as the case may be, the Customs and Excise Revenues Appellate Tribunal established under Section 3 of the Customs and Excise Revenues Appellate Tribunal Act, 1986 (

62 of 1986

), against such order;" -See Section 34 of the Customs and Excise Revenues Appellate Tribunal Act, 1986 (

62 of 1986

).

129A.

Appeals to the Appellate Tribunal.

(1)

Any person aggrieved by any of the following orders may appeal to the Appellate Tribunal against such order-

(a)

a decision or order passed by the [Commissioner of Customs] [[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" and " Collector

(Appeals)

" , respectively (w.e.f. 26-5-1995).]] as an adjudicating authority;

(b)

an order passed by the [Commissioner (Appeals)] [[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" and " Collector

(Appeals)

" , respectively (w.e.f. 26-5-1995).]] under section 128-A;

(c)

an order passed by the Board or the Appellate [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" and " Collector (Appeals)" , respectively (w.e.f. 26-5-1995).]

under section 128, as it stood immediately before the appointed day;

(d)

an order passed by the Board or the Commissioner of Customs, either before or after the appointed day, under section 130, as it stood immediately before that day:

[Provided that no appeal shall lie to the Appellate Tribunal and the Appellate Tribunal shall not have jurisdiction to decide any appeal in respect of any order referred to in clause (b) if such order relates to,-

(a)

any goods imported or exported as baggage;

(b)

any goods loaded in a conveyance for importation into India, but which are not unloaded at their place of destination in India, or so much of the quantity of such goods as has not been unloaded at any such destination if goods unloaded at such destination are short of the quantity required to be unloaded at that destination;

(c)

payment of drawback as provided in Chapter X, and the rules made thereunder:]

[Provided further that the Appellate Tribunal may, in its discretion, refuse to admit an appeal in respect of an order referred to in clause (b) or clause (c) or clause (d) where-

(i)

the value of the goods confiscated without option having been given to the owner of the goods to pay a fine in lieu of confiscation under section 125; or

(ii)

in any disputed case, other than a case where the determination of any question having a relation to the rate of duty of customs or to the value of goods for purposes of assessment is in issue or is one of the points in issue, the difference in duty involved or the duty involved; or

(iii)

the amount of fine or penalty determined by such order, does not exceed fifty thousand rupees.]

[(1-A) Every appeal against any order of the nature referred to in the first proviso to sub-section (1), which is pending immediately before the commencement of section 40 of the Finance Act, 1984, before the Appellate Tribunal and any

matter arising out of or connected with such appeal and which is so pending shall stand transferred on such commencement to the Central Government and the Central Government shall deal with such appeal or matter under section 129-DD as if such appeal or matter were an application or a matter arising out of an application made to it under that section.]

[Inserted by Act 21 of 1984, Section 40 (w.e.f. 11-5-1984).]

[(1-B) (i) The Board may, by notification in the Official Gazette, constitute such Committees as may be necessary for the purposes of this Act.

(ii)

Every Committee constituted under clause (i) shall consist of two Chief Commissioners of Customs or two Commissioners of Customs, as the case may be.]

(2)

[The Committee of Commissioners of Customs may, if it is]

[Substituted by Act 18 of 2005, Section 70, for " The Commissioner of Customs may, if he is" (w.e.f. 13-5-2005).]

of opinion that an order passed by the Appellate [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" and " Collector (Appeals)" , respectively (w.e.f. 26-5-1995).]

under section 128, as it stood immediately before the appointed day, or by the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" and " Collector (Appeals)" , respectively (w.e.f. 26-5-1995).]

under section 128-A, is not legal or proper, direct the proper officer to appeal [on its behalf]

[Substituted by Act 18 of 2005, Section 70, for " on his behalf" (w.e.f. 13-5-2005).]

to the Appellate Tribunal against such order:

[Provided that where the Committee of Commissioners of Customs differs in its opinion regarding the appeal against the order of the Commissioner (Appeals), it shall state the point or points on which it differs and make a reference to the jurisdictional Chief Commissioner of Customs who shall, after considering the facts of the order, if is of the opinion that the order passed by the Commissioner (Appeals) is not legal or proper, direct the proper officer to appeal to the Appellate Tribunal against such order.

Explanation.-For the purposes of this sub-section, "jurisdictional Chief Commissioner" means the Chief Commissioner of Customs having jurisdiction over the adjudicating authority in the matter.]

[Inserted by Act 18 of 2008, Section 71.]

(3)

Every appeal under this section shall be filed within three months from the date on which the order sought to be appealed against is communicated to the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector or Customs " and " Collector (Appeals)" , respectively (w.e.f. 26.5.1995).]

, or as the case may be, the other party preferring the appeal.

(4)

On receipt of notice that an appeal has been preferred under this section, the party against whom the appeal has been preferred may, notwithstanding that he may not have appealed against such order or any part thereof, file, within forty-five days of the receipt of the notice, a memorandum of cross-objections verified in such manner as may be specified by rules made in this behalf against any part of the order appealed against and such memorandum shall be disposed of by the Appellate Tribunal as if it were an appeal presented within the time specified in sub-section (3).

(5)

The Appellate Tribunal may admit an appeal or permit the filing of a memorandum of cross-objections after the expiry of the relevant period referred to in sub-section (3) or sub-section (4), if it is satisfied that there was sufficient cause for not presenting it within that period.

[Inserted by Act 18 of 2005, Section 70 (w.e.f. 13-5-2005).]

Substituted by Act 23 of 2004, Section 69, for sub-Section (6) (w.e.f. 1-11-2004). Prior to its substitution, sub-Section (6) read as under:-" (6) An appeal to the Appellate Tribunal shall be in such form and shall be verified in such manner as may be specified by rules made in this behalf and shall, in the case of an appeal made on or after the 1st day of June, 1993, irrespective of the date of demand of duty and interest or of levy of penalty in relation to which the appeal is made,

be accompanied by a fee of, (a) where the amount of duty and interest demanded and penalty levied by any officer of customs in the case to which the appeal relates is one lakh rupees or less, two hundred rupees;

(b) where the amount of duty and interest demanded and penalty levied by any officer of customs in the case to which the appeal relates is more than one lakh rupees, one thousand rupees:

Provided that no such fee shall be payable in the case of an appeal referred to in sub-Section (2) or a memorandum of cross-objections referred to in sub-Section (4)."

(6)

An appeal to the Appellate Tribunal shall be in such form and shall be verified in such manner as may be specified by rules made in this behalf and shall, irrespective of the date of demand of duty and interest or of levy of penalty in relation to which the appeal is made, be accompanied by a fee of,-

(a)

where the amount of duty and interest demanded and penalty levied by any officer of customs in the case to which the appeal relates is five lakh rupees or less, one thousand rupees;

(b)

where the amount of duty and interest demanded and penalty levied by any officer of customs in the case to which the appeal relates is more than five lakh rupees, but not exceeding fifty lakh rupees, five thousand rupees;

(c)

where the amount of duty and interest demanded and penalty levied by any officer of customs in the case to which the appeal relates is more than fifty lakh rupees, ten thousand rupees:

Provided that no such fee shall be payable in the case of an appeal referred to in sub-section (2) or a memorandum of cross-objections referred to in sub-section (4).

(7)

Every application made before the Appellate Tribunal-

(a)

in an appeal for grant of stay or for rectification of mistake or for any other purpose; or

(b)

for restoration of an appeal or an application, shall be accompanied by a fee of five hundred rupees:

Provided that no such fee shall be payable in the case of an application filed by or on behalf of the Commissioner of Customs under this sub-section.

129B.

Orders of Appellate Tribunal.

(1)

The Appellate Tribunal may, after giving the parties to the appeal, an opportunity of being heard, pass such orders thereon as it thinks fit, confirming, modifying or annulling the decision or order appealed against or may refer the case back to the authority which passed such decision or order with such directions as the Appellate Tribunal may think fit, for a fresh adjudication or decision, as the case may be, after taking additional evidence, if necessary.

[(1-A) The Appellate Tribunal may, if sufficient cause is shown, at any stage of hearing of an appeal, grant time to the parties or any of them and adjourn the hearing of the appeal for reasons to be recorded in writing:

Provided that no such adjournment shall be granted more than three times to a party during hearing of the appeal.]

[Inserted by Act 23 of 2004, Section 70 (w.e.f. 10-9-2004).]

(2)

The Appellate Tribunal may, at any time within [six months]

[Substituted by Act 20 of 2002, Section 127, for " four years" (w.e.f. 11-5-2002).]

from the date of the order, with a view to rectifying any mistake apparent from the record, amend any order passed by it under sub-section (1) and shall make such amendments if the mistake is brought to its notice by the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

or the other party to the appeal:

Provided that an amendment which has the effect of enhancing the assessment or reducing a refund or otherwise increasing the liability of the other party shall not be made under this sub-section, unless the Appellate Tribunal has given notice to him of its intention to do so and has allowed him a reasonable opportunity of being heard.

([2-A) The Appellate Tribunal shall, where it is possible to do so, hear and decide every appeal within a period of three years from the date on which such appeal is filed:

Provided that where an order of stay is made in any proceeding relating to an appeal filed under sub-section (1) of section 129-A, the Appellate Tribunal shall dispose of the appeal within a period of one hundred and eighty days from the date of such order:

Provided further that if such appeal is not disposed of within the period specified in the first proviso, the stay order shall, on the expiry of that period, stand vacated.]

[Inserted by Act 20 of 2002, Section 127 (w.e.f. 11.5.2002).]

(3)

The Appellate Tribunal shall send a copy of every order passed under this section to the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

and the other party to the appeal.

(4)

Save as otherwise provided in section 130 or section 130-E, orders passed by the Appellate Tribunal on appeal shall be final.

129C.

Procedure of Appellate Tribunal.

(1)

The powers and functions of the Appellate Tribunal may be exercised and discharged by Benches constituted by the President from amongst the members thereof.

(2)

Subject to the provisions contained in [sub-section (4)]

[Substituted by Act 22 of 1995, Section 65, for " sub-Section (3) and (4)" (w.e.f. 26.5.1995).]

, a Bench shall consist of one judicial member and one technical member.

[* * *]

[Sub-Section (3) omitted by Act 22 of 1995, Section 65 (w.e.f. 26.5.1995).]

(4)

The President or any other member of the Appellate Tribunal authorised in this behalf by the President may, sitting singly, dispose of any case which has been allotted to the Bench of which he is a member where-

(a)

the value of the goods confiscated without option having been given to the owner of the goods to pay a fine in lieu of confiscation under section 125; or

(b)

in any disputed case, other than a case where the determination of any question having a relation to the rate of duty of customs or to the value of goods for purposes of assessment is in issue or is one of the points in issue, the difference in duty involved or the duty involved; or

(c)

the amount of fine or penalty involved, does not exceed [ten lakh rupees]

[Substituted by Act 33 of 1996, Section 66, for " one lakh rupees" (w.e.f. 28.9.1996).]

.

(5)

[If the members of a Bench differ in opinion on any point, the point shall be decided according to the opinion of the majority, if there is a majority; but if the members are equally divided, they shall state the point or points on which they differ and make a reference to the President who shall either hear the point or points himself or refer the case for hearing on such point or points by one or more of the other members of the Appellate Tribunal and such point or points shall be decided according to the opinion of the majority of these members of the Appellate Tribunal who have heard the case, including those who first heard it.]

[Substituted by Act 12 of 1990, Section 62, for sub-Section (5) (w.e.f. 31.5.1990).]

(6)

Subject to the provisions of this Act, the Appellate Tribunal shall have power to regulate its own procedure and the procedure of the Benches thereof in all matters arising out of the exercise of its power or of the discharge of its

functions, including the places at which the Benches shall hold their sittings.

(7)

The Appellate Tribunal shall, for the purposes of discharging its functions, have the same powers as are vested in a Court under the Code of Civil Procedure, 1908 (5 of 1908), when trying a suit in respect of the following matters, namely:-

(a)

discovery and inspection;

(b)

enforcing the attendance of any person and examining him on oath;

(c)

compelling the production of books of accounts and other documents; and

(d)

issuing commissions.

(8)

Any proceeding before the Appellate Tribunal shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228 and for the purpose of section 196 of the Indian Penal Code (45 of 1860), and the Appellate Tribunal shall be deemed to be a civil Court for all the purposes of section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973 (2 of 1974).

Additional Information⁶

[Substituted by Act 21 of 1984, Section 40 (w.e.f. 11-5-1984).]

On and from the appointed day, the following amendments (of consequential nature) shall be made in Section 129-D-

(A) after the words " Appellate Tribunal" , wherever they occur, the words and figures " or, as the case may be, the Customs and Excise Revenues Appellate Tribunal Act, 1986" shall be inserted;

(B) in sub-Section (4) after the words, figures and letter " Section 120-A" , the words and figures " or, as the case may be, the provisions of the Customs and Excise Revenues Appellate Tribunal Act, 1986" , shall be substituted.- See Section 34 of the Customs and Excise Revenues Appellate Tribunal Act, 1986 (62 of 1986

).

129D.

Powers of [Committee of Chief Commissioners of Customs]

[Substituted by Act 18 of 2005, Section 71, for " Board" (w.e.f. 13.5.2005).]

or Commissioner of Customs to pass certain orders.

(1)

The [Committee of Chief Commissioners of Customs]

[Substituted by Act 18 of 2005, Section 71, for " Board" (w.e.f. 13.5.2005).]

may, of its own motion, call for and examine the record of any proceeding in which a [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

as an adjudicating authority has passed any decision or order under this Act for the purpose of satisfying itself as to the legality or propriety of any such decision or order and may, by order, direct such [Commissioner]

[Substituted by Act 22 of 1995, Section 50, for " Collector" (w.e.f. 26.5.1995).]

[or any other Commissioner]

[Inserted by Act 14 of 2001, Section 111 (w.e.f. 11.5.2001).]

to apply to the Appellate Tribunal for the determination of such points arising out of the decision or order as may be specified by the [Committee of Chief Commissioners of Customs]

[Substituted by Act 18 of 2005, Section 71, for " Board" (w.e.f. 13.5.2005).]

in its order:

[Provided that where the Committee of Chief Commissioners of Customs differs in its opinion as to the legality or propriety of the decision or order of the Commissioner of Customs, it shall state the point or points on which it differs and make a reference to the Board which, after considering the facts of the decision or order passed by the Commissioner of Customs, if is of the opinion that the decision or order passed by the Commissioner of Customs is not legal or proper, may, by order, direct such Commissioner or any other Commissioner to apply to the Appellate Tribunal for the

determination of such points arising out of the decision or order, as may be specified in its order.]

[Inserted by Act 18 of 2008, Section 72.]

(2)

The [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

may, of his own motion, call for and examine the record of any proceeding in which an adjudicating authority subordinate to him has passed any decision or order under this Act for the purpose of satisfying himself as to the legality or propriety of any such decision or order and may, by order, direct [such authority or any officer of Customs subordinate to him]

[Substituted by Act 29 of 2006, Section 29, for " such authority" (w.e.f. 13.7.2006).]

to apply to the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26.5.1995).]

for the determination of such points arising out of the decision or order as may be specified by the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

in his order.

[Substituted by Act 21 of 1984, Section 40 (w.e.f. 11-5-1984).]

Substituted by Act 18 of 2008, Section 72, for sub-Section (3) (w.e.f. 11.5.2007). Prior its substitution, sub-Section (3) read as under:-" (3) The Committee of Chief Commissioners of Customs or the Commissioner of Customs, as the case may be, shall make order under sub-Section (1) or sub-Section (2) within a period of three months from the date of communication of the decision or order of the adjudicating authority."

(3)

Every order under sub-section (1) or sub-section (2), as the case may be, shall be made within a period of three months from the date of communication of the decision or order of the adjudicating authority.

(4)

Where in pursuance of an order under sub-section (1) or sub-section (2), the adjudicating authority or any officer of customs authorised in this behalf by the Commissioner of Customs, makes an application to the Appellate Tribunal or the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26.5.1995).]

within a period of [one month]

[Substituted by Act 22 of 2007, Section 111, for " three months" (w.e.f. 11.5.2007).]

from the date of communication of the order under sub-section (1) or sub-section (2) to the adjudicating authority, such application shall be heard by the Appellate Tribunal or the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26.5.1995).]

), as the case may be, as if such application were an appeal made against the decision or order of the adjudicating authority and the provisions of this Act regarding appeals, including the provisions of sub-section (4) of section 129-A shall, so far as may be, apply to such application.

(5)

[The provisions of this section shall not apply to any decision or order in which the determination of any question having a relation to the rate of duty or to the value of goods for the purposes of assessment of any duty is in issue or is one of the points in issue.

Explanation.-For the purposes of this sub-section, the determination of a rate of duty in relation to any goods or valuation of any goods for the purposes of assessment of duty includes the determination of a question-

(a)

relating to the rate of duty for the time being in force, whether under the Customs Tariff Act, 1975 (51 of 1975

), or under any other Central Act providing for the levy and collection of any duty of customs, in relation to any goods on or after the 28th day of February, 1986; or

(b)

relating to the value of goods for the purposes of assessment of any duty in cases where the assessment is made on or after the 28th day of February, 1986; or

(c)

whether any goods fall under a particular heading or sub-heading of the First Schedule or the Second Schedule to the Customs Tariff Act, 1975 (

51 of 1975

), or that any goods are or not covered by a particular notification or order issued by the Central Government granting total or partial exemption from duty; or

(d)

whether the value of any goods for the purposes of assessment of duty shall be enhanced or reduced by the addition or reduction of the amounts in respect of such matters as are specifically provided in this Act.]

129DA.

[Powers of revision of Board or [Commissioner of Customs]

[Inserted by Act 29 of 1988, Section 5 (w.e.f. 1.7.1988).]

[in certain cases.

[Inserted by Act 29 of 1988, Section 5 (w.e.f. 1.7.1988).]

(1)

The Board may, of its own motion or on the application of any aggrieved person or otherwise, call for and examine the record of any proceeding in which a [Commissioner of Customs]

[Inserted by Act 29 of 1988, Section 5 (w.e.f. 1.7.1988).]

has passed any decision or order [not being a decision or order passed under sub-section (2) of this section of the nature referred to in sub-section (5) of section 129-D for the purpose of satisfying itself as to the correctness, legality or propriety of such decision or order and may pass such order thereon as it thinks fit.

(2)

The [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

[may, of his own motion or on the application of any aggrieved person or otherwise, call for and examine the record of any proceeding in which an adjudicating authority subordinate to him has passed any decision or order of the nature referred to in sub-section (5) of section 129-D for the purpose of satisfying himself as to the correctness, legality or propriety of such decision or order and may pass such order thereon as he thinks fit.

(3)

(a)

No decision or order under this section shall be made so as to pre-judicially affect any person unless such person is given a reasonable opportunity of making representation and if, he so desires, of being heard in his defence.

(b)

Where the Board or, as the case may be, the [Commissioner of Customs] [is of the opinion that any duty has not been levied or has been short-levied or short-paid or erroneously refunded, no order requiring the affected person to pay any duty not levied or paid, short-levied or short-paid or erroneously refunded shall be passed under this section unless such person is given notice within the time limit specified in section 28 to show cause against the proposed order.

[Inserted by Act 29 of 1988, Section 5 (w.e.f. 1.7.1988).]

(4)

No proceedings shall be initiated under sub-section (1) or sub-section (2) in respect of any decision or order after the expiry of a period of six months from the date of communication of such decision or order:

Provided that in respect of any decision or order passed before the commencement of the Customs and Central Excises Laws (Amendment) Act, 1988, the provisions of this sub-section shall have effect as if for the words "six months", the words "one year" were substituted.

(5)

Any person aggrieved by any decision or order passed under sub-section (1) or sub-section (2) may appeal to the Customs and Excise Revenues Appellate Tribunal established under section 3 of the Customs and Excise Revenues Appellate Tribunal Act, 1986 (

62 of 1986

), against such decision or order.]

[Inserted by Act 29 of 1988, Section 5 (w.e.f. 1.7.1988).]

129DD.

[Revision by Central Government.

[Substituted by Act 21 of 1984, Section 43 (w.e.f. 11.5.1984).]

(1)

The Central Government may, on the application of any person aggrieved by any order passed under section 128-A, where the order is of the nature referred to in the first proviso to sub-section (1) of section 129-A, annul or modify such order:

[Provided that the Central Government may in its discretion, refuse to admit an application in respect of an order where the amount of duty or fine or penalty, determined by such order does not exceed five thousand rupees.]

[Explanation.-For the purposes of this sub-section, "order passed under section 128-A" includes an order passed under that section before the commencement of section 40 of the Finance Act, 1984, against which an appeal has not been preferred before such commencement and could have been, if the said section had not come into force, preferred after such commencement, to the Appellate Tribunal.

[(1-A) The Commissioner of Customs may, if he is of the opinion that an order passed by the Commissioner (Appeals) under section 128-A is not legal or proper, direct the proper officer to make an application on his behalf to the Central Government for revision of such order.]

[Substituted by Act 21 of 1984, Section 43 (w.e.f. 11.5.1984).]

(2)

[An application under sub-section (1) shall be made within three months from the date of the communication to the applicant of the order against which the application is being made:

Provided that the Central Government may, if it is satisfied that the applicant was prevented by sufficient cause from presenting the application within the aforesaid period of three months, allow it to be presented within a further period of three months.

(3)

[An application under sub-section (1) shall be in such form and shall be verified in such manner as may be specified by rules made in this behalf and shall be accompanied by a fee of,-

(a)

two hundred rupees, where the amount of duty and interest demanded, fine or penalty levied by an officer of customs in the case to which the application relates is one lakh rupees or less;

(b)

one thousand rupees, where the amount of duty and interest demanded, fine or penalty levied by an officer of customs in the case to which the application relates is more than one lakh rupees:

Provided that no such fee shall be payable in the case of an application referred to in sub-section (1-A).]

[Substituted by Act 21 of 1984, Section 43 (w.e.f. 11.5.1984).]

(4)

[The Central Government may, of its own motion, annul or modify any order referred to in sub-section (1).

(5)

No order enhancing any penalty or fine in lieu of confiscation or confiscating goods of greater value shall be passed under this section,-

(a)

in any case in which an order passed under section 128-A has enhanced any penalty or fine in lieu of confiscation or has confiscated goods of greater value, and

(b)

in any other case, unless the person affected by the proposed order has been given notice to show cause against it within one year from the date of the order sought to be annulled or modified.

(6)

Where the Central Government is of opinion that any duty of customs has not been levied or has been short-levied, no order levying or enhancing the duty shall be made under this section unless the person affected by the proposed order is given notice to show cause against it within the time limit specified in section 28.]

[Substituted by Act 21 of 1984, Section 43 (w.e.f. 11.5.1984).]

129E.

Deposit, pending appeal, of [duty and interest]

[Substituted by Act 55 of 1991, Section 10, for " duty" (w.e.f. 23-12-1991).]

demanded or penalty levied.

- Where in any appeal under this Chapter, the decision or order appealed against relates to any [duty and interest]

[Substituted by Act 55 of 1991, Section 10, for " duty" (w.e.f. 23-12-1991).]

demanded in respect of goods which are not under the control of the customs authorities or any penalty levied under this Act, the person desirous of appealing against such decision or order shall, pending the appeal, deposit with the proper officer the [duty and interest]

[Substituted by Act 55 of 1991, Section 10, for " duty" (w.e.f. 23-12-1991).]

demanded or the penalty levied:

Provided that where in any particular case, the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

, or the Appellate Tribunal is of opinion that the deposit of [duty and interest]

[Substituted by Act 55 of 1991, Section 10, for " duty" (w.e.f. 23-12-1991).]

demanded or penalty levied would cause undue hardship to such person, the [Commissioner (Appeals)]

[Substituted by Act 22 of 1995, Section 50, for " Collector (Appeals)" (w.e.f. 26-5-1995).]

or, as the case may be, the Appellate Tribunal may dispense with such deposit subject to such conditions as he or it may deem fit to impose so as to safeguard the interests of revenue:

[Provided further that where an application is filed before the Commissioner (Appeals) for dispensing with the deposit of [duty and interest]

[Inserted by Act 14 of 2001, Section 112 (w.e.f. 11-5-2001).]

[demanded or penalty levied under the first proviso, the Commissioner (Appeals) shall, where it is possible to do so decide such application within thirty days from the date of its filing.]

[Inserted by Act 14 of 2001, Section 112 (w.e.f. 11-5-2001).]

129EE.

[Interest on delayed refund of amount deposited under the proviso to section 129-E.

[Inserted by Act 18 of 2008, Section 73.]

- Where an amount deposited by the appellant in pursuance of an order passed by the Commissioner (Appeals) or the Appellate Tribunal (hereinafter referred to as appellate authority), under the first proviso to section 129-E, is required to be refunded consequent upon the order of the appellate authority and such amount is not refunded within three months from the date of communication of such order to the adjudicating authority, unless the operation of the order of the appellate authority is stayed by a superior Court or tribunal, there shall be paid to the appellant interest at the rate specified in section 27-A after the expiry of three months from the date of communication of the order of the appellate authority, till the date of refund of such amount.]

Prior to its omission, Section 130 read as under:-" 130. Appeal to High Court.-(1) An appeal shall lie to the High Court from every order passed in appeal by the Appellate Tribunal on or after the 1st day of July, 2003 (not being an order relating, among, other things, to the determination of any question having a relation to the rate of by of customs or to the value of goods for purposes of assessment), if the High Court is satisfied that the case involves a substantial question of law.

(2) The Commissioner of Customs or the other party aggrieved by any order passed by the Appellate Tribunal may file an appeal to the High Court and such appeal under this sub-Section shall be-

(a) filed within one hundred and eighty days from the date on which the order appealed against is received by the Commissioner of Customs or the other party;

(b) accompanied by a fee of two hundred rupees where such appeal is filed by the other party;

(c) in the form of a memorandum of appeal precisely stating therein the substantial question of law involved.

*[(2-A) The High Court may admit an appeal after the expiry of the period of one hundred and eighty days referred to in clause (a) of sub-Section (2), if it is satisfied that there was sufficient cause for not filing the same within that period.]

(3) Where the High Court is satisfied that a substantial question of law is involved in any case, it shall formulate that question.

(4) The appeal shall be heard only on the question so formulated, and the respondents shall, at the hearing of the appeal, be allowed to argue that the case does not involve such question:

Provided that nothing in this sub-Section shall be deemed to take away or abridge the power of the Court to hear, for

reasons to be recorded, the appeal on any other substantial question of law not formulated by it, if it is satisfied that the case involves such question.

(5) The High Court shall decide the question of law so formulated and deliver such judgment thereon containing the grounds on which such decision is founded and may award such cost as it deems fit.

(6) The High Court may determine any issue which

(a) has not been determined by the Appellate Tribunal; or

(b) has been wrongly determined by the Appellate Tribunal, by reason of a decision on such question of law as is referred to in sub-Section (1).

(7) When an appeal has been filed before the High Court, it shall be heard by a bench of not less than two Judges of the High Court, and shall be decided in accordance with the opinion of such Judges or of the majority, if any, of such Judges.

(8) Where there is no such majority, the Judges shall state the point of law upon which they differ and the case shall, then, be heard upon that point only by one or more of the other Judges of the High Court and such point shall be decided according to the opinion of the majority of the Judges who have heard the case including those who first heard it.

(9) Save as otherwise provided in this Act, the provisions of the Code of Civil Procedure, 1908 (5 of 1908), relating to appeals to the High Court shall, as far as may be, apply in the case of appeals under this section. " -*Inserted by Act 33 of 2009, Section 87 (w.r.e.f. 1-7-2003).

130.

Appeal to High Court.

- [Omitted by the National Tax Tribunal Act, 2005 (49 of 2005), section 30 and Schedule, Part VI (w.e.f. 28-12-2005).]

Prior to its omission, Section 130-A read as under:-" 130-A. Application to High Court.-

(1) The Commissioner of Customs or the other party may, within one hundred and eighty days of the date upon which he is served with notice of an order under Section 129-B passed before the 1st day of July, 2003 (not being an order relating, among other things, to the determination of any question having a relation to the rate of duty of customs or to the value of goods for purposes of assessment, by application in the prescribed form, accompanied, where the application is made by the other party, by a fee of two hundred rupees, apply to the High Court to direct the Appellate Tribunal to refer to the High Court any question of law arising from such order of the Tribunal.

(2) The Commissioner of Customs or the other party applying to the High Court under sub-Section (1) shall clearly state the question of law which he seeks to be referred to the High Court and shall also specify the paragraph in the order of the Appellate Tribunal relevant to the question sought to be referred.

(3) On receipt of notice that an application has been made under sub-Section (1), the person against whom such application has been made, may, notwithstanding that he may not have filed such application, file, within forty-five days of the receipt of the notice, a memorandum of cross objections verified in the prescribed manner against any part of the order in relation to which an application for reference has been made and such memorandum shall be disposed of by the High Court as if it were an application presented within the time specified in sub-Section (1).

*[(3-A) The High Court may admit an application or permit the filing of a memorandum of cross-objections after the expiry of the relevant period referred to in sub-Section (1) or sub-Section (3), if it is satisfied that there was sufficient cause for not filing the same within that period.]

4) If, on an application made under sub-Section (1), the High Court directs the Appellate Tribunal to refer the question of law raised in the application, the Appellate Tribunal shall, within one hundred and twenty days of the receipt of such direction, draw up a statement of the case and refer it to the High Court. " -*Inserted by Act 33 of 2009, Section 88 (w.r.e.f. 1-7-1999).

130A.

Application to High Court.

- [Omitted by the National Tax Tribunal Act, 2005 (49 of 2005), section 30 and Schedule, Part VI (w.e.f. 28-12-2005).]

Prior to its omission, Section 130-B read as under:-" 130-B. Power of High Court or Supreme Court to require statement to be amended.-If the High Court or the Supreme Court is not satisfied that the statements in a case referred to it are sufficient to enable it to determine the questions raised thereby, the Court may refer the case back to the Appellate Tribunal for the purpose of making such additions thereto or alterations therein as it may direct in that behalf."

130B.

Power of High Court or Supreme Court to require statement to be amended.

- [Omitted by the National Tax Tribunal Act, 2005 (49 of 2005), section 30 and Schedule, Part VI (w.e.f. 28-12-2005).]

Prior to its omission, Section 130-C read as under: " 130-C. Case before High Court to be heard by not less than two judges.-(1) When any case has been referred to the High Court under Section 130, or Section 130-A it shall be heard by a Bench of not less than two judges of the High Court and shall be decided in accordance with the opinion of such judges or of the majority, if any, of such judges.

(2) Where there is no such majority, the judges shall state the point of law upon which they differ and the case shall then be heard upon that point only by one or more of the other judges of the High Court, and such point shall be decided according to the opinion of the majority of the judges who have heard the case including those who first heard it."

130C.

Case before High Court to be heard by not less than two judges.

- [Omitted by the National Tax Tribunal Act, 2005 (49 of 2005), section 30 and Schedule, Part VI (w.e.f. 28-12-2005).]

Prior to its omission, Section 130-D read as under:-130-D. Decision of High Court or

Supreme Court on the case stated.-(1) The High Court or the Supreme Court hearing any such case shall decide the questions of law raised therein, and shall deliver its judgment thereon containing the grounds on which such decision is founded and a copy of the judgment shall be sent under the seal of the Court and the signature of the Registrar to the Appellate Tribunal which shall pass such orders as are necessary to dispose of the case in conformity with such judgment.

(1-A) Where the High Court delivers a judgment in an appeal filed before it under Section 130, effect shall be given to the order passed on the appeal by the proper officer on the basis of a certified copy of the judgment.

(2) The costs of any reference to the High Court or an appeal to the High Court or the Supreme Court, as the case may be, which shall not include the fee for making the reference shall be in the discretion of the Court."

130D.

Decision of High Court or Supreme Court on the case stated.

- [Omitted by the National Tax Tribunal Act, 2005 (49 of 2005), section 30 and Schedule, Part VI (w.e.f. 28-12-2005).]

130E.

Appeal to Supreme Court.

- An appeal shall lie to the Supreme Court from-

Substituted by Act 32 of 2003, Section 123, for Clause (a) (w.e.f. 14-5-2003). Prior to its substitution, Clause (a) read as under:-" (a) any judgment of the High Court delivered on a reference made under Section 130 or Section 130-A in any case which, on its own motion or on an oral application made by or on behalf of the party aggrieved, immediately after the passing of the judgment, the High Court certifies to be a fit one for appeal to the Supreme Court; or" .

(a)

any judgment of the High Court delivered-

(i)

in an appeal made under section 130; or

(ii)

on a reference made under section 130 by the Appellate Tribunal before the 1st day of July, 2003;

(iii)

on a reference made under section 130-A, in any case which, on its own motion or on an oral application made by or on behalf of the party aggrieved, immediately after passing of the judgment, the High Court certifies to be a fit one for appeal to the Supreme Court; or

(b)

any order passed [before the establishment of the National Tax Tribunal]

[Inserted by Act 49 of 2005, Section 30 and Sch., Part VI (w.e.f. 28-12-2005).]

by the Appellate Tribunal relating, among other things, to the determination of any question having a relation to the rate of duty of customs or to the value of goods for purposes of assessment.

130F.

Hearing before Supreme Court.

(1)

The provisions of the Code of Civil Procedure, 1908 (5 of 1908), relating to appeals to the Supreme Court shall, so far

as may be, apply in the case of appeals under section 130-E as they apply in the case of appeals from decrees of a High Court:

Provided that nothing in this sub-section shall be deemed to affect the provisions of sub-section (1) of section 130-D or section 131.

(2)

The costs of the appeal shall be in the discretion of the Supreme Court.

(3)

Where the judgment of the High Court is varied or reversed in the appeal, effect shall be given to the order of the Supreme Court in the manner provided in section 130-D in the case of a judgment of the High Court.

131.

Sums due to be paid notwithstanding reference, etc.

- Notwithstanding that a reference has been made to the High Court or the Supreme Court or an appeal has been preferred to the Supreme Court [under this Act before the commencement of the National Tax Tribunal Act, 2005 (49 of 2005)]

[Inserted by Act 49 of 2005, Section 30 and Schedule, Part VI (w.e.f. 28.12.2005).]

, sums due to the Government as a result of an order passed under sub-section (1) of section 129-B shall be payable in accordance with the order so passed.

131A.

Exclusion of time taken for copy.

- In computing the period of limitation specified for an appeal or application under this Chapter, the day on which the order complained of was served, and if the party preferring the appeal or making the application was not furnished with a copy of the order when the notice of the order was served upon him, the time requisite for obtaining a copy of such order shall be excluded.

131B.

Transfer of certain pending proceedings and transitional provisions.

(1)

Every appeal which is pending immediately before the appointed day before the Board under section 128, as it stood immediately before that day, and any matter arising out of or connected with such appeal and which is so pending shall stand transferred on that day to the Appellate Tribunal and the Appellate Tribunal may proceed with such appeal or matter from the stage at which it was on that day:

Provided that the appellant may demand that before proceeding further with that appeal or matter, he may be re-heard.

(2)

Every proceeding which is pending immediately before the appointed day before the Central Government under section 131, as it stood immediately before that day, and any matter arising out of or connected with such proceeding and which is so pending shall stand transferred on that day to the Appellate Tribunal and the Appellate Tribunal may proceed with such proceeding or matter from the stage at which it was on that day as if such proceeding or matter were an appeal filed before it:

Provided that if any such proceeding or matter relates to an order where-

(a)

the value of the goods confiscated without option having been given to the owner of the goods to pay a fine in lieu of confiscation under section 125; or

(b)

in any disputed case, other than a case where the determination of any question having a relation to the rate of duty of customs or to the value of goods for purposes of assessment is in issue or is one of the points in issue, the difference in duty involved or the duty involved; or

(c)

the amount of fine or penalty determined by such order, does not exceed ten thousand rupees, such proceeding or matter shall continue to be dealt with by the Central Government as if the said section 131 had not been substituted:

Provided further that the applicant or the other party may make a demand to the Appellate Tribunal that before proceeding further with that proceeding or matter, he may be re-heard.

(3)

Every proceeding which is pending immediately before the appointed day before the Board or the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26-5-1995).]

under section 130, as it stood immediately before that day, and any matter arising out of or connected with such proceeding and which is so pending shall continue to be dealt with by the Board or the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26-5-1995).]

, as the case may be, as if the said section had not been substituted.

(4)

Any person who immediately before the appointed day was authorised to appear in any appeal or proceeding transferred under sub-section (1) or sub-section (2) shall, notwithstanding anything contained in section 146-A, have the right to appear before the Appellate Tribunal in relation to such appeal or proceeding.

131C.

Definitions.

- In this Chapter-

(a)

"appointed day" means the date of coming into force of the amendments to this Act specified in Part I of the Fifth Schedule to the Finance (No. 2) Act, 1980 (44 of 1980);

Clause (b) omitted by Act 49 of 2005, Section 30 and Sch., Part VI (w.e.f. 28-12-2005). Prior to its omission, Clause (b) read as under: " (b) " High Court" means,

(i) in relation to any State, the High Court for that State;

(ii) in relation to a Union territory to which the jurisdiction of the High Court of a State has been extended by law, that High Court;

(iii) in relation to the Union territories of Dadra and Nagar Haveli and Daman and Diu, the High Court at Bombay;

(iv) in relation to any other Union territory, the highest Court of civil appeal for that territory other than the Supreme Court of India."

[* * *]

(c)

"President" means the President of the Appellate Tribunal.

Chapter XVI

Offences And Prosecutions

132.

False declaration, false documents, etc.

- Whoever makes, signs or uses, or causes to be made, signed or used, any declaration, statement or document in the transaction of any business relating to the customs, knowing or having reason to believe that such declaration, statement or document is false in any material particular, shall be punishable with imprisonment for a term which may extend to [two years]

[Substituted by Act 29 of 2006, Section 30, for " six months" (w.e.f. 13-7-2006).]

, or with fine, or with both.

133.

Obstruction of officer of customs.

- If any person intentionally obstructs any officer of customs in the exercise of any powers conferred under this Act, such person shall be punishable with imprisonment for a term which may extend to [two years]

[Substituted by Act 29 of 2006, Section 31, for " six months" (w.e.f. 13-7-2006).]

, or with fine, or with both.

134.

Refusal to be X-rayed.

- If any person-

(a)

resists or refuses to allow a radiologist to screen or to take X-ray picture of his body in accordance with an order made by a Magistrate under section 103, or

(b)

resists or refuses to allow suitable action being taken on the advice and under the supervision of a registered medical practitioner for bringing out goods liable to confiscation secreted inside his body, as provided in section 103, he shall be punishable with imprisonment for a term which may extend to six months, or with fine, or with both.

Substituted by Act 22 of 2007, Section 112, for sub-Section (1) (w.e.f. 11-5-2007). Prior to its substitution, sub-Section (1) read as under:-" (1) Without prejudice to any action that may be taken under this Act, if any person -

(a) is in relation to any goods in any way knowingly concerned in mis-declaration of value or in any fraudulent evasion or attempt at evasion of any duty chargeable thereon or of any prohibition for the time being imposed under this Act or any other law for the time being in force with respect to such goods, or

(b) acquires possession of or is in any way concerned in carrying, removing, depositing, harbouring, keeping, concealing, selling or purchasing or in any other manner dealing with any goods which he knows or has reason to believe are liable to confiscation under Section 111 or Section 113, as the case may be, or

(c) attempts to export any goods which he knows or has reason to believe are liable to confiscation under Section 113, he shall be punishable -

(i) in the case of an offence relating to any of the goods to which Section 123 applies and the market price whereof exceeds one lakh of rupees, with imprisonment for a term which may extend to seven years and with fine:

Provided that in the absence of special and adequate reasons to the contrary to be recorded in the judgment of the Court, such imprisonment shall not be for less than three years;

(ii) in any other case, with imprisonment for a term which may extend to three years, or with fine, or with both." .

135.

Evasion of duty or prohibitions.

(1)

Without prejudice to any action that may be taken under this Act, if any person-

(a)

is in relation to any goods in any way knowingly concerned in misdeclaration of value or in any fraudulent evasion or attempt at evasion of any duty chargeable thereon or of any prohibition for the time being imposed under this Act or any other law for the time being in force with respect to such goods; or

(b)

acquires possession of or is in any way concerned in carrying, removing, depositing, harbouring, keeping, concealing, selling or purchasing or in any other manner dealing with any goods which he knows or has reason to believe are liable to confiscation under section 111 or section 113, as the case may be; or

(c)

attempts to export any goods which he knows or has reason to believe are liable to confiscation under section 113; or

(d)

fraudulently avails of or attempts to avail of drawback or any exemption from duty provided under this Act in connection with export of goods, he shall be punishable, -

(i)

in the case of an offence relating to,-

(A)

any goods the market price of which exceeds one crore of rupees; or

(B)

the evasion or attempted evasion of duty exceeding thirty lakh of rupees; or

(C)

such categories of prohibited goods as the Central Government may, by notification in the Official Gazette, specify; or

(D)

fraudulently availing of or attempting to avail of drawback or any exemption from duty referred to in clause (d), if the amount of drawback or exemption from duty exceeds thirty lakh of rupees, with imprisonment for a term which may extend to seven years and with fine:

Provided that in the absence of special and adequate reasons to the contrary to be recorded in the judgment of the Court, such imprisonment shall not be for less than one year;

(ii)

in any other case, with imprisonment for a term which may extend to three years, or with fine, or with both.

(2)

[If any person convicted of an offence under this section or under sub-section (1) of section 136 is again convicted of an offence under this section, then, he shall be punishable for the second and for every subsequent offence with imprisonment for a term which may extend to seven years and with fine:

Provided that in the absence of special and adequate reasons to the contrary to be recorded in the judgment of the Court such imprisonment shall not be for less than [one year]

[Inserted by Act 36 of 1973, Section 5 (w.e.f. 1.9.1973).]

(3)

[For the purposes of sub-sections (1) and (2), the following shall not be considered as special and adequate reasons for awarding a sentence of imprisonment for a term of less than one year, namely:-

(i)

the fact that the accused has been convicted for the first time for an offence under this Act;

(ii)

the fact that in any proceeding under this Act, other than a prosecution, the accused has been ordered to pay a penalty or the goods which are the subject matter of such proceedings have been ordered to be confiscated or any other action has been taken against him for the same act which constitutes the offence;

(iii)

the fact that the accused was not the principal offender and was acting merely as a carrier of goods or otherwise was a secondary party to the commission of the offence;

(iv)

the age of the accused.]

135A.

[Preparation.

[Inserted by Act 36 of 1973, Section 6 (w.e.f. 1.9.1973).]

- If a person makes preparation to export any goods in contravention of the provisions of this Act, and from the circumstances of the case it may be reasonably inferred that if not prevented by circumstances independent of his will, he is determined to carry out his intention to commit the offence, he shall be punishable with imprisonment for a term which may extend to three years, or with fine, or with both.

135B.

Power of Court to publish name, place of business, etc., of persons convicted under the Act.

(1)

Where any person is convicted under this Act for contravention of any of the provisions thereof, it shall be competent for the Court convicting the person to cause the name and place of business or residence of such person, nature of the contravention, the fact that the person has been so convicted and such other particulars as the Court may consider to be appropriate in the circumstances of the case, to be published at the expense of such person in such newspaper or in such manner as the Court may direct.

(2)

No publication under sub-section (1) shall be made until the period for preferring an appeal against the orders of the Court has expired without any appeal having been preferred, or such an appeal, having been preferred, has been disposed of.

(3)

The expenses of any publication under sub-section (1) shall be recoverable from the convicted person as if it were a fine imposed by the Court.]

[Inserted by Act 36 of 1973, Section 5 (w.e.f. 1.9.1973).]

136.

Offences by officers of customs.

(1)

If any officer of customs enters into or acquiesces in any agreement to do, abstains from doing, permits, conceals or [connives at any act or thing, whereby any fraudulent export is effected or]

[Substituted by Act 32 of 2003, Section 125, for " connives at any act or thing whereby" (w.e.f. 14.5.2003).]

any duty of customs leviable on any goods, or any prohibition for the time being in force under this Act or any other law for the time being in force with respect to any goods is or may be evaded, he shall be punishable with imprisonment for a term which may extend to [three years]

[Substituted by Act 36 of 1973, Section 7, for " two years" (w.e.f. 1.9.1973).]

, or with fine, or with both.

(2)

If any officer of customs,-

(a)

requires any person to be searched for goods liable to confiscation or any document relating thereto, without having reason to believe that he has such goods or document secreted about his person; or

(b)

arrests any person without having reason to believe that he has been guilty of an offence punishable under section 135; or

(c)

searches or authorises any other officer of customs to search any place without having reason to believe that any goods, documents or things of the nature referred to in section 105 are secreted in that place, he shall be punishable with imprisonment for a term which may extend to six months, or with fine which may extend to one thousand rupees, or with both.

(3)

If any officer of customs, except in the discharge in good faith of his duty as such officer or in compliance with any requisition made under any law for the time being in force, discloses any particulars learnt by him in his official capacity in respect of any goods, he shall be punishable with imprisonment for a term which may extend to six months, or with fine which may extend to one thousand rupees, or with both.

137.

Cognizance of offences.

(1)

No Court shall take cognizance of any offence under section 132, section 133, section 134 or [section 135 or section 135-A]

[Substituted by Act 29 of 2006, Section 32, for " Section 135" (w.e.f. 13.7.2006).]

, except with the previous sanction of the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 51, for " Collector of Customs" (w.e.f. 26.5.1995).]

.

(2)

No Court shall take cognizance of any offence under section 136,-

(a)

where the offence is alleged to have been committed by an officer of customs not lower in rank than [Assistant Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

, except with the previous sanction of the Central Government;

(b)

where the offence is alleged to have been committed by an officer of customs lower in rank than [Assistant Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

, except with the previous sanction of the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 51, for " Collector of Customs" (w.e.f. 26.5.1995).]

(3)

[Any offence under this Chapter may, either before or after the institution of prosecution, be compounded by the Chief Commissioner of Customs on payment, by the person accused of the offence to the Central Government, of [such compounding amount and in such manner of compounding]

[Inserted by Act 23 of 2004, Section 71 (w.e.f. 10.9.2004).]

[as may be specified by rules:]

[Inserted by Act 23 of 2004, Section 71 (w.e.f. 10.9.2004).]

[Provided that nothing contained in this sub-section shall apply to-

(a)

a person who has been allowed to compound once in respect of any offence under sections 135 and 135-A;

(b)

a person who has been accused of committing an offence under this Act which is also an offence under any of the following Acts, namely:-

(i)

the Narcotic Drugs and Psychotropic Substances Act, 1985 (61 of 1985

);

(ii)

the Chemical Weapons Convention Act, 2000 (34 of 2000);

(iii)

the Arms Act, 1959 (54 of 1959

);

(iv)

the Wild Life (Protection) Act, 1972 (53 of 1972

);

(c)

a person involved in smuggling of goods falling under any of the following, namely:-

(i)

goods specified in the list of Special Chemicals, Organisms, Materials, Equipment and Technology in Appendix 3 to Schedule 2 (Export Policy) of ITC (HS) Classification of Export and Import Items of the Foreign Trade Policy, as amended from time to time, issued under section 5 of the Foreign Trade (Development and Regulation) Act, 1992 (22 of 1992

);

(ii)

goods which are specified as prohibited items for import and export in the ITC (HS) Classification of Export and Import Items of the Foreign Trade Policy, as amended from time to time, issued under section 5 of the Foreign Trade (Development and Regulation) Act, 1992 (22 of 1992

);

(iii)

any other goods or documents, which are likely to affect friendly relations with a foreign State or are derogatory to national honour;

(d)

a person who has been allowed to compound once in respect of any offence under this Chapter for goods of value exceeding rupees one crore;

(e)

a person who has been convicted under this Act on or after the 30th day of December, 2005.]

[Inserted by Act 33 of 2009, Section 89.]

138.

Offences to be tried summarily.

- Notwithstanding anything contained in the Code of [Criminal Procedure, 1898 (5 of 1898)]

[Now see the Code of Criminal Procedure, 1973 (2 of 1974).]

, an offence under this Chapter other than an offence punishable [under clause (i) of sub-section (1) of section 135 or under sub-section (2) of that section]

[Substituted by Act 36 of 1973, Section 8, for " under clause (i) of Section 135" (w.e.f. 1.9.1973).]

may be tried summarily by a Magistrate.

138A.

[Presumption of culpable mental state.

[Inserted by Act 36 of 1973, Section 9 (w.e.f. 1.9.1973).]

(1)

In any prosecution for an offence under this Act which requires a culpable mental state on the part of the accused, the Court shall presume the existence of such mental state but it shall be a defence for the accused to prove the fact that he had no such mental state with respect to the act charged as an offence in that prosecution.

Explanation.-In this section, "culpable mental state" includes intention, motive, knowledge of a fact and belief in, or reason to believe, a fact.

(2)

For the purposes of this section, a fact is said to be proved only when the Court believes it to exist beyond reasonable doubt and not merely when its existence is established by a preponderance of probability.

138B.

Relevancy of statements under certain circumstances.

(1)

A statement made and signed by a person before any Gazetted Officer of customs during the course of any inquiry or proceeding under this Act shall be relevant, for the purpose of proving, in any prosecution for an offence under this Act, the truth of the facts which it contains,-

(a)

when the person who made the statement is dead or cannot be found, or is incapable of giving evidence, or is kept out of the way by the adverse party, or whose presence cannot be obtained without an amount of delay or expense which, under the circumstances of the case, the Court considers unreasonable; or

(b)

when the person who made the statement is examined as a witness in the case before the Court and the Court is of opinion that, having regard to the circumstances of the case, the statement should be admitted in evidence in the interests of justice.

(2)

The provisions of sub-section (1) shall, so far as may be, apply in relation to any proceeding under this Act, other than a proceeding before a Court, as they apply in relation to a proceeding before a Court.]

138C.

[Admissibility of micro films, facsimile copies of documents and computer print outs as documents and as evidence.

[Inserted by Act 29 of 1988, Section 6 (w.e.f. 1.7.1988).]

(1)

Notwithstanding anything contained in any other law for the time being in force,-

(a)

a micro film of a document or the reproduction of the image or images embodied in such micro film (whether enlarged or not); or

(b)

a facsimile copy of a document; or

(c)

a statement contained in a document and included in a printed material produced by a computer (hereinafter referred to as a "computer print out"), if the conditions mentioned in sub-section (2) and the other provisions contained in this section are satisfied in relation to the statement and the computer in question, shall be deemed to be also a document

for the purposes of this Act and the rules made thereunder and shall be admissible in any proceedings thereunder, without further proof or production of the original, as evidence of any contents of the original or of any fact stated therein of which direct evidence would be admissible.

(2)

The conditions referred to in sub-section (1) in respect of a computer print out shall be the following, namely:-

(a)

the computer print out containing the statement was produced by the computer during the period over which the computer was used regularly to store or process information for the purposes of any activities regularly carried on over that period by the person having lawful control over the use of the computer;

(b)

during the said period, there was regularly supplied to the computer in the ordinary course of the said activities, information of the kind contained in the statement or of the kind from which the information so contained is derived;

(c)

throughout the material part of the said period, the computer was operating properly or, if not, then any respect in which it was not operating properly or was out of operation during that part of that period was not such as to affect the production of the document or the accuracy of the contents; and

(d)

the information contained in the statement reproduces or is derived from information supplied to the computer in the ordinary course of the said activities.

(3)

Where over any period, the function of storing or processing information for the purposes of any activities regularly carried on over that period as mentioned in clause (a) of sub-section (2) was regularly performed by computers, whether-

(a)

by a combination of computers operating over that period; or

(b)

by different computers operating in succession over that period; or

(c)

by different combinations of computers operating in succession over that period; or

(d)

in any other manner involving the successive operation over that period, in whatever order, of one or more computers and one or more combinations of computers, all the computers used for that purpose during that period shall be treated for the purposes of this section as constituting a single computer; and references in this section to a computer shall be construed accordingly.

(4)

In any proceedings under this Act and the rules made thereunder where it is desired to give a statement in evidence by virtue of this section, a certificate doing any of the following things, that is to say,-

(a)

identifying the document containing the statement and describing the manner in which it was produced;

(b)

giving such particulars of any device involved in the production of that document as may be appropriate for the purpose of showing that the document was produced by a computer;

(c)

dealing with any of the matters to which the conditions mentioned in sub-section (2) relate, and purporting to be signed by a person occupying a responsible official position in relation to the operation of the relevant device or the management of the relevant activities (whichever is appropriate) shall be evidence of any matter stated in the certificate; and for the purposes of this sub-section it shall be sufficient for a matter to be stated to the best of the knowledge and belief of the person stating it.

(5)

For the purposes of this section,-

(a)

information shall be taken to be supplied to a computer if it is supplied thereto in any appropriate form and whether it is so supplied directly or (with or without human intervention) by means of any appropriate equipment;

(b)

whether in the course of activities carried on by any official, information is supplied with a view to its being stored or processed for the purposes of those activities by a computer operated otherwise than in the course of those activities, that information, if duly supplied to that computer, shall be taken to be supplied to it in the course of those activities;

(c)

a document shall be taken to have been produced by a computer whether it was produced by it directly or (with or without human intervention) by means of any appropriate equipment.

Explanation.-For the purposes of this section,-

(a)

"computer" means any device that receives, stores, and processes data, applying stipulated processes to the information and supplying results of these processes; and

(b)

any reference to information being derived from other information shall be a reference to its being derived therefrom by calculation, comparison or any other process.]

139.

[Presumption as to documents in certain cases.

[Substituted by Act 36 of 1973, Section 10, for Section 139 (w.e.f. 1.9.1973).]

- Where any document-

(i)

is produced by any person or has been seized from the custody or control of any person, in either case, under this Act or under any other law, or

(ii)

has been received from any place outside India in the course of investigation of any offence alleged to have been committed by any person under this Act, and such document is tendered by the prosecution in evidence against him or against him and any other person who is tried jointly with him, the Court shall-

(a)

presume, unless the contrary is proved, that the signature and every other part of such document which purports to be in the handwriting of any particular person or which the Court may reasonably assume to have been signed by, or to be in the handwriting of, any particular person, is in that person's handwriting, and in the case of a document executed or attested, that it was executed or attested by the person by whom it purports to have been so executed or attested;

(b)

admit the document in evidence, notwithstanding that it is not duly stamped, if such document is otherwise admissible in evidence;

(c)

in a case falling under clause (i) also presume, unless the contrary is proved, the truth of the contents of such document.]

[Explanation.-For the purposes of this section, "document" includes inventories, photographs and lists certified by a Magistrate under sub-section (1-C) of section 110.]

[Inserted by Act 80 of 1985, Section 11 (w.e.f. 27.12.1985).]

140.

Offences by companies.

(1)

If the person committing an offence under this Chapter is a company, every person who, at the time the offence was committed was in charge of, and was responsible to, the company for the conduct of business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to such punishment provided in this Chapter if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

(2)

Notwithstanding anything contained in sub-section (1), where an offence under this Chapter has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any negligence on the part of, any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation.-For the purposes of this section,-

(a)

"company" means a body corporate and includes a firm or other association of individuals; and

(b)

"director", in relation to a firm, means a partner in the firm.

140A.

[Application of section 562 of the Code of Criminal Procedure, 1898, and of the Probation of Offenders Act, 1958

[Inserted by Act 36 of 1973, Section 11 (w.e.f. 1.9.1973).]

-(1) Nothing contained in section 562 of the Code of Criminal Procedure, 1898 (5 of 1898), or in the Probation of Offenders Act, 1958 (

20 of 1958

), shall apply to a person convicted of an offence under this Act unless that person is under eighteen years of age.

(2)

The provisions of sub-section (1) shall have effect notwithstanding anything contained in sub-section (3) of section 135.]

Chapter XVII

Miscellaneous

141.

Conveyances and goods in a customs area subject to control of officers of customs.

- [(1)]

[Section 141 renumbered as sub-Section (1) thereof and sub-Section (2) inserted by Act 18 of 2008, Section 74.]

All conveyances and goods in a customs area shall, for the purpose of enforcing the provisions of this Act, be subject to the control of officers of customs.

(2)

[The imported or export goods may be received, stored, delivered, despatched or otherwise handled in a customs area in such manner as may be prescribed and the responsibilities of persons engaged in the aforesaid activities shall be such as may be prescribed.]

[Section 141 renumbered as sub-Section (1) thereof and sub-Section (2) inserted by Act 18 of 2008, Section 74.]

142.

Recovery of sums due to Government.

(1)

[Where any sum payable by any person]

[Substituted by Act 22 of 1995, Section 66, for certain words (w.e.f. 26.5.1995).]

under this Act [including the amount required to be paid to the credit of the Central Government under section 28-B]

[Inserted by Act 10 of 2000, Section 88 (w.e.f. 12.5.2000).]

is not paid,-

(a)

the proper officer may deduct or may require any other officer of customs to deduct the amount so payable from any money owing to such person which may be under the control of the proper officer or such other officer of customs; or

(b)

the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999).]

may recover or may require any other officer of customs to recover the amount so payable by detaining and selling any goods belonging to such person which are under the control of the [Assistant Commissioner of Customs or Deputy

Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999).]

or such other officer of customs; or

(c)

[if the amount cannot be recovered from such person in the manner provided in clause (a) or clause (b)-

[Substituted by Act 22 of 1995, Section 66, for Clause (c) (w.e.f. 26.5.1995).]

(i)

the [Assistant Commissioner of Customs or Deputy Commissioner of Customs][may prepare a certificate signed by him specifying the amount due from such person and send it to the Collector of the district in which such person owns any property or resides or carries on his business and the said Collector on receipt of such certificate shall proceed to recover from such person the amount specified thereunder as if it were an arrear of land revenue; or

[Substituted by Act 22 of 1995, Section 66, for Clause (c) (w.e.f. 26.5.1995).]

(ii)

the proper officer may, on an authorisation by [Commissioner of Customs][and in accordance with the rules made in this behalf, distrain any movable or immovable property belonging to or under the control of such person, and detain the same until the amount payable is paid; and in case, any part of the said amount payable or of the cost of the distress or keeping of the property, remains unpaid for a period of thirty days next after any such distress, may cause the said property to be sold and with the proceeds of such sale, may satisfy the amount payable and the costs including cost of sale remaining unpaid and shall render the surplus, if any, to such person:]

[Substituted by Act 22 of 1995, Section 66, for Clause (c) (w.e.f. 26.5.1995).]

[Provided that where the person (hereinafter referred to as predecessor), by whom any sum payable under this Act including the amount required to be paid to the credit of the Central Government under section 28-B is not paid, transfers or otherwise disposes of his business or trade in whole or in part, or effects any change in the ownership thereof, in consequence of which he is succeeded in such business or trade by any other person, all goods, materials, preparations, plants, machineries, vessels, utensils, implements and articles in the custody or possession of the person so succeeding may also be attached and sold by the proper officer, after obtaining written approval from the Commissioner of Customs, for the purposes of recovering the amount so payable by such predecessor at the time of such transfer, or otherwise disposal or change.]

[Inserted by Act 23 of 2004, Section 72 (w.e.f. 10.9.2004).]

(2)

Where the terms of any bond or other instrument executed under this Act or any rules or regulations made thereunder provide that any amount due under such instrument may be recovered in the manner laid down in sub-section (1), the amount may, without prejudice to any other mode of recovery, be recovered in accordance with the provisions of that sub-section.

142A.

[Liability under Act to be first charge.

[Inserted by Act 8 of 2011, sec. 51 (w.e.f. 8.4.2011).]

- Notwithstanding anything to the contrary contained in any Central Act or State Act, any amount of duty, penalty, interest or any other sum payable by an assessee or any other person under this Act, shall, save as otherwise provided in section 529A of the Companies Act, 1956, the Recovery of Debts Due to Banks and the Financial Institutions Act, 1993 [the Securitisation and Reconstruction of Financial Assets and the Enforcement of Security Interest Act, 2002 and the Insolvency and Bankruptcy Code, 2016] be the first charge on the property of the assessee or the person, as the case may be.]

143.

Power to allow import or export on execution of bonds in certain cases.

(1)

Where this Act or any other law requires anything to be done before a person can import or export any goods or clear any goods from the control of officers of customs and the Assistant Commissioner of Customs or Deputy Commissioner of Customs is satisfied that having regard to the circumstances of the case, such thing cannot be done before such

import, export or clearance without detriment to that person, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

may, notwithstanding anything contained in this Act or such other law, grant leave for such import, export or clearance on the person executing a bond in such amount, with such surety or security and subject to such conditions as the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

approves, for the doing of that thing within such time after the import, export or clearance as may be specified in the bond.

(2)

If the thing is done within the time specified in the bond, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

shall cancel the bond as discharged in full and shall, on demand, deliver it, so cancelled, to the person who has executed or who is entitled to receive it; and in such a case that person shall not be liable to any penalty provided in this Act or, as the case may be, in such other law for the contravention of the provisions thereof relating to the doing of that thing.

(3)

If the thing is not done within the time specified in the bond, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

shall, without prejudice to any other action that may be taken under this Act or any other law for the time being in force, be entitled to proceed upon the bond in accordance with law.

143A.

[Duty deferment.

[Inserted by Act 25 of 1978, Section 17 (w.e.f. 1.7.1978).]

(1)

When any material is imported under an import licence belonging to the category of Advance Licence granted under the [Imports and Exports (Control) Act, 1947] [(18 of 1947), subject to an obligation to export the goods as are specified in the said Licence within the period specified therein, the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Inserted by Act 25 of 1978, Section 17 (w.e.f. 1.7.1978).]

[may, notwithstanding anything contained in this Act, permit clearance of such material without payment of duty leviable thereon.

(2)

The permission for clearance without payment of duty under sub-section (1) shall be subject to the following conditions, that is to say-

(a)

the duty payable on the material imported shall be adjusted against the drawback of duty payable under this Act or

under any other law for the time being in force on the export of goods specified in the said Advance Licence; and

(b)

where the duty is not so adjusted either for the reason that the goods are not exported within the period specified in the said Advance Licence, or within such extended period not exceeding six months as the [Assistant Commissioner of Customs or Deputy Commissioner of Customs] [may, on sufficient cause being shown, allow, or for any other sufficient reason, the importer shall, notwithstanding anything contained in section 28, be liable to pay the amount of duty not so adjusted together with simple interest thereon at the rate of twelve per cent. per annum from the date the said permission for clearance is given to the date of payment.

[Inserted by Act 25 of 1978, Section 17 (w.e.f. 1.7.1978).]

(3)

While permitting clearance under sub-section (1), the [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Inserted by Act 25 of 1978, Section 17 (w.e.f. 1.7.1978).]

may require the importer to execute a bond with such surety or security as he thinks fit for complying with the conditions specified in sub-section (2).]

143AA.

[Power to simplify or provide different procedure, etc., to facilitate trade.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

- Notwithstanding anything contained in any other provision of this Act, the Board may, for the purposes of facilitation of trade, take such measures or prescribe separate procedure or documentation for a class of importers or exporters or for categories of goods or on the basis of the modes of transport of goods, in order to, -

(a)

maintain transparency in the import and export documentation; or

(b)

expedite clearance or release of goods entered for import or export; or

(c)

reduce the transaction cost of clearance of importing or exporting goods; or

(d)

maintain balance between customs control and facilitation of legitimate trade.]

144.

Power to take samples.

(1)

The proper officer may, on the entry or clearance of any goods or at any time while such goods are being passed through the customs area, take samples of such goods in the presence of the owner thereof, for examination or testing, or for ascertaining the value thereof, or for any other purposes of this Act.

(2)

After the purpose for which a sample was taken is carried out, such sample shall, if practicable, be restored to the owner, but if the owner fails to take delivery of the sample within three months of the date on which the sample was taken, it may be disposed of in such manner as the [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 51, for " Collector of Customs" (w.e.f. 26.5.1995).]

may direct.

(3)

No duty shall be chargeable on any sample of goods taken under this section which is consumed or destroyed during the course of any test or examination thereof, if such duty amounts to five rupees or more.

145.

Owner, etc., to perform operations incidental to compliance with customs law.

- All operations necessary for making any goods available for examination by the proper officer or for facilitating such examination shall be performed by, or at the expense of, the owner, importer or exporter of the goods, as the case may be.

146.

Custom house agents to be licensed.

(1)

No person shall carry on business as an agent relating to the entry or departure of a conveyance or the import or export of goods at any customs-station unless such person holds a licence granted in this behalf in accordance with the regulations.

(2)

The Board may make regulations for the purpose of carrying out the provisions of this section and, in particular, such regulations may provide for-

(a)

the authority by which a licence may be granted under this section and the period of validity of any such licence;

(b)

the form of the licence and the fees payable therefor;

(c)

the qualifications of persons who may apply for a licence and the qualifications of persons to be employed by a licensee to assist him in his work as an agent;

(d)

the restrictions and conditions (including the furnishing of security by the licensee) subject to which a licence may be granted;

(e)

the circumstances in which a licence may be suspended or revoked; and

(f)

the appeals, if any, against an order of suspension or revocation of a licence, and the period within which such appeals shall be filed.

146A.

[Appearance by authorised representative.

[Inserted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11.10.1982).]

(1)

Any person who is entitled or required to appear before an officer of customs or the Appellate Tribunal in connection with any proceedings under this Act, otherwise than when required under section 108 to attend personally for examination on oath or affirmation, may, subject to the other provisions of this section, appear by an authorised representative.

(2)

For the purposes of this section, "authorised representative" means a person authorised by the person referred to in sub-section (1) to appear on his behalf, being-

(a)

his relative or regular employee; or

(b)

a custom house agent licensed under section 146; or

(c)

any legal practitioner who is entitled to practise in any Civil Court in India; or

(d)

any person who has acquired such qualifications as the Central Government may specify by rules made in this behalf.

(3)

Notwithstanding anything contained in this section, no person who was a member of the Indian Customs and Central Excise Service-Group A and has retired or resigned from such Service after having served for not less than three years in any capacity in that Service shall be entitled to appear as an authorised representative in any proceedings before an officer of customs for a period of two years from the date of his retirement or resignation, as the case may be.

(4)

No person,-

(a)

who has been dismissed or removed from Government service; or

(b)

who is convicted of an offence connected with any proceeding under this Act, the [Central Excises and Salt Act, 1944 (1 of 1944)], or the [Gold (Control) Act, 1968 (45 of 1968)]

[This Act has been repealed by Act 18 of 1990, Section 2 (w.e.f. 6.6.1990).]

]; or

[Inserted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11.10.1982).]

(c)

who has become an insolvent, shall be qualified to represent any person under sub-section (1), for all times in the case of a person referred to in clause (a), and for such time as the [Commissioner of Customs][or the competent authority under the [Central Excises and Salt Act, 1944 (1 of 1944)]

[Inserted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11.10.1982).]

, or the [Gold (Control) Act, 1968 (45 of 1968)]

[This Act has been repealed by Act 18 of 1990, Section 2 (w.e.f. 6.6.1990).]

,[as the case may be, may, by order, determine in the case of a person referred to in clause (b), and for the period during which the insolvency continues in the case of a person referred to in clause (c).

[Inserted by Act 44 of 1980, Section 50 and Schedule V (w.e.f. 11.10.1982).]

(5)

If any person,-

(a)

who is a legal practitioner, is found guilty of misconduct in his professional capacity by any authority entitled to institute proceedings against him, an order passed by that authority shall have effect in relation to his right to appear before an officer of customs or the Appellate Tribunal as it has in relation to his right to practise as a legal practitioner;

(b)

who is not a legal practitioner, is found guilty of misconduct in connection with any proceedings under this Act by such authority as may be specified by rules made in this behalf, that authority may direct that he shall thenceforth be disqualified to represent any person under sub-section (1).

(6)

Any order or direction under clause (b) of sub-section (4) or clause (b) of sub-section (5) shall be subject to the following conditions, namely:-

(a)

no such order or direction shall be made in respect of any person unless he has been given a reasonable opportunity of being heard;

(b)

any person against whom any such order or direction is made may, within one month of the making of the order or direction, appeal to the Board to have the order or direction cancelled; and

(c)

no such order or direction shall take effect until the expiration of one month from the making thereof, or, where an appeal has been preferred, until the disposal of the appeal.]

147.

Liability of principal and agent.

(1)

Where this Act requires anything to be done by the owner, importer or exporter of any goods, it may be done on his behalf by his agent.

(2)

Any such thing done by an agent of the owner, importer or exporter of any goods shall, unless the contrary is proved, be deemed to have been done with the knowledge and consent of such owner, importer or exporter, so that in any proceedings under this Act, the owner, importer or exporter of the goods shall also be liable as if the thing had been done by himself.

(3)

When any person is expressly or impliedly authorised by the owner, importer or exporter of any goods to be his agent in respect of such goods for all or any of the purposes of this Act, such person shall, without prejudice to the liability of the owner, importer or exporter, be deemed to be the owner, importer or exporter of such goods for such purposes:

Provided that where any duty is not levied or is short-levied or erroneously refunded on account of any reason other than any wilful act, negligence or default of the agent, such duty shall not be recovered from the agent unless in the opinion of [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

the same cannot be recovered from the owner, importer or exporter.

148.

Liability of agent appointed by the person in charge of a conveyance.

(1)

Where this Act requires anything to be done by the person in charge of a conveyance, it may be done on his behalf by his agent.

(2)

An agent appointed by the person in charge of a conveyance and any person who represents himself to any officer of customs as an agent of any such person in charge, and is accepted as such by that officer, shall be liable for the fulfilment in respect of the matter in question of all obligations imposed on such person in charge by or under this Act or any law for the time being in force, and to penalties and confiscations which may be incurred in respect of that matter.

149.

Amendment of documents.

- Save as otherwise provided in sections 30 and 41, the proper officer may, in his discretion, authorise any document, after it has been presented in the custom house to be amended:

Provided that no amendment of a bill of entry or a shipping bill or bill of export shall be so authorised to be amended after the imported goods have been cleared for home consumption or deposited in a warehouse, or the export goods have been exported, except on the basis of documentary evidence which was in existence at the time the goods were cleared, deposited or exported, as the case may be.

150.

Procedure for sale of goods and application of sale proceeds.

(1)

Where any goods not being confiscated goods are to be sold under any provisions of this Act, they shall, after notice to the owner thereof, be sold by public auction or by tender or with the consent of the owner in any other manner.

(2)

The proceeds of any such sale shall be applied-

(a)

firstly to the payment of the expenses of the sale,

(b)

next to the payment of the freight and other charges, if any, payable in respect of the goods sold, to the carrier, if notice of such charges has been given to the person having custody of the goods,

(c)

next to the payment of the duty, if any, on the goods sold,

(d)

next to the payment of the charges in respect of the goods sold due to the person having the custody of the goods,

(e)

next to the payment of any amount due from the owner of the goods to the Central Government under the provisions of this Act or any other law relating to customs, and the balance, if any, shall be paid to the owner of the goods.

151.

Certain officers required to assist officers of customs.

- The following officers are hereby empowered and required to assist officers of customs in the execution of this Act, namely:-

(a)

officers of the Central Excise Department;

- (b)
officers of the Navy;
- (c)
officers of Police;
- (d)
officers of the Central or State Governments employed at any port or airport;
- (e)
such other officers of the Central or State Governments or a local authority as are specified by the Central Government in this behalf by notification in the Official Gazette.

151A.

[Instructions to officers of customs.

[Substituted by Act 80 of 1985, Section 12 (w.e.f. 27.12.1985).]

- The Board may, if it considers it necessary or expedient so to do for the purpose of uniformity in the classification of goods or with respect to the levy of duty thereon, issue such orders, instructions and directions to officers of customs as it may deem fit and such officers of customs and all other persons employed in the execution of this Act shall observe and follow such orders, instructions and directions of the Board:

Provided that no such orders, instructions or directions shall be issued-

- (a)
so as to require any such officer of customs to make a particular assessment or to dispose of a particular case in a particular manner; or
- (b)
so as to interfere with the discretion of the [Commissioner of Customs] (Appeals) in the exercise of his appellate functions.]

151B.

[Reciprocal arrangement for exchange of information facilitating trade.

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

- (1)
The Central Government may enter into an agreement or any other arrangement with the Government of any country outside India or with such competent authorities of that country, as it deems fit, for facilitation of trade, enforcing the provisions of this Act and exchange of information for trade facilitation, effective risk analysis, verification of compliance and prevention, combating and investigation of offences under the provisions of this Act or under the corresponding laws in force in that country.

- (2)
The Central Government may, by notification, direct that the provisions of this section shall apply to the contracting State with which reciprocal agreement or arrangements have been made, subject to such conditions, exceptions or qualifications as may be specified in that notification.

- (3)
Subject to the provisions of sub-section (2), the information received under sub-section (1) may also be used as evidence in investigations and proceedings under this Act.

- (4)
Where the Central Government has entered into a multilateral agreement for exchange of information or documents for the purpose of verification of compliance in identified cases, the Board shall specify the procedure for such exchange, the conditions subject to which such exchange shall be made and designation of the person through whom such information shall be exchanged.

- (5)
Notwithstanding anything contained in sub-section (1) or sub-section (2) or sub-section (3), anything done or any action taken or purported to have been done or taken, in pursuance to any agreement entered into or any other arrangement made by the Central Government prior to the date on which the Finance Bill, 2018 receives the assent of the President, shall be deemed to have been done or taken under the provisions of this section.

Explanation. - For the purposes of this section, the expressions, -

- (i)

"contracting State" means any country outside India in respect of which agreement or arrangements have been made by the Central Government with the Government or authority of such country through an agreement or otherwise;

(ii)

"corresponding law" means any law in force in the contracting State corresponding to any of the provisions of this Act or dealing with offences in that country corresponding to any of the offences under this Act.]

152.

Delegation of powers.

- The Central Government may, by notification in the Official Gazette, direct that subject to such conditions, if any, as may be specified in the notification -

(a)

any power exercisable by the Board under this Act shall be exercisable also by [a [Chief Commissioner of Customs] [Inserted by Act 29 of 1988, Section 7 (w.e.f. 1.7.1988).]

or a [Commissioner of Customs]

[Substituted by Act 22 of 1995, Section 50, for " Collector of Customs" (w.e.f. 26.5.1995).]

empowered in this behalf by the Central Government;

(b)

any power exercisable by a [Commissioner of Customs]

[<A TITLE =]

under this Act may be exercisable also by a [Joint Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Deputy Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

or an [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

empowered in this behalf by the Central Government;

(c)

any power exercisable by a [Joint Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Deputy Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

under this Act may be exercisable also by an [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

empowered in this behalf by the Central Government;

(d)

any power exercisable by an [Assistant Commissioner of Customs or Deputy Commissioner of Customs]

[Substituted by Act

27 of 1999

, Section 100, for " Assistant Commissioner of Customs" (w.e.f. 11.5.1999). Earlier, these words were substituted by Act 22 of 1995, Section 50 (w.e.f. 26.5.1995).]

under this Act may be exercisable also by a Gazetted Officer of Customs empowered in this behalf by the Board.

153.

[Modes for service of notice, order, etc.

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(1)

An order, decision, summons, notice or any other communication under this Act or the rules made thereunder may be served in any of the following modes, namely: -

(a)

by giving or tendering it directly to the addressee or importer or exporter or his customs broker or his authorised representative including employee, advocate or any other person or to any adult member of his family residing with him;

(b)

by a registered post or speed post or courier with acknowledgement due, delivered to the person for whom it is issued or to his authorised representative, if any, at his last known place of business or residence;

(c)

by sending it to the e-mail address as provided by the person to whom it is issued, or to the e-mail address available in any official correspondence of such person;

(d)

by publishing it in a newspaper widely circulated in the locality in which the person to whom it is issued is last known to have resided or carried on business; or

(e)

by affixing it in some conspicuous place at the last known place of business or residence of the person to whom it is issued and if such mode is not practicable for any reason, then, by affixing a copy thereof on the notice board of the office or uploading on the official website, if any.

(2)

Every order, decision, summons, notice or any communication shall be deemed to have been served on the date on which it is tendered or published or a copy thereof is affixed or uploaded in the manner provided in sub-section (1).

(3)

When such order, decision, summons, notice or any communication is sent by registered post or speed post, it shall be deemed to have been received by the addressee at the expiry of the period normally taken by such post in transit unless the contrary is proved.]

154.

Correction of clerical errors, etc.

- Clerical or arithmetical mistakes in any decision or order passed by the Central Government, the Board or any officer of customs under this Act, or errors arising therein from any accidental slip or omission may, at any time, be corrected by the Central Government, the Board or such officer of customs or the successor in office of such officer, as the case may be.

154A.

[Rounding off of duty, etc.

[Inserted by Act 12 of 1990, Section 62 (w.e.f. 31.5.1990).]

- The amount of duty, interest, penalty, fine or any other sum payable, and the amount of refund, drawback or any other sum due, under the provisions of this Act shall be rounded off to the nearest rupee and, for this purpose, where such amount contains a part of a rupee consisting of paise then, if such part is fifty paise or more, it shall be increased to one rupee and if such part is less than fifty paise it shall be ignored.]

154B.

[Publication of information respecting persons in certain cases.

[Inserted by Act 29 of 2006, Section 33 (w.e.f. 13.7.2006).]

(1)

If the Central Government is of opinion that it is necessary or expedient in the public interest to publish the names of any person and any other particulars relating to any proceedings or prosecutions under this Act in respect of such person, it may cause to be published such names and particulars in such manner as it thinks fit.

(2)

No publication under this section shall be made in relation to any penalty imposed under this Act until the time for presenting an appeal to the Commissioner (Appeals) under section 128 or the Appellate Tribunal under section 129-A, as the case may be, has expired without an appeal having been presented or the appeal, if presented, has been

disposed of.

Explanation.-In the case of a firm, company or other association of persons, the names of the partners of the firm, directors, managing agents, secretaries and treasurers or managers of the company, or the members of the association, as the case may be, may also be published if, in the opinion of the Central Government, circumstances of the case justify it.]

155.

Protection of action taken under the Act.

(1)

No suit, prosecution or other legal proceedings shall lie against the Central Government or any officer of the Government or a local authority for anything which is done, or intended to be done in good faith, in pursuance of this Act or the rules or regulations.

(2)

No proceeding other than a suit shall be commenced against the Central Government or any officer of the Government or a local authority for anything purporting to be done in pursuance of this Act without giving the Central Government or such officer a month's previous notice in writing of the intended proceeding and of the cause thereof, or after the expiration of three months from the accrual of such cause.

156.

General power to make rules.

(1)

Without prejudice to any power to make rules contained elsewhere in this Act, the Central Government may make rules consistent with this Act generally to carry out the purposes of this Act.

(2)

In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

[the manner of determining the transaction value of the imported goods and export goods under sub-section (1) of section 14;]

[Substituted by Act 22 of 2007, Section 113, for Clause (a) (w.e.f. 10.10.2007). Prior to its substitution, Clause (a) read as under:-" (a) the manner of determining the price of imported goods under sub-Section (1-A) of Section 14;" .]

(b)

the conditions subject to which accessories of, and spare parts and maintenance and repairing implements for, any article shall be chargeable at the same rate of duty as that article;

[* * *]

[Clause (c) omitted by Act 26 of 1988, Section 80 (w.e.f. 13.5.1988).]

(d)

the detention and confiscation of goods the importation of which is prohibited and the conditions, if any, to be fulfilled before such detention and confiscation and the information, notices and security to be given and the evidence requisite for the purposes of such detention or confiscation and the mode of verification of such evidence;

(e)

the reimbursement by an informant to any public officer of all expenses and damages incurred in respect of any detention of any goods made on his information and of any proceedings consequent on such detention;

(f)

the information required in respect of any goods mentioned in a shipping bill or bill of export which are not exported or which are exported and are afterwards re-landed;

(g)

[the publication, subject to such conditions as may be specified therein, of names and other particulars of persons who have been found guilty of contravention of any of the provisions of this Act or the rules;]

[Added by Act 36 of 1973, Section 12 (w.e.f. 1.9.1973).]

(h)

[the amount to be paid [for compounding and the manner of compounding]

[Inserted by Act 23 of 2004, Section 73 (w.e.f. 10.9.2004).]

[under sub-section (3) of section 137.]

[Inserted by Act 23 of 2004, Section 73 (w.e.f. 10.9.2004).]

157.

General power to make regulations.

(1)

Without prejudice to any power to make regulations contained elsewhere in this Act, the Board may make regulations consistent with this Act and the rules, generally to carry out the purposes of this Act.

(2)

In particular and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely: -

(a)

the form [and manner to deliver or present]

[Inserted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

of a bill of entry, shipping bill, bill of export, import manifest, import report, export manifest, export report, [bill of transshipment, declaration for transshipment]

[Substituted by Act

27 of 1999

, Section 115, for " bill of transshipment" (w.e.f. 11.5.1999).]

, boat note and bill of coastal goods;

(ai)

[the manner of export of goods, relinquishment of title to the goods and abandoning them to customs and destruction or rendering of goods commercially valueless in the presence of the proper officer under clause (d) of sub-section (1) of section 26-A;

[Inserted by Act 33 of 2009, Section 91.]

(aii)

the form and manner of making application for refund of duty under sub-section (2) of section 26-A;]

(aa)

[the [form and manner]

[Inserted by Act 40 of 1991, Section 14 (w.e.f. 20.9.1991).]

[in which an application for refund shall be made under section 27;]

[Inserted by Act 40 of 1991, Section 14 (w.e.f. 20.9.1991).]

(ab)

[the form, the particulars, the manner and the time of delivering the passenger and crew manifest for arrival and departure and passenger name record information and the penalty for delay in delivering such information under sections 30A and 41A;]

[Inserted by Finance Act, 2017 (Act No. 7 of 2017), dated 31.3.2017.]

(b)

the conditions subject to which the transshipment of all or any goods under sub-section (3) of section 54, the transportation of all or any goods under section 56 and the removal of warehoused goods from one warehouse to another under section 67, may be allowed without payment of duty;

(c)

the conditions subject to which any manufacturing process or other operations may be carried on in a warehouse under section 65.

(d)

[the time and manner of finalisation of provisional assessment;

[Substituted by Finance Act, 2018 (Act No. 13 of 2018), dated 29.3.2018.]

(e)

the manner of conducting pre-notice consultation;

(f)

the circumstances under which, and the manner in which, supplementary notice may be issued;

(g)

the form and manner in which an application for advance ruling or appeal shall be made, and the procedure for the Authority, under Chapter VB;

(h)

the manner of clearance or removal of imported or export goods;

(i)

the documents to be furnished in relation to imported goods;

(j)

the conditions, restrictions and the manner of making deposits in electronic cash ledger, the utilisation and refund therefrom and the manner of maintaining such ledger;

(k)

the manner of conducting audit;

(l)

the goods for controlled delivery and the manner thereof;

(m)

the measures and separate procedure or documentation for a class of importers or exporters or categories of goods or on the basis of the modes of transport of goods.]

158.

Provisions with respect to rules and regulations.

(1)

All rules and regulations made under this Act shall be published in the Official Gazette.

(2)

Any rule or regulation which the Central Government or the Board is empowered to make under this Act may provide-

(i)

for the levy of fees in respect of applications, amendment of documents, furnishing of duplicates of documents, issue of certificates, and supply of statistics, and for rendering of any services by officers of customs under this Act;

Substituted by Act 18 of 2008, Section 75, for Clause (ii). Prior to its substitution, Clause (ii) read as under:-(ii) that any person who contravenes any provision of a rule or regulation or abets such contravention or any person who fails to comply with any provision of a rule or regulation with which it was his duty to comply, shall be liable,-

(a) in the case of contravention or failure to comply with a rule, to a penalty which may extend to five hundred rupees;

(b) in the case of contravention or failure to comply with a regulation, to a penalty which may extend to two hundred rupees."

(ii)

that any person who contravenes any provision of a rule or regulation or abets such contravention or who fails to comply with any provision of a rule or regulation with which it was his duty to comply, shall be liable to a penalty which may extend to fifty thousand rupees.

159.

[Rules, certain notifications and orders to be laid before Parliament.

[Substituted by Act 22 of 1995, Section 68 (w.e.f. 26.5.1995).]

- Every rule or regulation made under this Act, every notification issued under sections 11, 11-B, 11-H, 11-I, 11-K, 11-N, 14, 25, 28-A, 43, 66, 69, 70, 74, 75, 76, 98, 98-A, 101 and 123 and every order made under sub-section (2) of section 25, other than an order relating to goods of strategic, secret, individual or personal nature, shall be laid, as soon as may be after it is made or issued, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session, or in two or more successive sessions, and if, before the expiry of the session, immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or regulation or notification or order or both Houses agree that the rule or regulation should not be made or notification or order should not be issued or made, the rule or regulation or notification or order shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule or regulation or notification or order.]

159A.

[Effect of amendments, etc., of rules, regulations, notifications or orders.

[Inserted by Act 14 of 2001, Section 113 (w.e.f. 11.5.2001).]

- Where any rule, regulation, notification or order made or issued under this Act or any notification or order issued under such rule or regulation, is amended, repealed, superseded or rescinded, then, unless a different intention appears, such amendment, repeal, supersession or rescinding shall not-

(a)

revive anything not in force or existing at the time at which the amendment, repeal, supersession or rescinding takes effect; or

(b)

affect the previous operation of any rule, regulation, notification or order so amended, repealed, superseded or rescinded or anything duly done or suffered thereunder; or

(c)

affect any right, privilege, obligation or liability acquired, accrued or incurred under any rule, regulation, notification or order so amended, repealed, superseded or rescinded; or

(d)

affect any penalty, forfeiture or punishment incurred in respect of any offence committed under or in violation of any rule, regulation, notification or order so amended, repealed, superseded or rescinded; or

(e)

affect any investigation, legal proceeding or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture or punishment as aforesaid, and any such investigation, legal proceeding or remedy may be instituted, continued or enforced and any such penalty, forfeiture or punishment may be imposed as if the rule, regulation, notification or order, as the case may be, had not been amended, repealed, superseded or rescinded.]

160.

Repeal and savings.

(1)

The enactments specified in the Schedule are hereby repealed to the extent mentioned in the fourth column thereof.

(2)

In the Indian Tariff Act, 1934 (32 of 1934)-

(a)

for section 2, the following section shall be substituted, namely:-

"2. Duties specified in the Schedules to be levied.-The rates at which duties of customs shall be levied under the Customs Act, 1962, are specified in the First and Second Schedules.";

(b)

sections 5 and 6 shall stand repealed.

(3)

Notwithstanding the repeal of any enactment by this section,-

(a)

any notification, rule, regulation, order or notice issued or any appointment or declaration made or any licence, permission or exemption granted for any assessment made, confiscation adjudged or any duty levied or any penalty or fine imposed or any forfeiture, cancellation or discharge of any bond ordered or any other thing done or any other action taken under any repealed enactment shall, so far as it is not inconsistent with the provisions of this Act, be deemed to have been done or taken under the corresponding provision of this Act;

(b)

any document referring to any enactment hereby repealed shall be construed as referring to this Act or to the corresponding provision of this Act.

(4)

This Act shall apply to all goods which are subject to the control of customs at the commencement of this Act notwithstanding that the goods were imported before such commencement.

(5)

Where the period prescribed for any application, appeal, revision or other proceeding under any repealed enactment had expired on or before the commencement of this Act, nothing in this Act shall be construed as enabling any such application, appeal or revision to be made or a proceeding to be instituted under this Act by reason only of the fact that a

longer period therefor is prescribed or provision is made for extension of time in suitable cases by the appropriate authority.

(6)

The provisions of section 65 shall apply to goods warehoused before the commencement of this Act if the operations permissible under that section were carried on after such commencement.

(7)

Any duty or penalty payable under any repealed enactment may be recovered in a manner provided under this Act but without prejudice to any action already taken for the recovery of such duty or penalty under the repealed enactment.

(8)

The mention of particular matters in sub-sections (4), (5), (6) and (7) shall not be held to prejudice or affect the general application of section 6 of the General Clauses Act, 1897 (10 of 1897), with regard to the effect of repeals.

(9)

Nothing in this Act shall affect any law for the time being in force relating to the constitution and powers of any Port authority in a major port as defined in the Indian Ports Act, 1908 (15 of 1908).

161.

Removal of difficulties.

- If any difficulty arises in giving effect to the provisions of this Act, particularly in relation to the transition from the enactments repealed by this Act to the provisions of this Act, the Central Government may, by general or special order, do anything not inconsistent with such provisions which appears to be necessary or expedient for the purpose of removing the difficulty.

THE SCHEDULE

(See section 160)

REPEALS

Year

No.

Short title

Extent of repeal

(1)

(2)

(3)

(4)

1878

8

The Sea Customs Act

The whole

1896

8

The Inland Bonded Warehouses Act

The whole

1924

19

The Land Customs Act

The whole

1934

22

The Aircraft Act

Section 16

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